



Week beginning 11 May 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Rate call tweak: August & September not June & August; Three challenging trends and the opportunities they present for Australian women.

The Week That Was: Dynamic risks.

Focus on New Zealand: All right so far.

For the week ahead:

Australia: 2026/27 Federal Budget, Q1 housing finance approvals, Q1 WPI, NAB business survey.

New Zealand: RBNZ inflation expectations, house prices & sales, selected price indices.

Japan: Household spending, current account balance.

China: CPI, PPI.

Euro area: ZEW survey of expectations, Q1 GDP (second estimate), industrial production.

United Kingdom: Q1 GDP.

United States: CPI, retail sales, NFIB small business optimism, PPI, industrial production, import prices.

Information contained in this report current as at 8 May 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Rate call tweak: August & September not June & August



Luci Ellis
Chief Economist, Westpac Group

We still expect two more RBA rate hikes after the one this week. However, as we flagged as a consideration on Tuesday, we now think that the Monetary Policy Board (MPB) will want to pause in June. In the post-meeting media conference, Governor Bullock characterised the three rate hikes so far as dealing with the high inflation issue that already existed before the conflict in the Middle East started, and that this “gives space” for the MPB to see how the conflict plays out. Together with the dissenting vote, we read this as saying that another back-to-back hike in June is no longer a better-than-50% chance. It is not a zero chance, either, but it should not be the base case.

We do not think the MPB will have much time to catch breath, though. Today we publish fresh forecasts in our May Market Outlook, based on a revised timeline for the reopening of the Strait of Hormuz. This includes a revised inflation forecast that, while only a little higher than our previous profile, involves noticeably higher trimmed mean inflation in the second half of 2026 than the RBA's forecasts.

The RBA acknowledges indications that “higher fuel prices are likely to have second-round effects on prices for goods and services more broadly”. Our assessment is that there will be more of this than the RBA forecasts imply, especially in areas such as home-building costs. It should also be noted that our inflation forecasts are based on our own forecasts for oil and fuel prices, which track somewhat higher than the futures curve that the RBA uses as a technical assumption in its forecasts.

“We adjust the timing of our rates view given the RBA’s language and forecasts.”

Our rates view is, as always, based on our assessment of what the RBA will do if things turn out as we expect, in line with our own forecasts. We therefore retain our view that two further hikes are more likely than one. It will take some time before the need for the additional hikes becomes apparent in the data and spurs a MPB decision, though. Key events between now and the June meeting, including the Federal budget and National Wage Case decision, are unlikely to turn the dial on the RBA forecasts. The RBA's reaction to the second-round inflation will thus be a bit later than we previously assumed.

We therefore push the timing of these two hikes out to August and September. We think the Q2 and Q3 inflation data will be something of a ‘wake-up call’ on the willingness of firms to pass on increases in non-labour costs into their own prices (though this is something we would be [glad to be wrong](#) about). Subsequent quarters may also show a lack of unwinding of recent downstream price increases as fuel costs ease. The Governor may come to regret stating that passing on costs arising from fuel price increases was “reasonable”, if this is interpreted to mean full pass-through with no reversal later.

This change in our rates view is a tactical change reflecting our assessment of the RBA's appetite to continue the current pace of tightening in the current uncertainty, coupled with its evidently less stark view about pass-through to other prices. It is not a fundamental shift in our view of the outlook. We will continue to monitor developments in the Middle East and domestic cost pass-through, and adjust our view as appropriate.

Forecast changes

- A full update to our forecasts will be published in our Market Outlook publication on May 8.

Three challenging trends and the opportunities they present for Australian women

- **Three big trends – the ageing population, the rise of AI, and the growing perception that people expect more of government – pose challenges for Australia and government policy.**
- **However, they also present opportunities for Australian women that might not be fully appreciated.**
- **How might the federal budget – and government policy more generally – help ensure that these opportunities are taken?**

Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. [Work with my Westpac colleague Ryan Wells](#) back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later.

Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask "why" five times to get to the root cause, we must ask, "and then what?" five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The "and then what" is that participation rates within age groups rise and can more than offset an ageing population mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The "sandwich generation" task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed "greedy jobs", those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, "always on" continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer "presence" and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, *provided institutional norms also change*. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate

about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called 'caring' occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year's wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

How this is an opportunity for Australian women

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the "care economy" and the regulatory footprint more broadly has been positive for women's employment. Especially in a relatively sex-segregated occupational job market like Australia's, health, education and social care roles are disproportionately female-coded. Using the industry of a person's main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

How the federal budget might address this

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne's words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is "yes".

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is "if it is safe enough for Europeans, it should be safe enough for Australians". There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

Conclusion

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

Cliff Notes: dynamic risks

Elliot Clarke, Head of International Economics

Illiana Jain, Economist

Ryan Wells, Economist

In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its [third consecutive rate hike](#), raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, [Chief Economist Luci Ellis](#) noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national [dwelling price growth](#) slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for [dwelling approvals](#) bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal [household spending indicator](#) bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer [card activity](#) data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in [non-mining states](#) where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal [goods trade surplus](#)

[buckled into deficit](#) in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

A full update on our expectations for the global economy, Australia and New Zealand is available on [Westpac IQ](#) in our [May Westpac Market Outlook](#).

All right so far



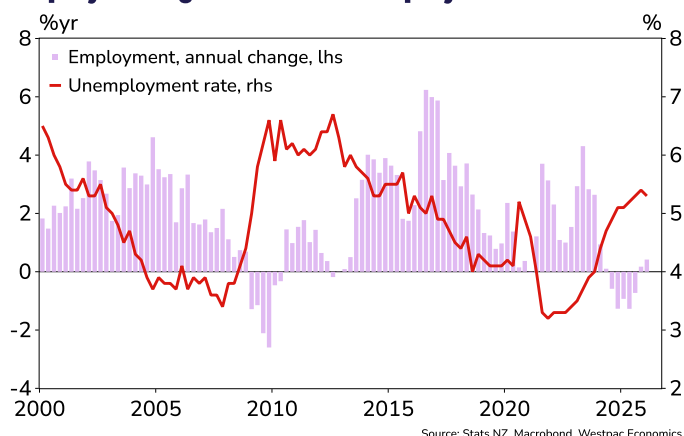
Michael Gordon
Senior Economist

The March quarter labour market surveys continued a refrain that we're probably going to be hearing for a few more months: the New Zealand economy was starting to find its footing again prior to the Iran conflict. Whether subsequent events prove to be a delay to the recovery process, or something more serious, remains to be seen. But it's important to note that New Zealand was coming into this shock with different inflation dynamics to our Australian cousins, with activity only just starting to gain momentum and a significant degree of slack in the labour market.

The Household Labour Force Survey (HLFS) showed the unemployment rate ticking down from 5.4% to 5.3% in the March quarter, its first decline after four straight years of increases. This was better than the flat result that we and the market were expecting, but it was in line with the RBNZ's (now somewhat dated) February *Monetary Policy Statement* forecasts.

The number of people employed rose by 0.2% over the March quarter, following a 0.5% rise in the previous quarter. This was broadly in line with the Monthly Employment Indicator (MEI), a more comprehensive measure that is based on income tax data but does have some definitional differences. The level of employment is now up 0.4% on a year ago – though that's still behind the rate of growth in the working-age population, which was up 1.1% despite the subdued migration trends over the last year.

Employment growth and unemployment rate



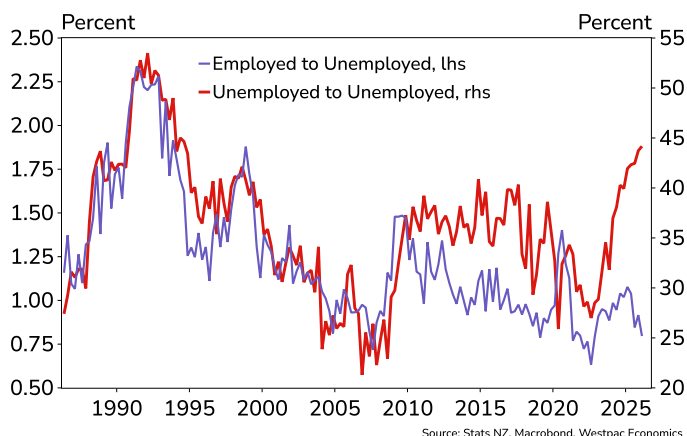
The evidence of a lift in activity was consistent across a range of measures. The HLFS found a 0.8% rise in total hours worked, on top of the 1.2% rise in the December quarter. 'Usual' hours

rose by a more modest 0.4%, indicating that employers are continuing to try to get more out of their existing workers before resorting to hiring again. Meanwhile the business-focused Quarterly Employment Survey (QES) reported a 0.7% rise in full-time equivalent workers and 0.6% gains in filled jobs and paid hours. All of these are supportive of our forecast of a 0.8% rise in March quarter GDP (which we expect will also be boosted by seasonal distortions).

Beneath these generally positive results, there are some clear indications of the unevenness of economic conditions to date. One is that the unemployment rate has broadly levelled out in the South Island over the last two years, while steadily rising in the North Island. The strong returns to the agricultural sector are likely to have been a factor in this divergence, although not the only one.

Another is the quarterly flows between labour force status, which starkly demonstrate the "no-fire, no-hire" jobs market. The rate of job losses, which never rose particularly high during the downturn, has now fallen back to levels that in the past would've been consistent with a tight labour market. But for those who do find themselves out of work, it's harder to get back in than it has been for decades.

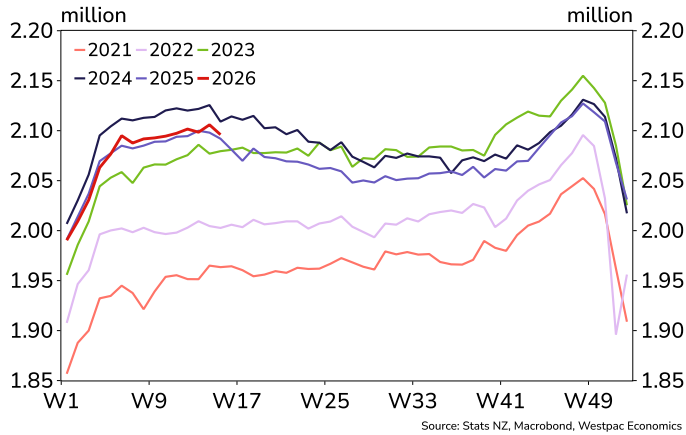
Labour force transition rates



Given the rapid escalation of the conflict in the Middle East, any economic data relating to the March quarter is inevitably going to come across as dated. (The March month is too soon to expect to see a labour market response, as it tends to be one of the more lagging aspects of the economic cycle.) We'll be keeping an eye on higher-frequency data for any signs of emerging stress, such as the weekly filled jobs snapshots

provided by Stats NZ. The timeliest of these measures, which goes up to the week ended 12 April, suggests that things are holding in so far, with the number of jobs continuing to track slightly above year-ago levels.

Number of filled jobs (20-day lag)



Wage pressures – which are even more of a lagging indicator – remained subdued in the March quarter. The Labour Cost Index (LCI) rose by 0.5% for the quarter, leaving annual growth unchanged at 2.0%. The distribution of pay increases continues to converge on the 2-3% range, compared to the larger increases that had become more common in previous years.

This is unsurprising given the degree of spare capacity in the labour market that has accumulated over the last few years: an unemployment rate of 5.3% is some way above the 'neutral' or non-inflationary rate, which we would put in the range of 4-4.5%. This is a crucial difference between now and the post-Covid inflationary surge, where an extremely tight labour market created the conditions for a feedback loop between wage and price inflation.

Given the slightly better than expected starting point for the March quarter, we will be reviewing our near term labour market forecasts in our latest *Economic Overview* next Wednesday.

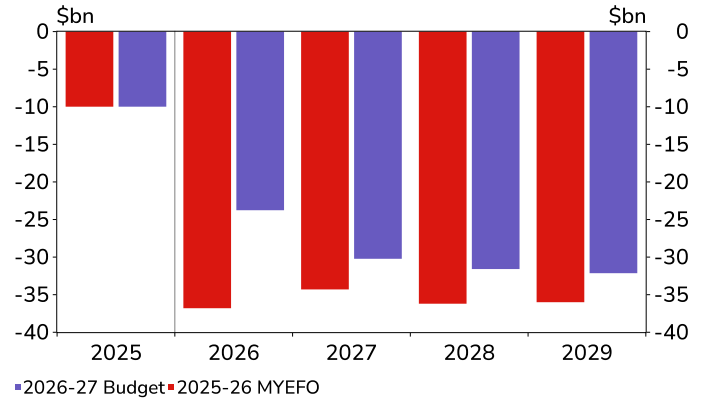
AUS: 2026/27 Federal Budget

May 12

The energy supply shock arising from the Middle East conflict is the dominant influence on next week's Budget. Recent messaging highlights a dual focus on near-term cost-of-living and business support, alongside medium term reforms aimed at strengthening economic resilience and productivity.

Parameter variations, largely driven by higher commodity prices, are expected to deliver a net boost of around \$27bn over the four years to FY2029. Policy decisions are modest, and front loaded, subtracting around \$2bn over the same period. Underlying measures, however, are significant, including increased defence investment, health funding and energy security initiatives. Execution will be critical to avoid a deterioration in the fiscal position, particularly amid ongoing inflation pressures. For more detail, see our full [preview](#).

Underlying cash balance estimates*



Source: ABS, 2025-26 MYEFO, Macrobond, Westpac Economics
*2026-27 Budget are Westpac estimates.

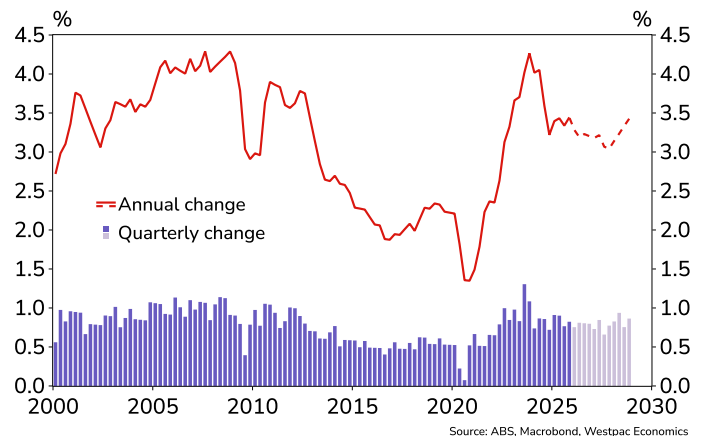
AUS: Q1 Wage Price Index (%qtr)

May 13 Last: 0.8, Westpac f/c: 0.8
Mkt f/c: 0.8, Range: 0.8 to 0.9

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Wage Price Index



Source: ABS, Macrobond, Westpac Economics

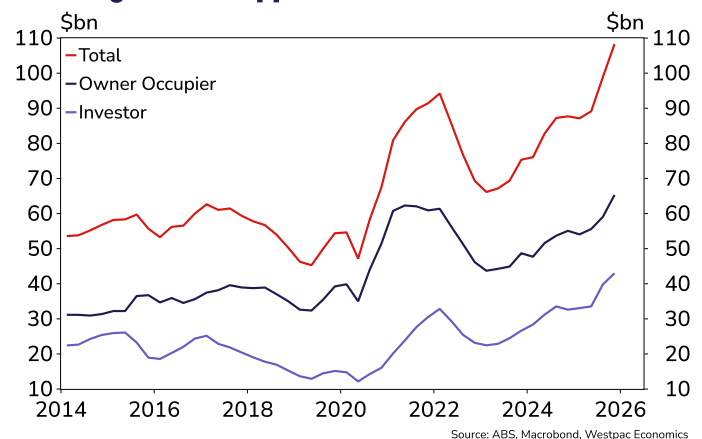
AUS: Q1 Housing Finance Approvals (%qtr)

May 13 Last: 9.5, Westpac f/c: 7.0
Mkt f/c: 0.1, Range: -3.0 to 7.0

The total value of housing finance approvals rose 9.5% in Q4, lifting annual growth to 23.5%yr after upward revisions. Owner-occupiers drove the surge, with first home buyers particularly active following the expanded 5% deposit guarantee scheme. Investor lending was also strong, up 7.9%qtr and 31.8%yr.

The Q1 update is expected to show another robust gain. Credit growth accelerated in early 2026 with another notable step up in investor housing credit growth to 9.6%yr. The expanded First Homebuyer Guarantee scheme is also likely to have had a continued boost. Against this, turnover and price growth in the established softened a touch in Q1. All up, we expect the total value of finance approvals to post a 7% gain.

Dwelling Finance Approvals



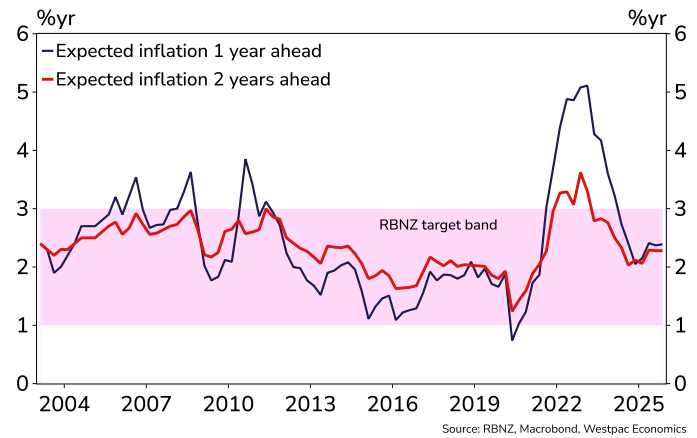
Source: ABS, Macrobond, Westpac Economics

NZ: Q2 RBNZ Survey of Inflation Expectations (%yr)

May 13, Two years ahead last: 2.37

This is one of several surveys the RBNZ will be watching to see if the current uplift in inflation is contributing to a more enduring uplift in pricing pressures. The survey's measures of inflation expectations, including the closely watched two-year ahead measure, had already picked up even before the recent uplift in oil prices. With signs of increasingly widespread cost pressures emerging in recent weeks, the risks are tilted towards another step higher in the latest survey. Other recent surveys of expected inflation and pricing intentions have already taken a step higher.

Inflation expectations within the target range

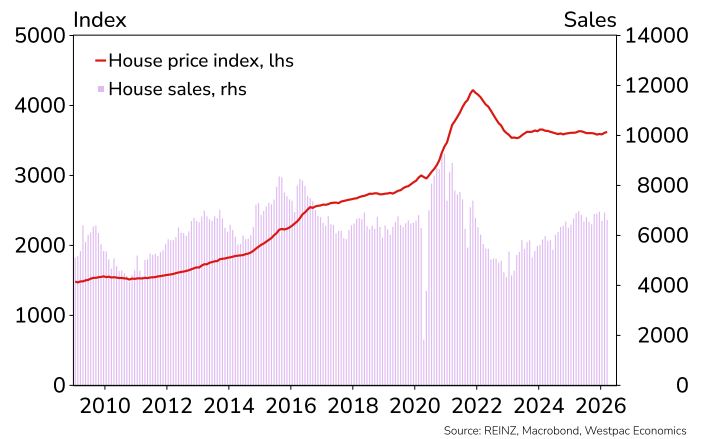


NZ: Apr REINZ House Sales and Prices (%yr)

May 14, Sales last: -0.1, Prices last: 0.2

March proved to be a slightly perkier month for the housing market, with house prices picking up for a second straight month. However, the trend in sales has remained largely sideways, and there are indications of a softening in activity in April (even after accounting for the public holidays during the month). Aside from the uncertainty engendered by the Iran conflict, mortgage rates have been lifting off their lows for several months now. We're forecasting a 1% fall in prices over 2026.

REINZ house sales and prices

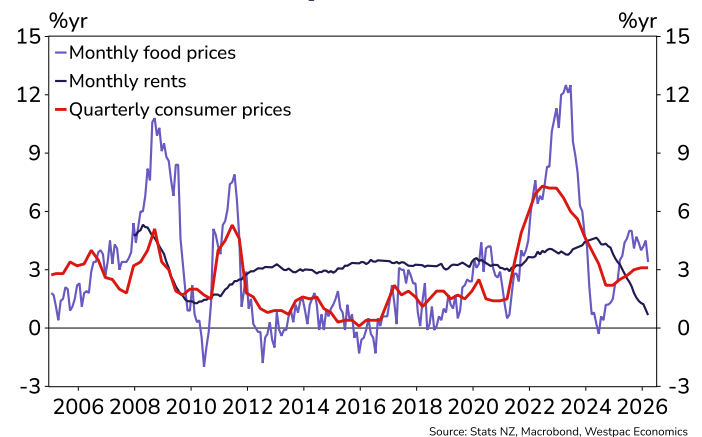


NZ: Apr Monthly Selected Prices (%mth)

May 15

Petrol prices are expected to be up 16%. However, the bigger focus will be on any downstream impacts that are emerging. At this stage, such impacts will most likely be seen in transport related costs, such as airfares. Other related cost increases are likely to become more evident over the next few months. We also expect another firm 2% rise in electricity prices. While such cost increases will be the focus, there could be some softness in areas like holiday accommodation. Housing rents (the single biggest component of the CPI) are also likely to remain soft – we're expecting another flat result (in contrast to the usual seasonal lift). Food prices are expected to be up 0.5%, with the rise in the minimum wage likely to boost hospitality prices modestly.

NZ selected consumer prices



US: Apr CPI (%mth)

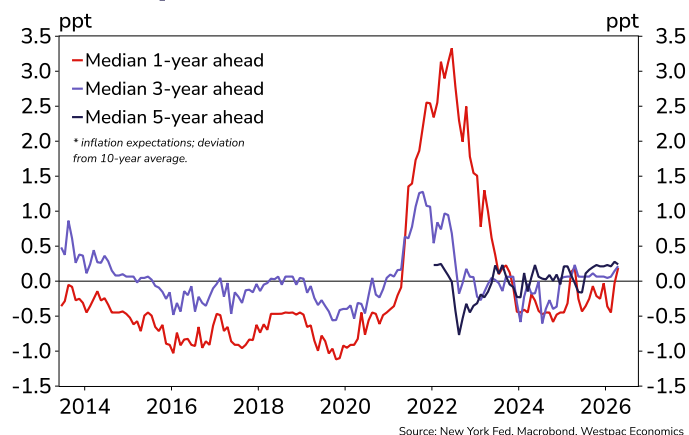
May 12 Last: 0.9, Westpac f/c: 0.8
Mkt f/c: 0.6, Range: 0.4 to 0.7

In March, the first consequences for US consumer inflation from the Middle East conflict became clear as headline prices rose 0.9% in the month. Notably though, there was no evidence of secondary effects, with food prices flat and core inflation benign at 0.2%.

A similar breakdown is likely in April. We forecast a 0.8% gain in headline prices, but only a 0.3% lift excluding food and energy. Secondary passthrough is likely to take time to show itself, particularly given the deceleration in consumer demand growth to a below-trend pace evident over the past year.

Still, along with tight capacity, the margin compression being experienced is an additional reason to believe US inflation will remain above target for the foreseeable future.

Inflation expectations contained



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 11							
Chn	Apr	CPI	%ann	1.0	0.9	–	Energy costs providing a boost to inflation ...
	Apr	PPI	%ann	0.5	1.8	–	... but spare upstream capacity remains.
US	Apr	Existing Home Sales	%mth	–3.6	2.4	–	Low turnover in established market reflects rate pressures.
Tue 12							
Aus	Apr	NAB Business Conditions	index	6	–	–	Conditions stable despite a collapse in confidence.
		2026/27 Federal Budget	–	–	–	–	Commodity price windfalls will support the bottom-line.
Jpn	Mar	Household Spending	%ann	–1.8	–1.3	–	Households on fragile footing, even before Middle East.
Eur	May	ZEW Survey Of Expectations	index	–20.4	–	–	Views on economic growth have deteriorated materially.
US	Apr	NFIB Small Business Optimism	index	95.8	96.0	–	Small businesses showing concern, but not outright stress yet.
	Apr	CPI	%mth	0.9	0.6	0.8	Energy buoys headline, capacity constraints keep core elevated.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 13							
Aus	Q1	Wage Price Index	%qtr	0.8	0.8	0.8	Individual bargained wages have been moderating.
	Q1	Housing Finance Approvals	%qtr	9.5	0.1	7.0	Investors and FHB schemes to boost lending activity.
NZ	Q2	RBNZ Inflation Expectations	%ann	2.4	–	–	RBNZ will be watching for signs of lift at longer horizons.
Jpn	Mar	Current Account Balance	¥bn	3932.7	3884.9	–	Yen appreciation and financial market volatility at play.
Eur	Q1	GDP	%qtr	0.1	0.1	–	Second estimate will provide more detail around drivers.
	Mar	Industrial Production	%mth	0.4	–	–	Slipping back into contraction as cost pressures lift.
US	Apr	PPI	%mth	0.5	0.5	–	Clear evidence of upstream price pressures coming through.
		Fedspeak	–	–	–	–	Kashkari.
Thu 14							
Aus	May	MI Inflation Expectations	%ann	5.9	–	–	Will the fuel excise cut re-anchor near-term expectations?
NZ	Apr	REINZ House Prices	%yr	0.2	–	–	Sale prices have ticked up in recent months...
		REINZ House Sales	%yr	–0.1	–	–	...but rising mortgage rates likely to weigh on turnover.
	Mar	Net Migration	no.	3970	–	–	Balance turning more positive as departures slow.
UK	Q1	GDP	%ann	0.1	–	–	Growth jump may prove fleeting as war impacts emerge.
US	Apr	Import Price Index	%mth	0.8	1.0	–	Surge centred squarely on petroleum imports.
		Initial Jobless Claims	000s	200	–	–	Still at a very low level versus history.
	Apr	Retail Sales	%mth	1.7	0.5	–	Another step-down in consumer momentum likely in Q2.
	Mar	Business Inventories	%mth	0.4	0.3	–	Inventory-to-sales falling as inventory rebuild persists.
		Fedspeak	–	–	–	–	Hammack.
Fri 15							
NZ	Apr	Manufacturing PMI	index	53.2	–	–	Solid in March but Iran conflict may weigh more heavily now.
	Apr	Selected Price Indices - Food	%mth	–0.6	–	0.5	Modest boost from minimum wages in the hospitality sector.
	Apr	Selected Price Indices - Rents	%mth	0.0	–	0.0	Rental growth weak in the face of ample supply.
US	Apr	Industrial Production	%mth	–0.5	0.2	–	Regional surveys point to a solid month of factory output ...
	May	Fed Empire State Manufacturing	index	11	8	–	... but uncertainty over the outlook is starting to weigh.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (8 May)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.35	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.44	4.55	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.64	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.63	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.96	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	57	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.39	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.63	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.55	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.67	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	28	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (8 May)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7203	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5934	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	156.89	157	156	154	152	150	148	146	144	142
EUR/USD	1.1730	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3552	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8023	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2139	1.22	1.22	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	1.5	1.4	0.5	0.6	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	4.9	5.0	4.9	4.1	3.2	3.6	4.9	2.5	2.2
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.1	1.0	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	4.0	3.6	3.4	4.0	3.0	2.4

* Quarter-average.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	–0.4	0.5	1.9	2.5	3.7	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	0.2	1.5	3.5	3.3
Unemployment rate %	5.3	5.4	5.3	5.6	5.6	5.4	5.1	4.9	5.4	5.4	4.6	4.2
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	3.1	4.1	1.7	2.6

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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Expansionary impulse persists as states grapple with the shock

#fiscalpolicy

#australia

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By Pat Bustamante

Senior Economist, Westpac

11:30 May 07 2026

Share

State budgets to deteriorate, with limited scope for further stimulus given an already expansionary national fiscal impulse. Any redistribution of the positive income shock is best delivered within the existing fiscal envelope.

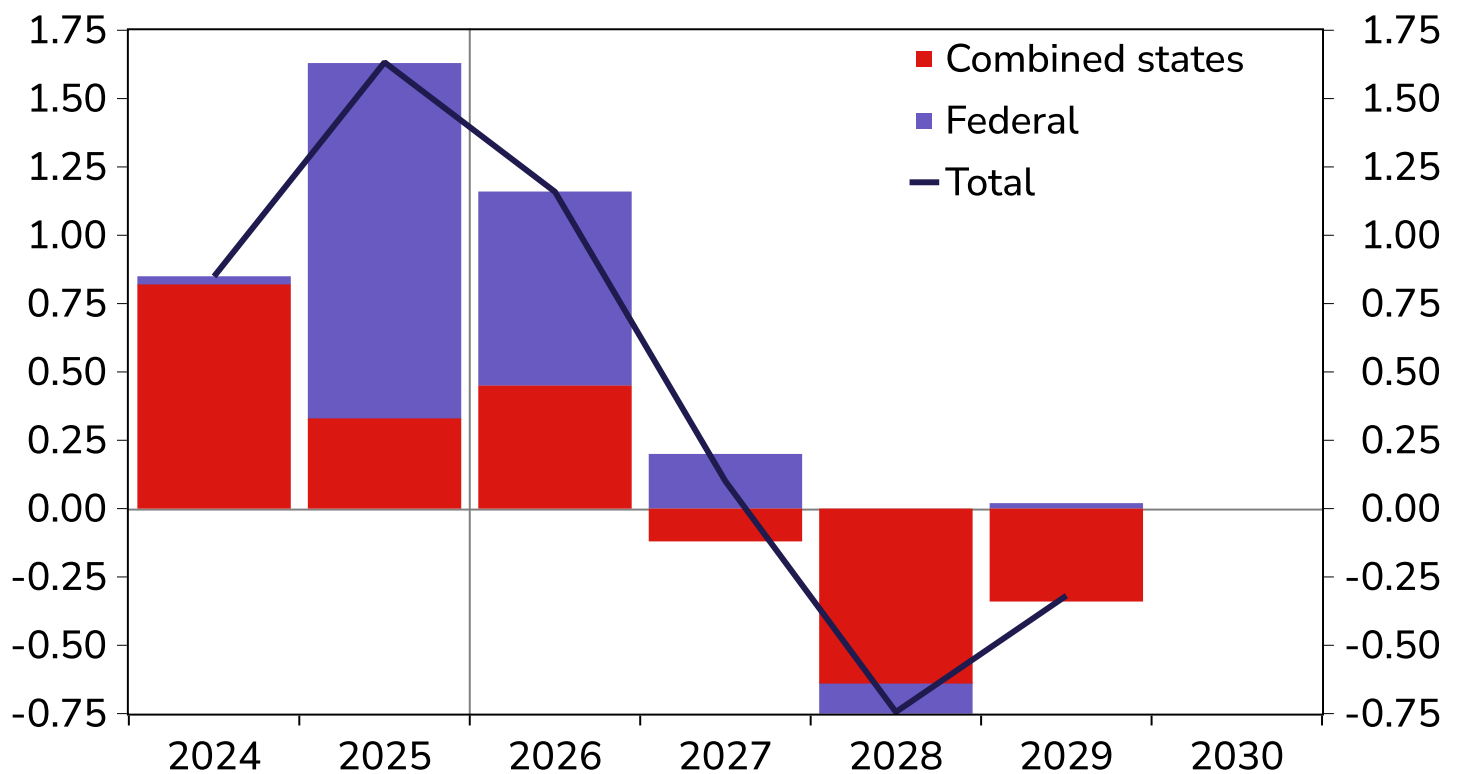


- The combined state budget position will deteriorate as the Middle East shock weighs on revenue while lifting expenses, delaying the expected fiscal recovery by two years.

- State capital spending is easing as major infrastructure projects unwind, but net interest costs are rising sharply. By FY2029, States are increasingly borrowing to service their interest bills, an outcome that is likely to sharpen the focus on the need for fiscal consolidation.
- The national fiscal impulse is slightly expansionary in FY2027, even before factoring in additional policy support expected in upcoming state and federal budgets. This follows a substantial fiscal expansion of around 3.5ppt of GDP over the three years to FY2026, comparable in scale to the GFC. However, unlike past cycles, states drove a disproportionate share of this expansion, especially early on.
- With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Prior to the escalation of the conflict in the Middle East, state and territory governments (the 'states') were projecting a steadily improving fiscal outlook. This was underpinned by an expected recovery in private sector activity, continued strength in employment growth, and inflation easing back towards the RBA's 2.5% target.

The world has changed

For governments preparing upcoming budgets, the Middle East conflict could not have come at a worse time. Instead of a recovery in private sector activity, we now expect a sharp economic slowdown as the recent re-tightening in monetary conditions collides with a large global supply shock centred on energy.

We expect the RBA to deliver two additional 25bp rate hikes beyond the 25bp increase in May, aimed at preventing a sustained rise in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, the unemployment rate is expected to lift toward 5%, and trimmed mean inflation is forecast to rise to around 4% by year-end.

Our updated state-based forecasts ([see here](#)) have economic activity, employment, and dwelling price growth slowing abruptly in the consumer-led states of NSW and Victoria, while conditions hold up relatively better in the mining-based economies of Queensland and WA. In NSW and Victoria, year-average growth in GSP is now expected to fall below 1% in FY2027, less than half the rate we were forecasting in December 2025 ([see here](#)), with smaller downgrades elsewhere.

As a result, employment growth is expected to slow below population growth in NSW, Victoria, and Tasmania, while remaining broadly in line with population growth in the mining states and SA. Dwelling prices in NSW and Victoria are now forecast to effectively stagnate through 2026, down from around 5% growth expected late last year. This adjustment is already underway, with prices falling over the quarter to April 2026 in both these states.

This shift in the outlook has significant implications for the states' largest tax bases, particularly payroll tax, stamp duty, and gambling taxes. While GST revenue is likely to receive a near-term boost from stronger nominal spending, this will only partially offset the broader revenue drag.

If this wasn't enough to deal with, the negative supply shock will increase the costs of delivering health, education, and infrastructure services. Based on actual and expected input price increases, we estimate infrastructure development costs of around 5% higher in FY2027 than expected prior to the conflict. While smaller than the roughly 8-10% increase in costs we estimate for dwelling construction, the impact remains material. We currently expect this to be a one-off level shift in prices, with construction cost growth expected to normalise by FY2028. However, the longer the conflict persists, the greater the risk that elevated cost growth extends beyond FY2027.

Higher inflation will also lift non-labour costs across health and education. This will feed into labour costs through cost-of-living adjustments embedded in enterprise agreements. In addition, there's a risk of further spillover as workers try to protect real wages.

The result is a clear deterioration in state fiscal positions: weaker revenue growth alongside rising expenses, even before governments consider new policy measures to support households and businesses through this adverse supply shock.

Importantly, state governments are unlikely to benefit materially from commodity price windfalls, in

contrast to the Commonwealth. Even in the mining states, stronger royalty revenues are expected to fall short of offsetting rising cost pressures. While higher energy prices will unambiguously lift national income, the distribution of these gains will be highly uneven.

State fiscal drift looks set to continue

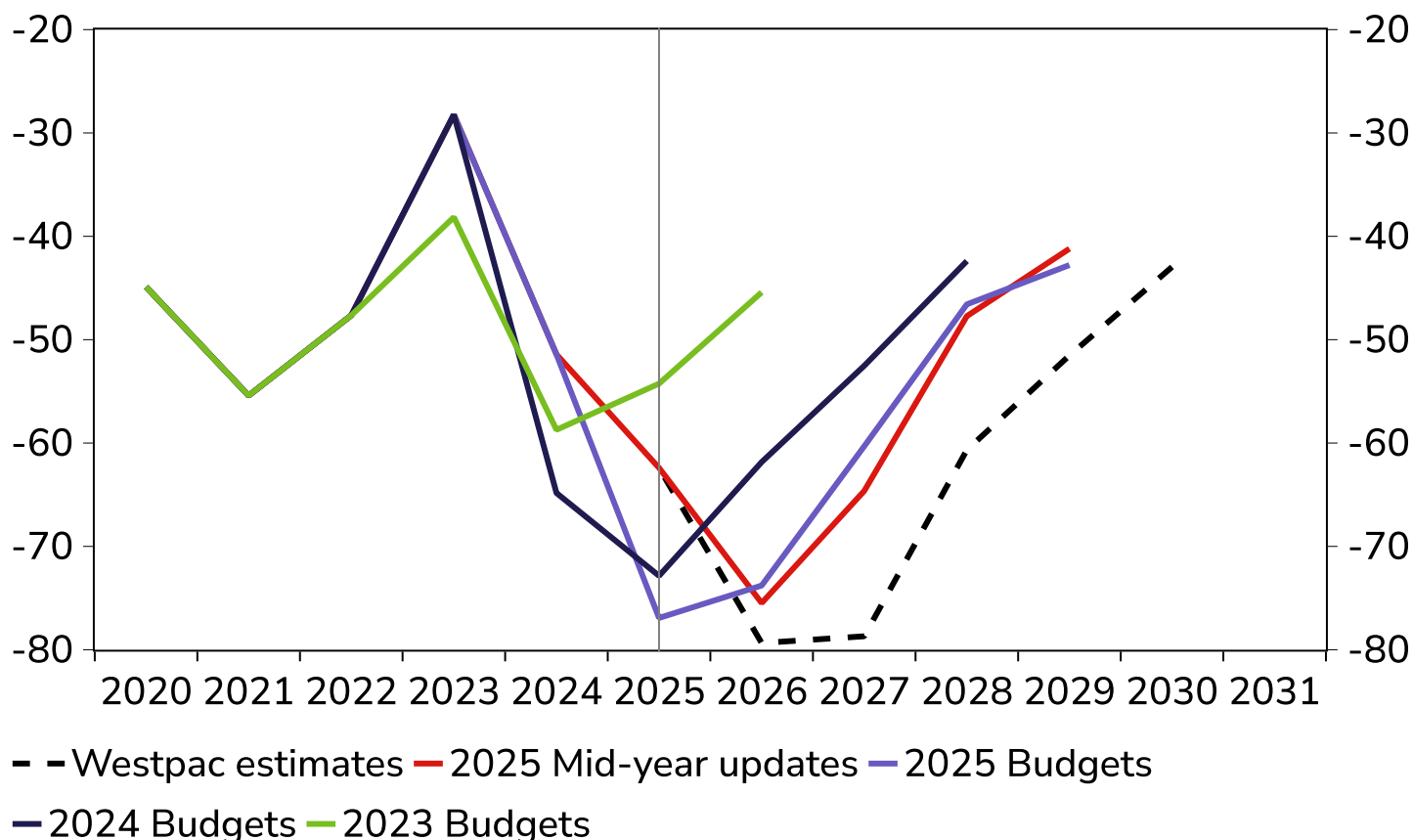
Based on Westpac Economics' outlook, and our mapping of macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030.

The starting point for fiscal repair has also shifted. The turnaround in the combined cash balance is now expected from FY2028, two years later than the FY2026 timing embedded in last year's budget updates.

This excludes both recently announced and prospective policy support for households and businesses. Additional measures will place further pressure on fiscal positions. Victoria alone has announced around \$18bn in new policies, while the Federal Government has also provided support, including via the fuel excise cut.

Budget outlook across the states

Non-financial public sector, cash balance, \$billions



Source: State budget papers, Macrobond, Westpac Economics

Despite the expected deterioration, risks remain skewed to the downside.

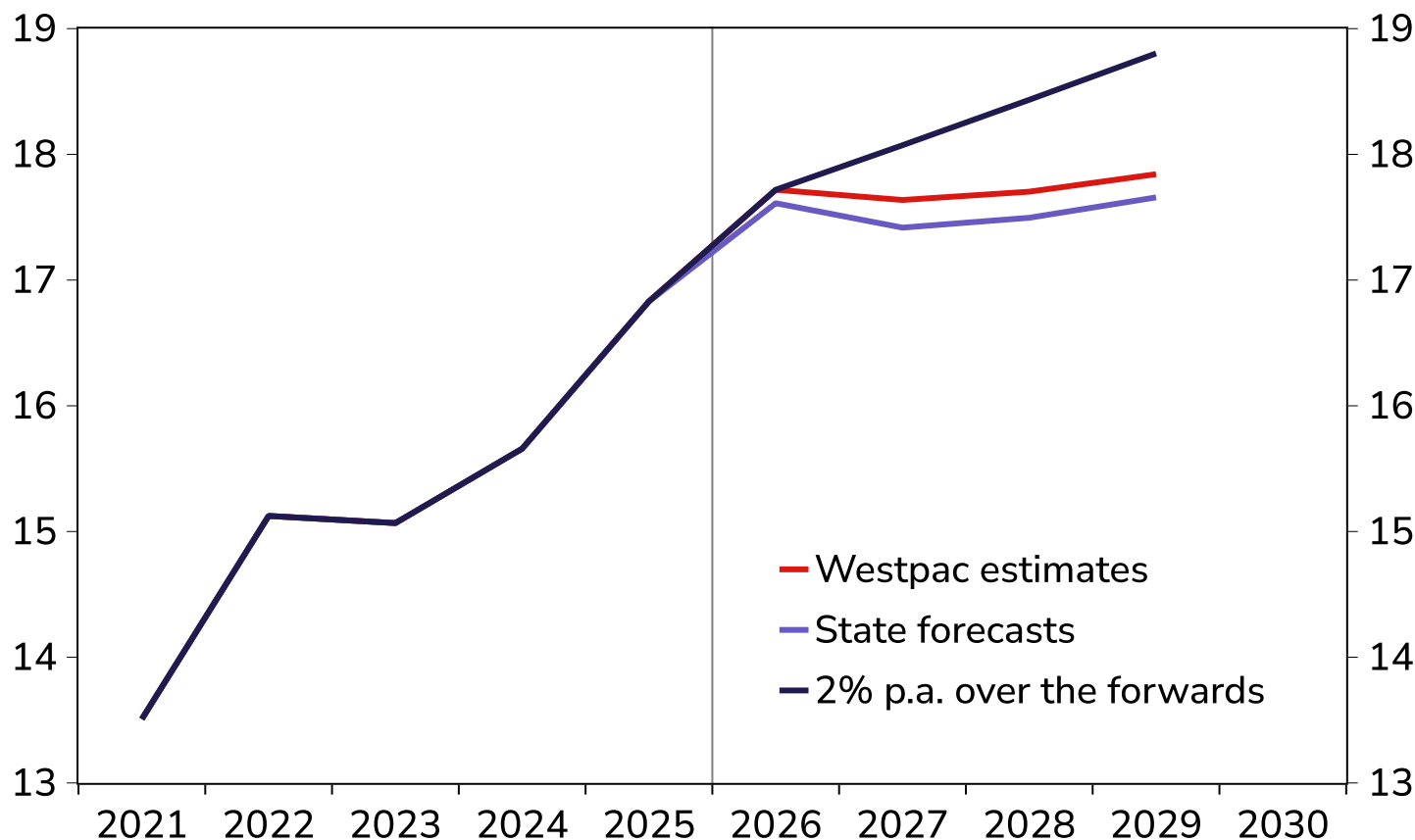
There is a degree of optimism embedded in these estimates. In part because we assume no change in

policy, recurrent spending per capita is assumed to stabilise over the forecast period, following a sharp 30% increase over the five years to FY2026. On current settings, this implies a decline in real services per capita, an outcome that appears unlikely given recent budgets have been focused on expanding public service delivery, particularly across housing, health and education.

If instead spending growth moderates only partially, to around 2.0% per annum from the 5% pace seen over the past five years, recurrent expenditure would be around \$35bn higher by FY2029. This would see the combined cash deficit widen materially, from around \$50bn to closer to \$85bn by FY2029.

Recurrent payments per capita across the states

Non-financial public sector, \$000s



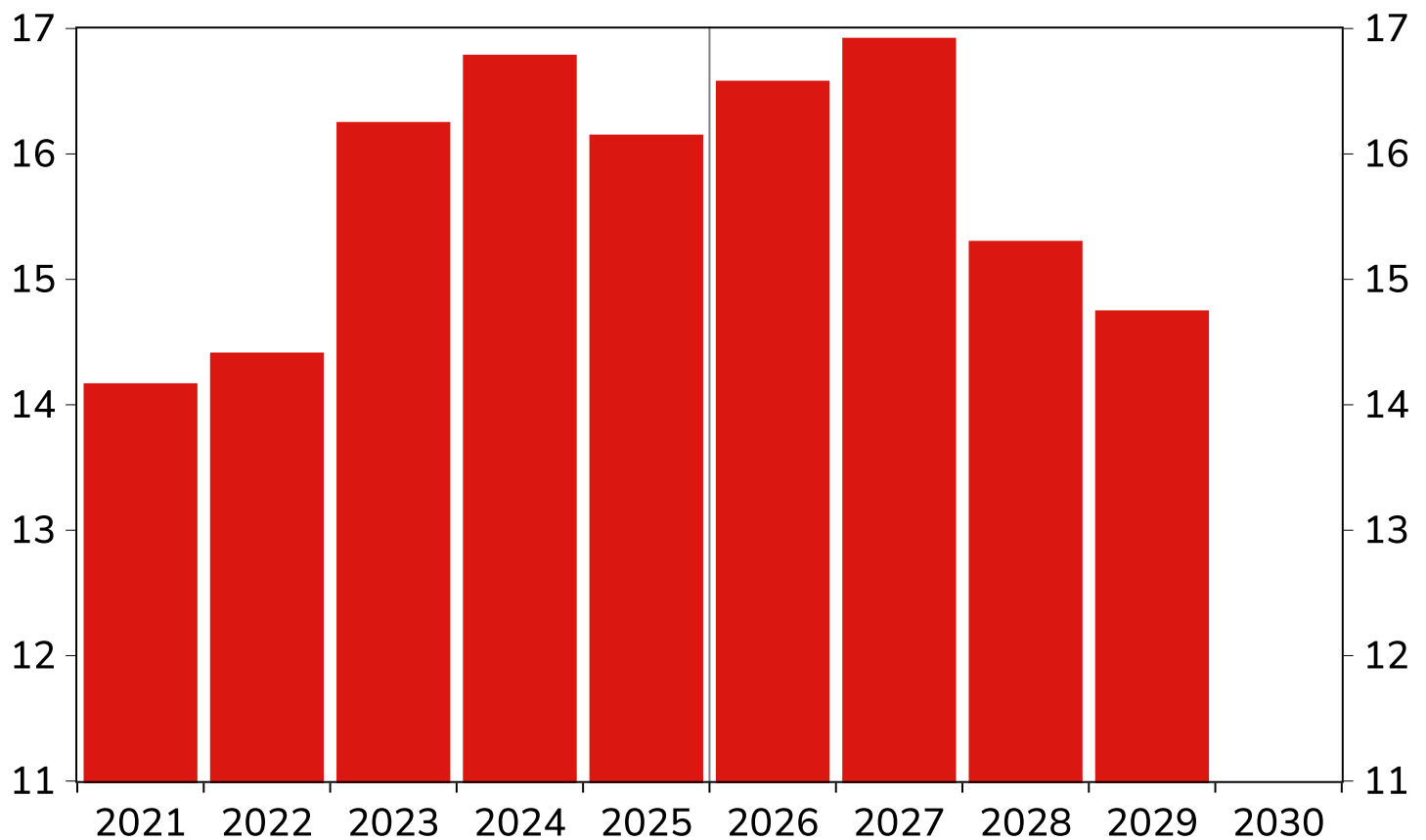
Source: State budget papers, Macrobond, Westpac Economics

The combined fiscal outlook is also shifting.

Capital spending has surged in recent years, rising from around 12% of total outflows (recurrent plus capital outlays) in FY2022 to a peak of almost 17% in FY2027. However, this share is expected to ease back to around 14.5% by FY2029 as the current pipeline of major projects rolls off.

Infrastructure investment

% share of total outlays



Source: State budget papers, Macrobond, Westpac Economics

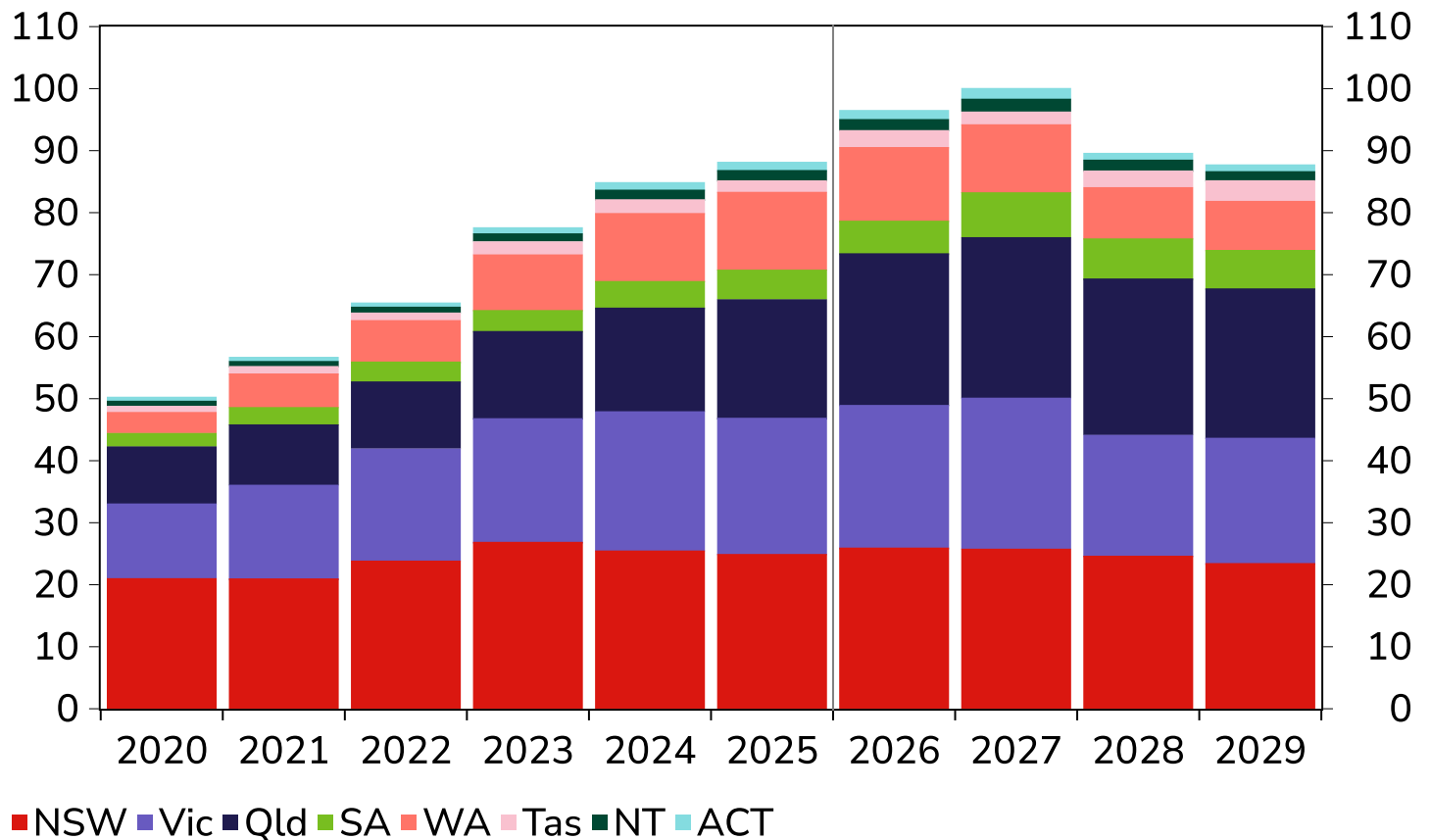
We are now at (or near) peak levels of public capital expenditure. A significant wave of transport 'mega-projects' is moving through completion. In Sydney, this includes WestConnex (largely complete), the Metro (with the Southwest line due to open in 2026 and the Western extension by 2032), and Western Sydney Airport (scheduled for completion in 2026).

In Melbourne, key projects include the Metro Tunnel (completed in late 2025) and the Airport Rail Link (targeted for 2029), alongside much longer-dated and more uncertain timelines for the Suburban Rail Loop and Geelong Fast Rail.

In contrast, Brisbane and south-east Queensland retain a more extended pipeline. Major projects, including Cross River Rail (2025–26) and Gold Coast Light Rail (2026), are complemented by a broader wave of infrastructure investment supporting activity through to the 2032 Brisbane Olympics.

Infrastructure pipeline

Non-financial public sector, \$billions



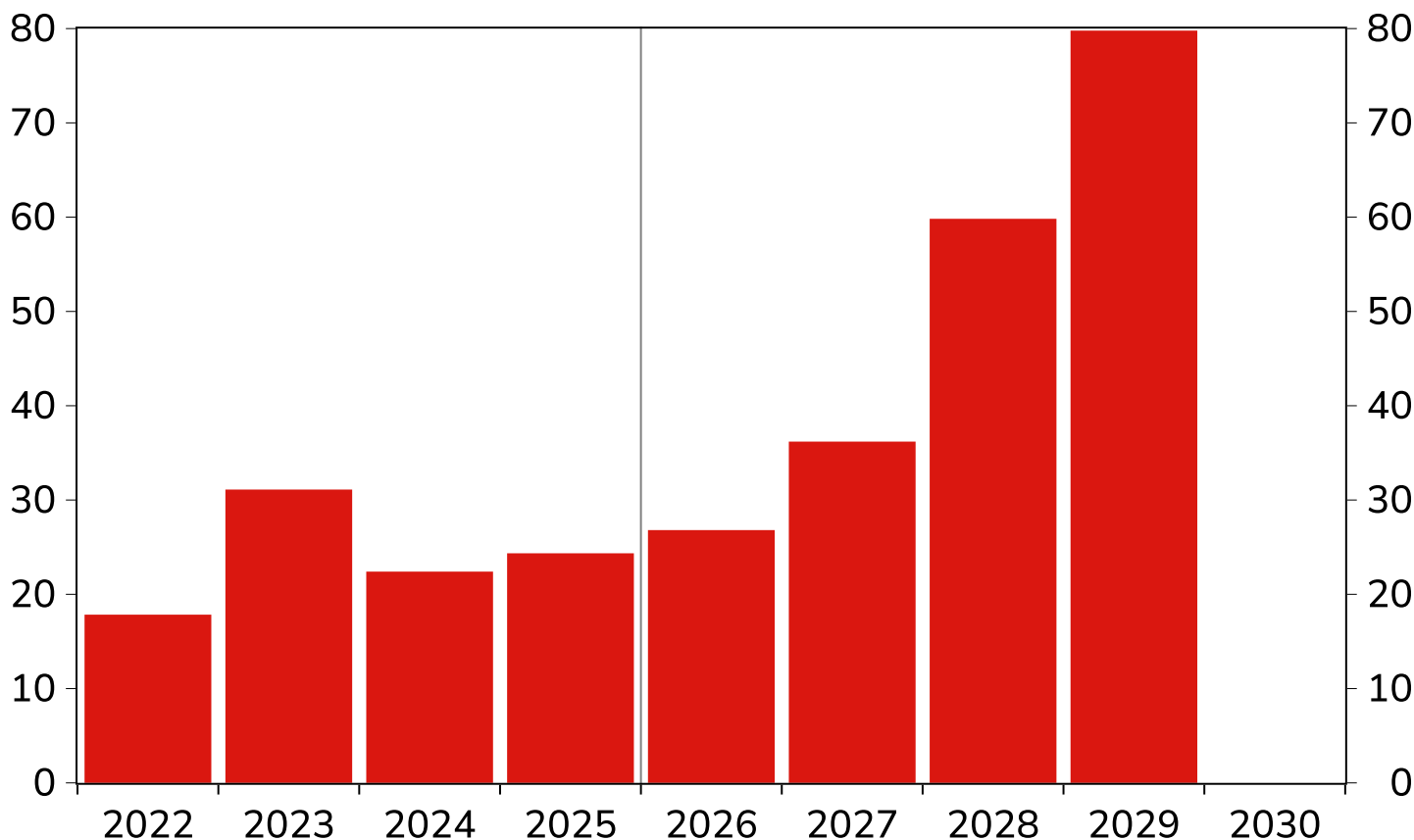
Source: State budget papers, Macrobond, Westpac Economics

At the same time, net interest costs are rising rapidly. By FY2029, we estimate that around 80% of state borrowing will be used to service interest payments, reflecting both a higher global cost of capital and a materially larger stock of debt. This is likely to sharpen the focus on the need for fiscal consolidation.

This dynamic is becoming increasingly important. A larger debt stock, combined with elevated borrowing costs, will constrain fiscal flexibility, particularly in an environment where global interest rates remain higher for longer.

Interest payments

% share of cash deficits



Source: State budget papers, Macrobond, Westpac Economics

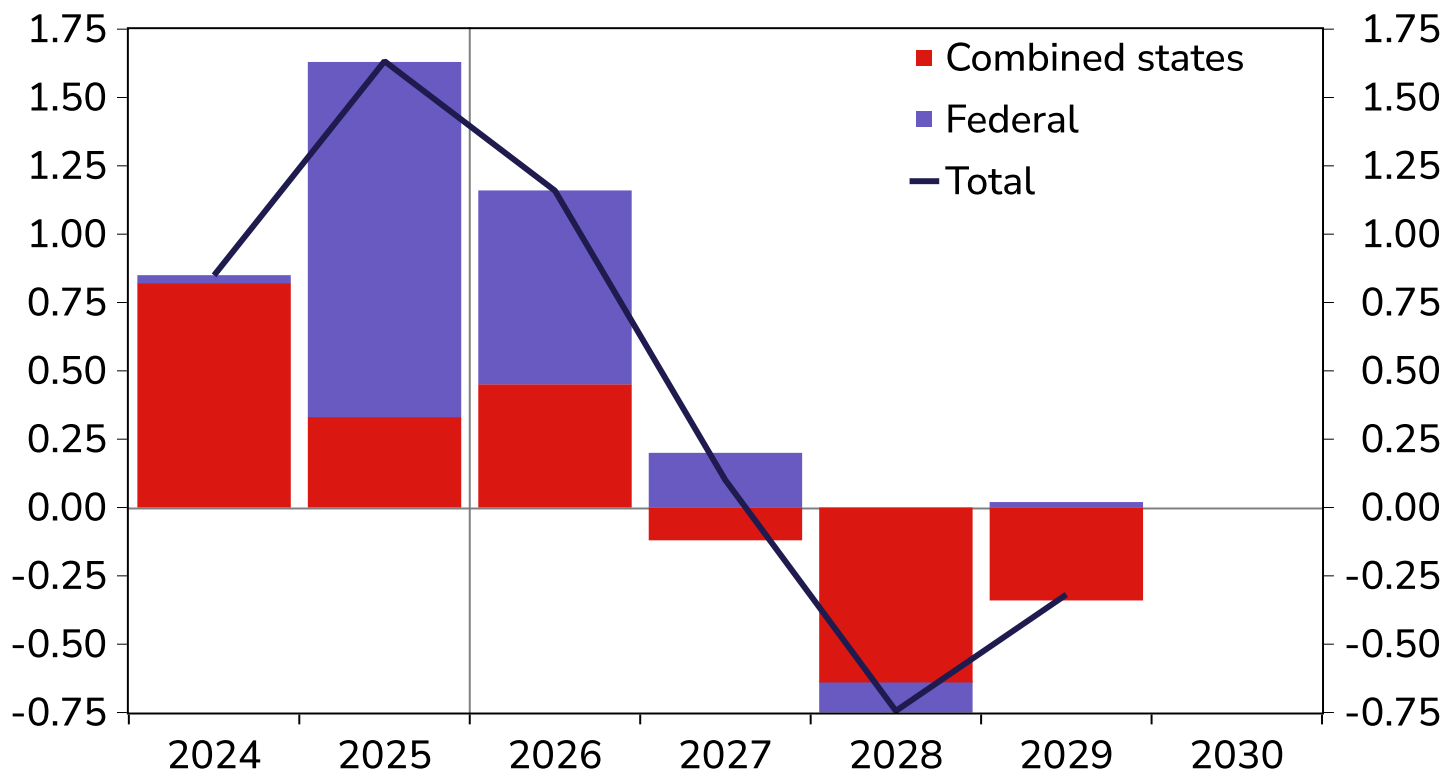
What about the national fiscal impulse? Limited room for further stimulus

The fiscal impulse measures the net contribution of government to aggregate demand. When governments are balancing their books and net outflows (consumption and investment) equals inflows (mainly tax revenue) the impulse will be flat or neutral. The change in the impulse is important when looking at the change in demand, activity, and inflationary pressures.

On our estimates, the combined fiscal impulse is slightly expansionary in FY2027. This follows an expansionary policy stance over the past three years where the national fiscal impulse was around 3.5ppts of nominal GDP, an increase comparable to the post-GFC stimulus in 2009–10.

Fiscal impulse

% of nominal GDP, Financial years.



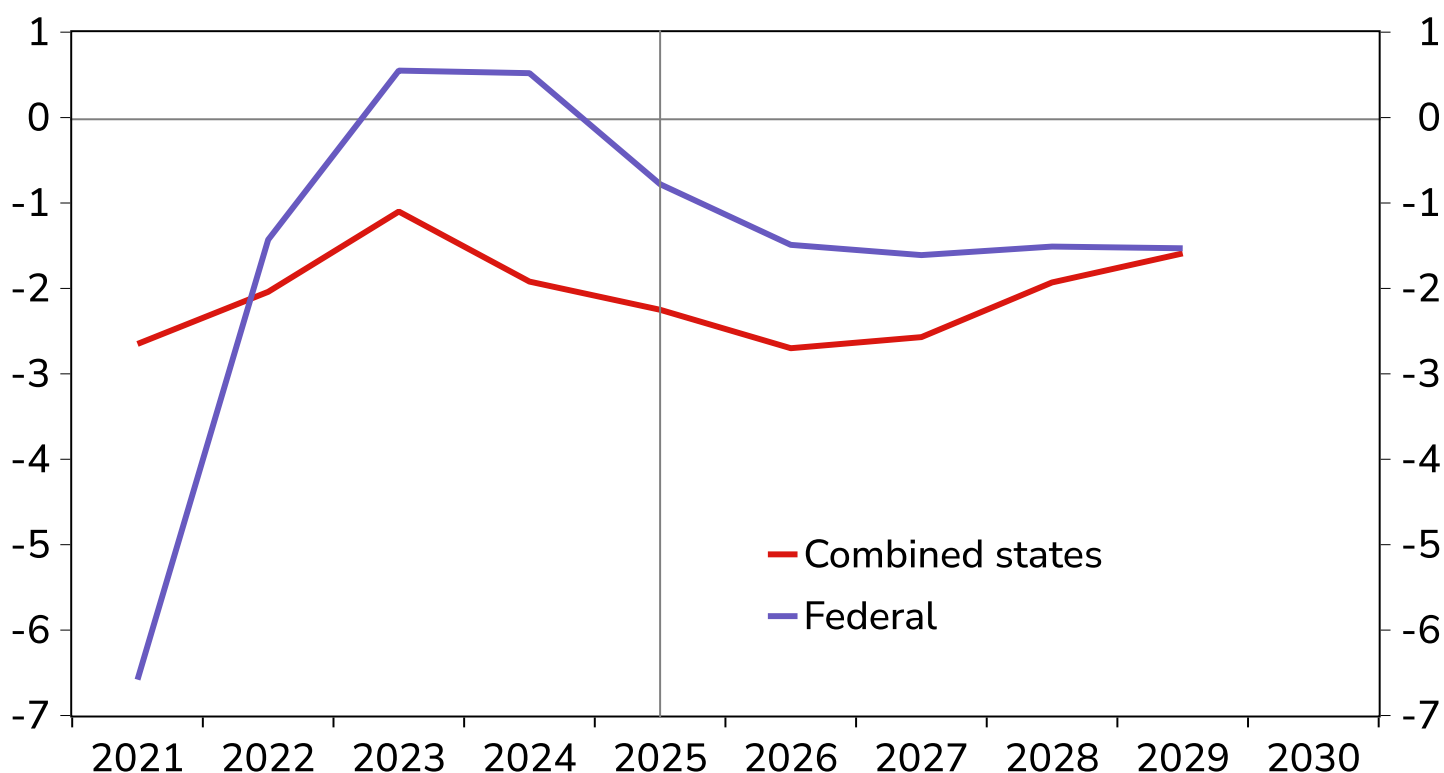
Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

However, unlike the GFC, this recent expansion has been driven by the states with the combined cash deficits larger than the Federal headline cash deficit. This is unusual: historically, large fiscal expansions have typically been led by the Commonwealth, but in the current cycle it is state spending, particularly infrastructure, that has dominated the impulse.

Cash budget balances*

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Looking ahead, the slightly expansionary impulse suggests limited incremental support to demand from fiscal policy. In principle, this should help ease pressure on capacity and inflation. However, given the ongoing pipeline of policy measures and the political imperative to support households during this oil price shock, there is a clear risk that fiscal settings remain more expansionary than currently assumed.

Bottom line

The shift in the outlook leaves state budgets in a materially weaker position. A combination of softer revenue growth, rising cost pressures and an increasing interest burden is set to delay fiscal repair. With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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Cliff Notes: policy perspectives from across the globe

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By [Elliot Clarke](#), [Illiana Jain](#), [Ryan Wells](#) & [Mantas Vanagas](#)

09:42 May 01 2026

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Key insights from the week that was.



In Australia, the [Q1 CPI](#) report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and

inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that “upside risks to inflation and downside risks to growth have intensified” and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March’s baseline and the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision”. Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England’s April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee’s readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages \$108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages \$127 this quarter and remains above \$100 well into 2028 – would likely require “a forceful tightening in monetary policy”, however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE’s most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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10 April 2026

HORMUZ HIT CPI & CORE INFLATION

The magnitude of the shock has significant implications

Key points

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to [Middle East Crisis Update](#).
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.

Breakdown of near term inflation forecasts

	Mar-26	Mar-26	Apr-26	May-26
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.9	0.5
of which, bread & cereals	0.6	0.9	-0.1	-0.2
of which, meat & seafood	1.2	0.3	0.0	0.9
of which, dairy prod.	0.3	0.9	0.3	-0.1
of which, fruit & vegetables	1.9	2.8	4.1	0.5
of which, food products	1.0	0.0	0.8	0.3
of which, non-alcohol bev.	1.1	0.5	-0.5	1.8
Alcohol & tobacco	1.1	0.3	0.2	0.8
of which, alcohol	1.1	0.4	-0.2	1.2
of which, tobacco	1.2	1.4	1.0	-0.2
Clothing & footwear	1.6	-4.2	4.8	-1.9
of which, garments	1.3	-3.7	5.5	-1.7
Housing	3.0	0.2	0.2	0.1
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	0.8	0.2	0.3	0.3
of which, electricity	21.9	0.0	0.0	0.0
of which, gas & other fuels	1.0	-0.1	-0.6	-2.0
H/hold contents & services	-0.3	-1.2	0.4	-0.3
Health	2.3	-0.1	2.1	-0.3
Transportation	2.2	9.7	1.1	2.0
of which, auto fuel	5.9	34.9	1.8	5.6
Communication	-0.2	-0.1	0.6	0.3
Recreation	-1.0	0.2	4.0	-2.3
of which, holiday travel	-3.2	0.7	7.3	-5.2
Education	4.3	0.0	0.0	0.0
Financial & insurance	0.9	0.4	0.2	0.1
CPI: All groups	1.5	1.3	1.3	0.0

Sources: ABS, Westpac Banking Corporation

- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

A crude shock, surcharges may change expectations



Justin Smirk
Senior Economist

A materially bigger and more persistent shock ...

As noted in our [Middle East Crisis Update](#), a prolonged disruption in the Gulf is sustaining higher energy prices. We now have Brent averaging around US\$120/bbl in the June quarter. This is based on our assessment of unfolding infrastructure damage and a slow recovery in shipping traffic through the Strait of Hormuz.

So despite the announced cut in fuel excise, we expect CPI inflation to peak at 5.4%yr in the June quarter, while the monthly measure, which the ABS highlights as the main indicator and can be significantly more volatile than the quarterly series, may peak close to 6%yr in May.

Westpac expects core inflation, as measured by the quarterly Trimmed Mean, peaking around 4% in the second half of year; food, household services and even new dwelling prices, alongside broader non-energy pass-through, are key risks to our estimates. We also note that the monthly TM spikes a bit faster hitting a 4.0%yr pace by June.

In response, the RBA is now expected to deliver three rate hikes (May, June, August), taking the cash rate to a peak of 4.85%. As the combined supply shock and tighter policy weigh on demand, GDP growth is expected to trough at 1%yr in 2027 while unemployment peaks around 5% at end 2026. A deeper dive into these issues are summarised in the video by the Westpac Economics Team led by Luci Ellis "[Longer conflict, higher inflation and cash rate](#)"

This was, of course, before the announcement of a two-week ceasefire on the 8th of April (Asian time). This is obviously welcome and a positive risk scenario relative to the baseline we outlined last week and underpins our current inflation forecasts. Should the ceasefire hold – and that is a big if – a faster opening up of the Strait of Hormuz would result in energy prices tracking between the profile we currently have and the one underpinning the forecasts in the [March](#).

Monthly inflation profile

		Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26
CPI	Index	102.6	103.9	103.9	104.0	104.8	104.9	105.1	105.1	104.8	105.7
	(%mth)	1.3	1.3	0.0	0.1	0.8	0.1	0.2	0.0	-0.3	0.8
	(%yr)	4.7	5.3	5.8	5.7	5.2	5.4	5.1	5.1	4.8	4.7
Trimmed mean	(%mth)	0.2	0.5	0.4	0.3	0.4	0.4	0.2	0.4	0.2	0.3
	(%yr)	3.3	3.6	3.8	4.0	3.9	4.0	3.9	4.0	3.9	3.9
	(6mth ann'd)	3.2	3.7	4.1	4.1	4.3	4.6	4.6	4.4	3.8	3.7

Source: ABS, Westpac Economics.

Revision to the March quarter CPI estimate

	Feb 24, 2026		Apr 10, 2026	
Item	% qtr	contrib	% qtr	contrib
Food	1.2	0.21	1.0	0.17
of which, Fruit & vegetables	4.2	0.09	1.9	0.04
Alcohol & tobacco	1.2	0.08	1.1	0.08
of which, Tobacco	1.9	0.04	1.2	0.02
Clothing & footwear	-1.0	-0.03	1.6	0.05
Housing	2.7	0.58	3.0	0.64
of which, Rents	1.1	0.07	1.0	0.07
of which, House purchases	1.2	0.09	0.8	0.06
of which, Utilities	9.6	0.42	12.2	0.55
H/hold contents & services	0.3	0.02	-0.3	-0.02
Health	2.9	0.20	2.3	0.15
of which, Pharmaceuticals	5.8	0.06	2.9	0.03
Transportation	-1.3	-0.15	2.2	0.25
of which, Car prices	-0.2	-0.01	0.9	0.03
of which, Auto fuel	-5.1	-0.16	5.9	0.20
Communication	-0.1	0.00	-0.2	0.00
Recreation	-1.1	-0.14	-1.0	-0.13
of which, Audio visual & comp.	0.1	0.00	1.6	0.03
of which, Holiday travel	-2.8	-0.17	-3.2	-0.19
Education	5.2	0.25	4.3	0.21
Financial & insurance services	0.9	0.05	0.9	0.05
CPI: All groups	1.1	-	1.5	-
CPI: All groups % year	3.8	-	4.2	-

Sources: ABS, Westpac Economics.

Quarterly inflation profile

		Mar-26	Jun-26	Sep-26	Dec-26
CPI	Index	101.8	103.8	104.7	105.0
	(%qtr)	1.5	1.9	0.9	0.3
	(%yr)	4.2	5.4	5.0	4.6
Trimmed mean	(%qtr)	0.9	1.0	1.0	0.9
	(%yr)	3.5	3.9	4.0	4.0
	(6mth ann'd)	3.7	4.0	4.2	4.0

Source: ABS, Westpac Economics.

[Market Outlook](#) (which was based on a one-month closure of the Strait with little infrastructure damage). For further background on the unfolding risks to our current scenario see Luci Ellis's note "[On hoping you are wrong](#)".

In this bulletin we also release a forward profile of the Monthly CPI. This process is still at a preliminary stage but given the extreme surge we expect to see in the Monthly CPI, we thought it would be timely to provide some guidance out to December 2026.

March and April headline CPI set to surge

The Israel/US assault on Iran began in the morning of the 28th of February. We expect the resulting surge in oil prices to have the largest hit to the CPI in the months of March and April before flattening out in May and June. Auto fuel is set to increase again in July but this is due to the expiration of the recent temporary reduction in fuel excise.

Westpac is forecasting a 1.3% increase in March on the back of a 35% increase in auto fuel. At two decimal points the increase is 1.26% but we warn that given the current volatility in prices, there is a greater than usual degree of uncertainty so these finer estimates should be used with even more caution than usual.

The annual pace lifts from 3.7%yr to 4.7%yr in March.

Our current scenario has auto fuel lifting a further 2% and 6% respectively in April and May. The April CPI will also be boosted by a seasonal bounce in clothing & footwear and holiday travel & accommodation plus the annual increase in health insurance premiums. The annual pace of CPI inflation is expected to peak at 5.8%yr in May (so there is a risk it could peak as high as 6%yr) and then slowly moderate to 4.7%yr by December 2026.

Core inflation is higher for longer

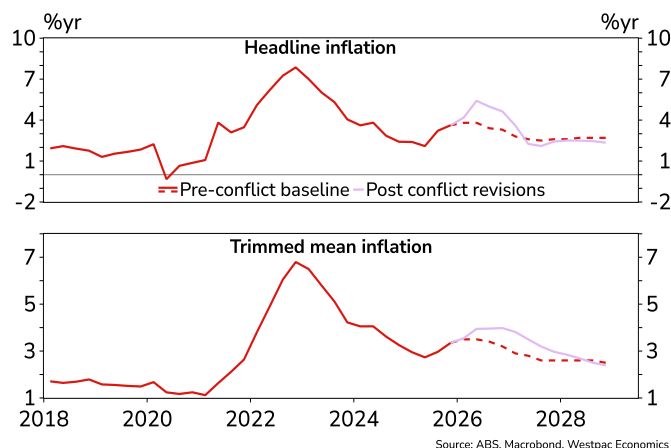
We estimate a 0.23%*mth* rise in the Monthly Trimmed Mean (TM) in March holding the annual pace steady at 3.3%yr. The six-month annualised pace is also steady at 3.3%yr which down from a 3.7%yr pace in December. We were expecting the pace of core inflation to moderate from here but with the conflict in Iran disrupting shipping out of the Gulf, and the resulting surge in fuel prices, we now see fuel prices remaining higher for longer resulting in a greater degree of pass-through to core inflation.

The TM is set to lift 0.5%*mth*/3.6%yr in April, 0.4%*mth*/3.8%yr in May and 0.3%*mth*/4.0%yr in June. The forecast peak in the annual TM inflation is 4.0%yr in June then holding between 3.9%yr and 4.0%yr to year end; in six-month annualised terms the peak pace is 4.6%yr in September.

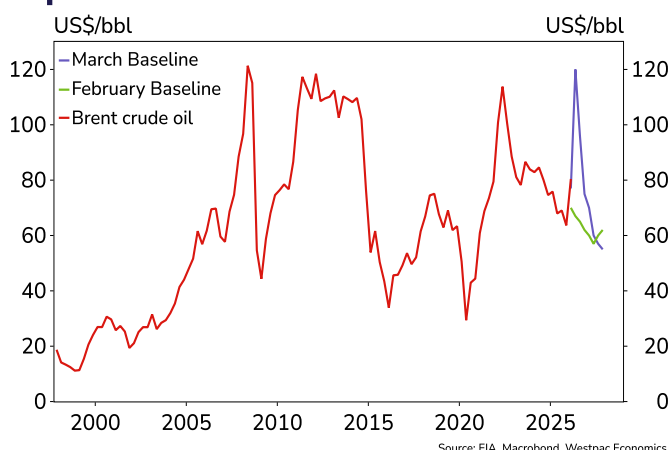
Quarterly inflation less volatile

The Monthly CPI is the focus of the ABS CPI release, and as such, it gains the most media attention. However, at least for now given the short history of the complete Monthly CPI, the quarterly measures of inflation will remain the focus of both the RBA and the Australian government when setting both monetary and fiscal policy, particularly when it comes to core inflation as measured by the Trimmed Mean.

Middle East conflict forecast revisions

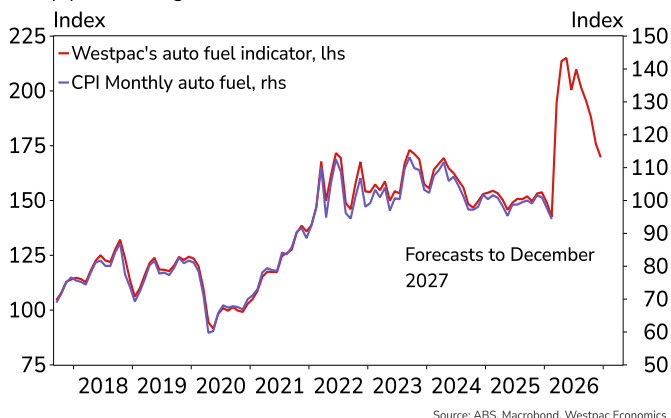


Oil price scenarios



Auto fuel prices

Pump price average for unleaded and diesel



As the current conflict started in the last week of February, we have only see one month of higher fuel prices so the auto fuel is expected to rise just 5.9% in the March quarter. However, starting from a high base in the June quarter means fuel prices to continue to rise solidly and we estimate a 24% surge in the fuel prices component in the June quarter.

Overall, we estimate a 1.5% increase in the March quarter taking the annual pace from 3.6%yr to 4.7%yr. As noted earlier, we expect this momentum to continue into the June quarter with a further 1.9% surge in the CPI taking the annual pace to 5.4%yr. While we think this should be the peak in the annual pace, it is nevertheless the fastest pace since June 2023 when it was reported to be 6.0%.

Core inflation is not immune to this boost as we are forecasting a 0.93% increase in the March quarter, matching the 0.9% increase in the December quarter and it is a prelude to the step up to a 1.0% increase in both the June and September quarters. This will see the annual pace peak at 4.0%yr in the second half of the year.

The Trimmed Mean estimate starts from a low of 0.2% to a high of 2.2%. Significant expenditure items trimmed off the bottom includes vegetables (–1.2%), international travel & accommodation (–0.7%) and other non-durable household products (–0.7%). Trimmed off the top are secondary education (2.3%), tobacco (2.4%), furniture (3.3%), women's garments (3.5%), auto fuel (5.9%), electricity (118.3%).

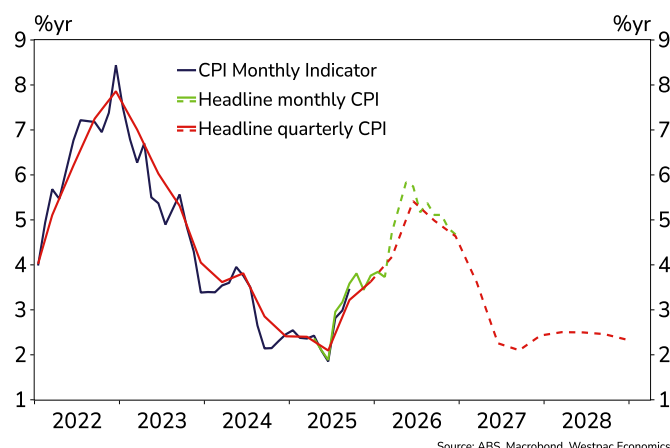
As we have noted in earlier bulletins, until the ABS has a better understanding of the seasonality of the new monthly CPI, they [will continue publishing](#) quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and found it represents a small downside risk to our March quarter estimate but it still rounds to 0.9%qtr. As such we just note the risk and do not adjust our overall forecast.

Signs of faster pass-through

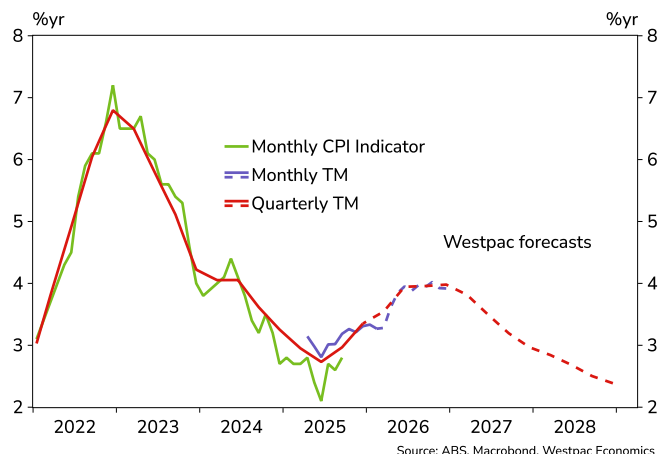
We have received many anecdotal reports of increases in input costs, often as a fuel surcharge or levy. Some of these were adjusted downwards when the Australian government cut the fuel excise but remain significant. We have also heard of restaurants, cafés and even hairdressers adding a fuel levy to prices but these are yet to be confirmed.

It has also been reported that rising input costs could add as much as 10%, or \$50,000, to the cost of building an average detached home. Using input price increases as reported by Tradelink this estimate seems fair. Tradelink data suggests an average increase of 16% in April, the largest increase in the data we have back to January 2020; not all products will see price increases in any given month, but the number of notifications of price increases on the Tradelink website has also risen. The proposed average increase for May increases to 17% before easing back to around 7% in June and July so it will be interesting to see how these estimates are adjusted as actual prices are posted.

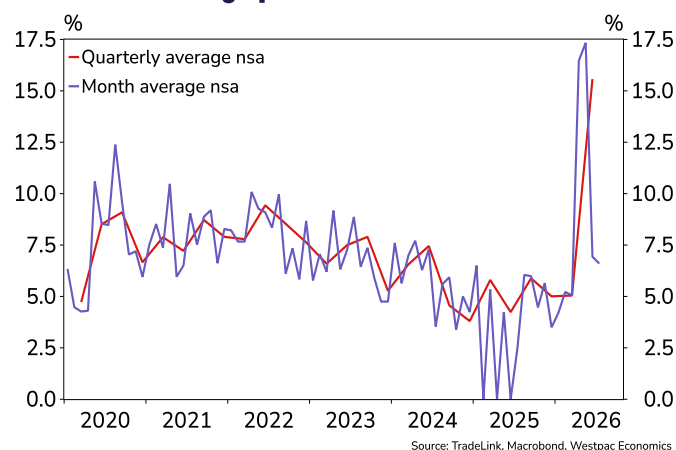
Headline inflation in three series



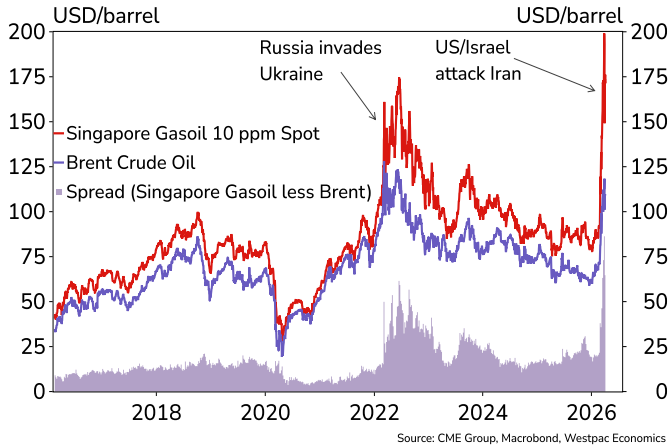
Trimmed Mean inflation in three series



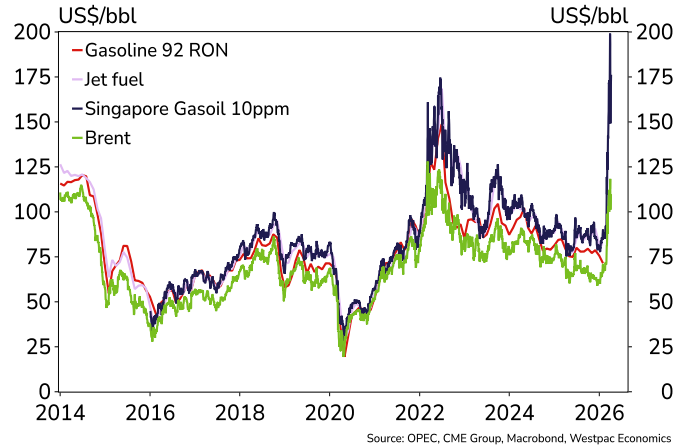
Tradelink - average price increase



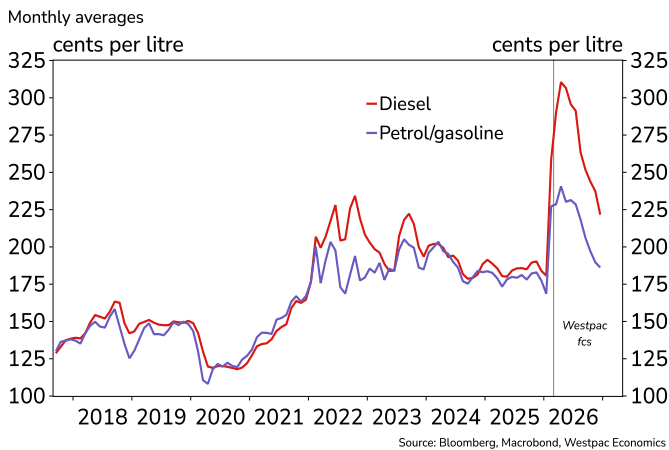
Brent Crude vs Singapore Gasoil 10ppm



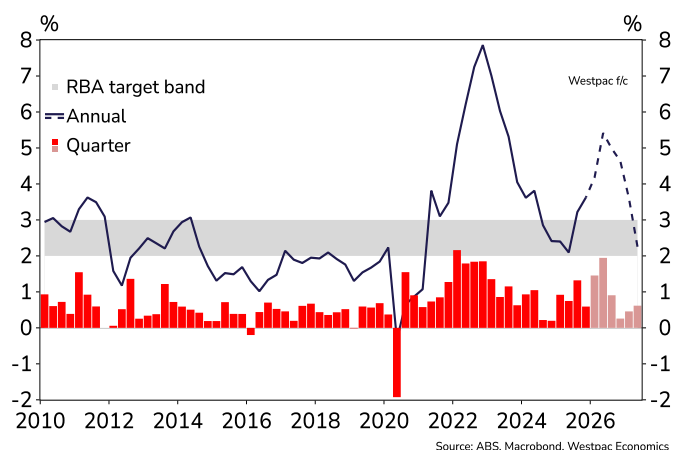
Singapore refined fuel prices



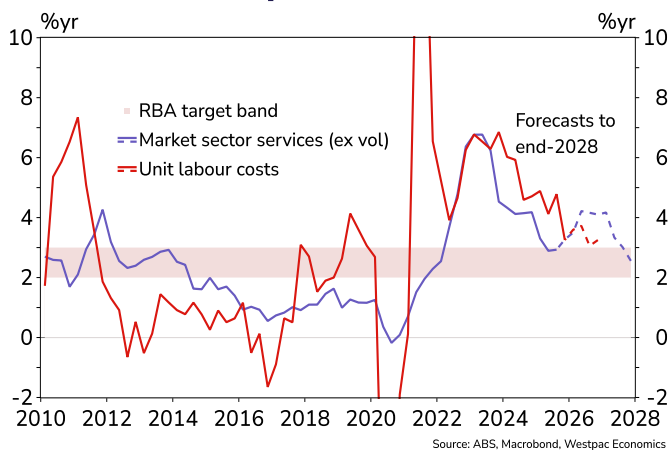
Australian pump prices for auto fuel



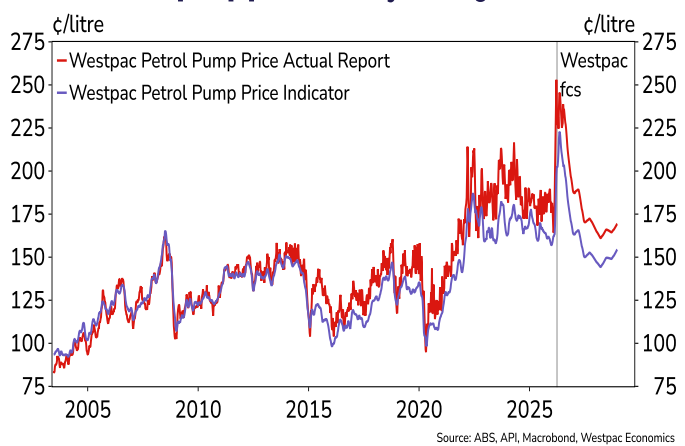
Headline CPI Inflation



Market sector underpins rise in core inflation



Unleaded fuel pump price weekly average





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Cliff Notes: Middle East conflict seemingly at an impasse

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By [Elliot Clarke](#) & [Illiana Jain](#)

10:56 April 24 2026

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Key insights from the week that was.



Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the

expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act “as the situation demands” ahead. Next week’s run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump’s pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC’s communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh’s confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain. Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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22 April 2026

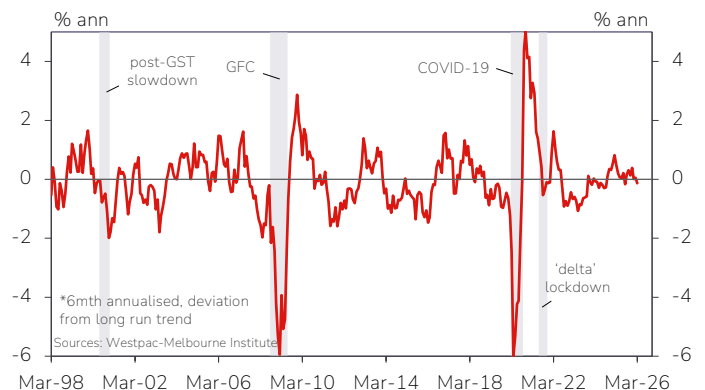
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate declines to -0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

Westpac-MI Leading Index



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Leading Index momentum dips back below trend



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to -0.13% in March from $+0.05\%$ in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024.

The Leading Index growth rate has now swung from $+0.31\%$ in October last year to -0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

Component-wise, the biggest negative shifts have come from: the Westpac–Melbourne Institute Consumer Expectations Index (a 20% drop over the last six months effectively taking 0.27ppts off the headline growth rate); a sharp sell-off in the Australian sharemarket in the March month (-0.24 ppts); and a flattening yield spread as short-term interest rates have moved higher (-0.15 ppts). Some of these declines may not be sustained though, with a notable recovery in sharemarket in the first three weeks of April. If it sustains, the move will be reflected in next month's index.

Roughly speaking, about 60% of the drag on the six month growth rate coming from these three components looks to be due to the conflict in the Middle East. All of sharemarket fall and about half of the sentiment decline since October has occurred after the conflict began. Most of the yield gap shift however can be attributed to monetary policy developments prior to the war.

Other components have provided partial offsets. Most notably, higher commodity prices (up 11.9% in Australian dollar terms over the last six months) have added 0.09ppts to the Index growth rate over the same period. Dwelling approvals have added a further 0.11ppts although this is likely being exaggerated by a very choppy monthly profile (approvals jumped 30% in February after dropping 20% through December–January). The contribution from the remaining three components has seen no net change since October.

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. The latest Leading Index update confirms that higher interest rates and the spike in fuel prices associated with the conflict in the Middle East are starting to weigh on growth momentum, albeit fairly mildly. However, the MPB's main concerns are likely to be around inflation with underlying measures already above the RBA's 2–3% target range and set to move higher as the effects of energy price rises come through. On balance we expect the risk of this feeding into a lift in inflation expectations will over-ride the downside risks to growth. As such, we expect the MPB to raise the cash rate by another 25bps in May with further moves likely in subsequent months.



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Australia's Trade in Goods Account, March

#trade

#australia



By Ryan Wells

Economist, Westpac

15:15 May 07 2026

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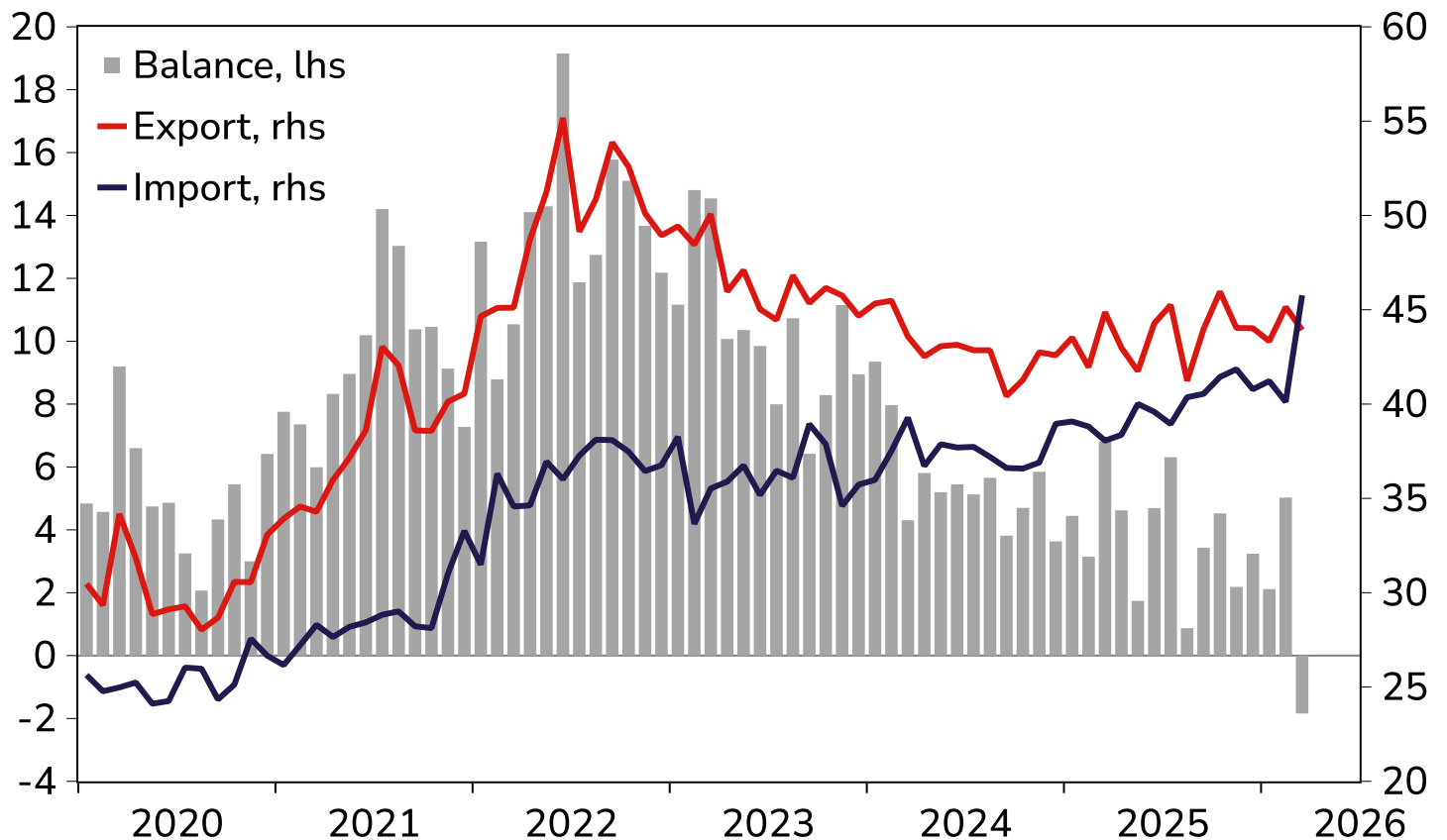
Australia's monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance: $-\$1.8\text{bn}$. Export values: $-2.7\%\text{mth}$. Import values: $+14.1\%\text{mth}$.



March's goods trade data surprised on many fronts. The headline balance collapsed from a surplus of \$5.0bn in February to a deficit of –\$1.8bn March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings disappointed in March, falling –2.7%. An important driver of this was a broad-based pull-back in rural goods exports (–11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our 'Big 3' commodity exports: coal dropped –1.8%, metal ores and minerals (i.e. iron ore) fell –1.4%, while the lift in other mineral fuels (i.e. LNG) was underwhelming (+4.6%).

Additional data provided by the ABS on prices and volumes for these commodities revealed some

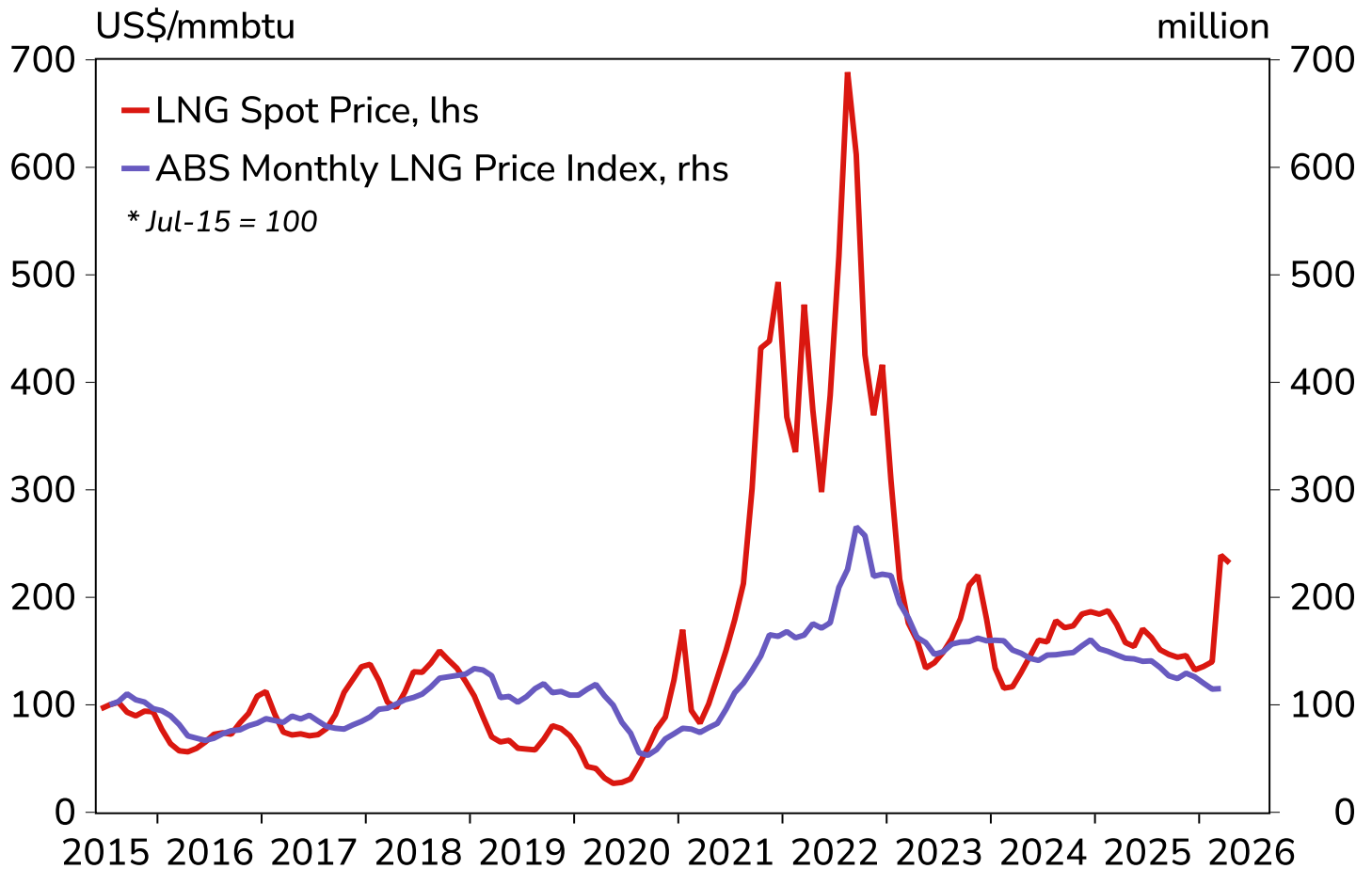
important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

LNG Prices



Source: ABS, Macrobond, Westpac Economics

Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping \$2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US\$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

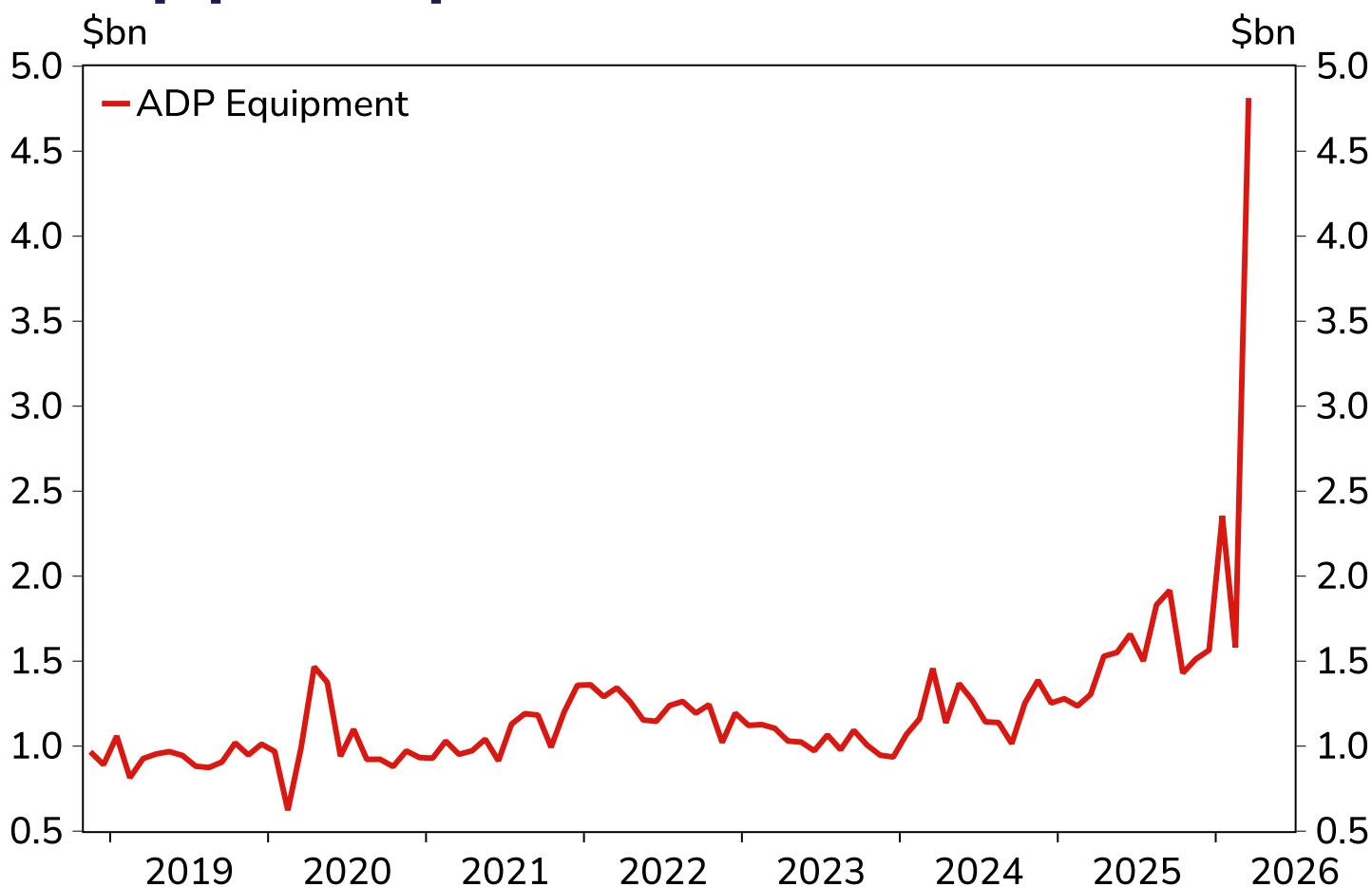
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell -11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around \$4.6bn, from \$9.9bn in Q4 to \$5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the services balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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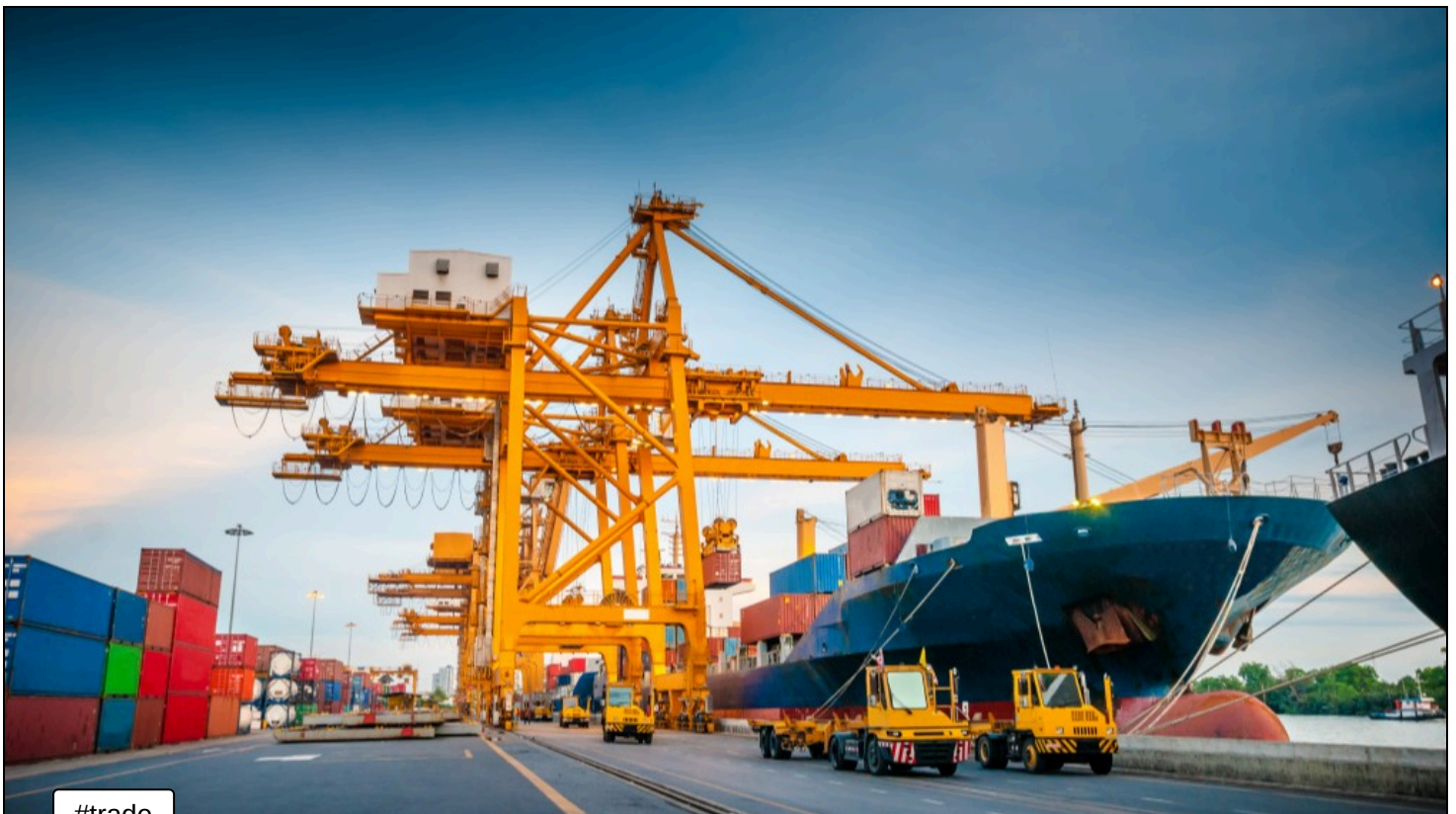


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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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March CPI – all about fuel, too early for pass through

#inflation

#australia

#rba

#economicbulletinsaustralia



By Justin Smirk

Senior Economist, Westpac

15:30 April 29 2026

Share

Headline March Quarter CPI 1.4%qtr/4.1%yr; Trimmed Mean 0.8%qtr/3.5%yr. Monthly March CPI 1.1%mt/4.6%yr, Trimmed Mean 0.3%mt/3.3%yr.



- Headline inflation being boosted by surging fuel prices.
- Core inflation was moderating before the Gulf Crisis and, at this stage, there is very limited sign of any passthrough to from higher fuel costs to broader price pressures.

- Today's inflation update locks in a May rate increase and while we expect to see two more after this, a lot will depend on just how much demand destruction we see because of higher prices.

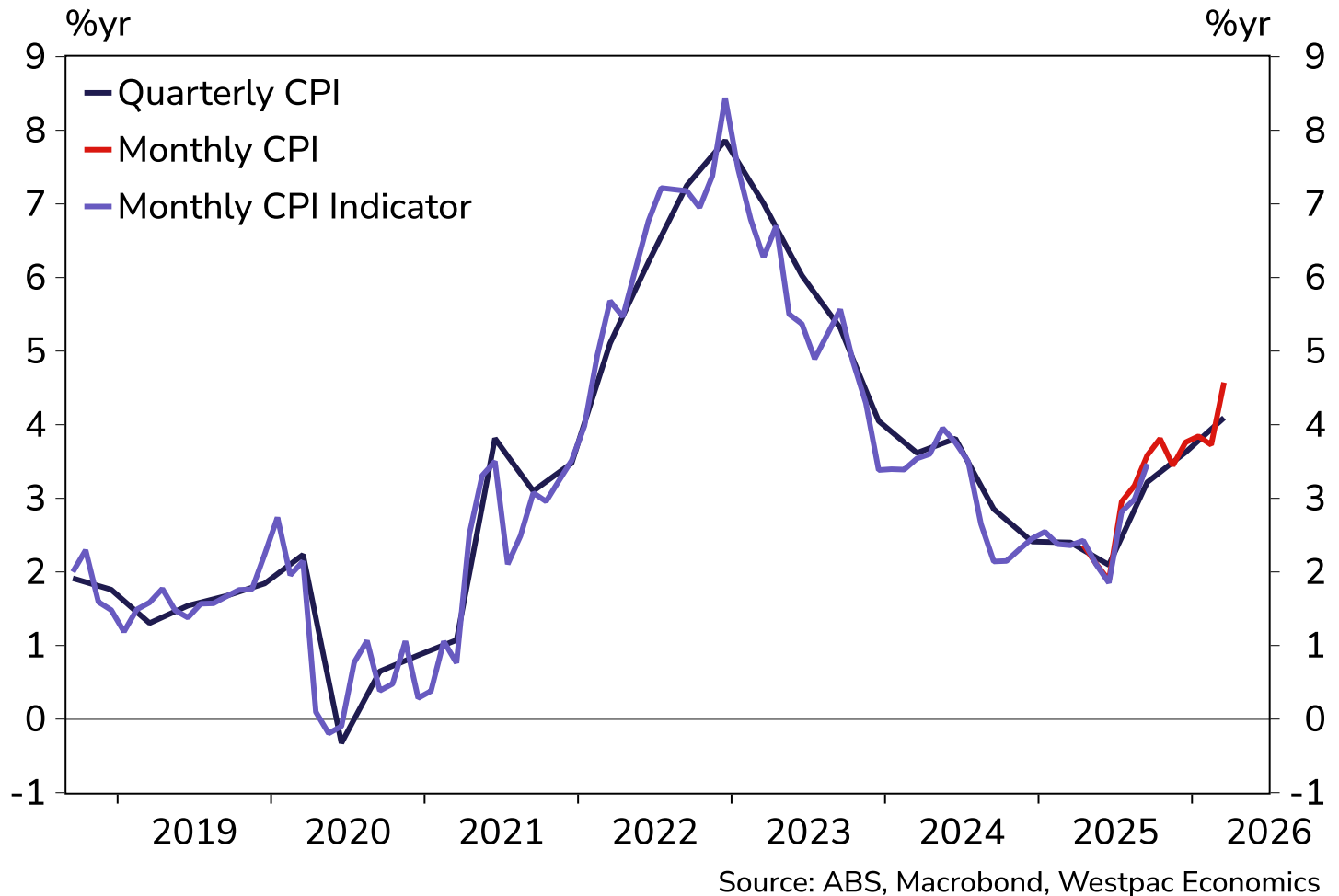
The CPI gained 1.4% in the March quarter, on par with market consensus and close to Westpac's expectation of 1.46%. The annual pace of headline inflation, at 4.1%yr, is accelerating again; it was 2.1%yr in mid-2025 lifting to 3.6%yr in December. The acceleration through 2025 was mainly the unwinding of energy rebates but in early 2026 it is the crisis in the Gulf, and resulting surge in auto fuel prices, that is driving the acceleration. However, the cost-of-living assistance and surge in auto fuel has a limited impact on core inflation and so these measures take on more critical role in assessing the current pace of inflation.

The Trimmed Mean (TM) lifted 0.8% in the March quarter. Westpac and the market expected 0.9% (Westpac 0.93%). However, in our preview we highlighted that calculating the quarterly TM based on historical survey timing, which the ABS is doing given the short history for a number of series, pointed to a small downside risk to our estimate. The annual pace lifted very modestly from 3.4%yr to 3.5%yr.

The monthly trimmed mean increased 0.3%moth, which held the annual pace flat at 3.3%yr for the fourth consecutive month; the six-month annualised pace eased back a touch to 3.5%yr from 3.9%yr in December. It is worth noting that at this point in time the annual pace of the monthly CPI is tracking under that of the quarterly CPI.

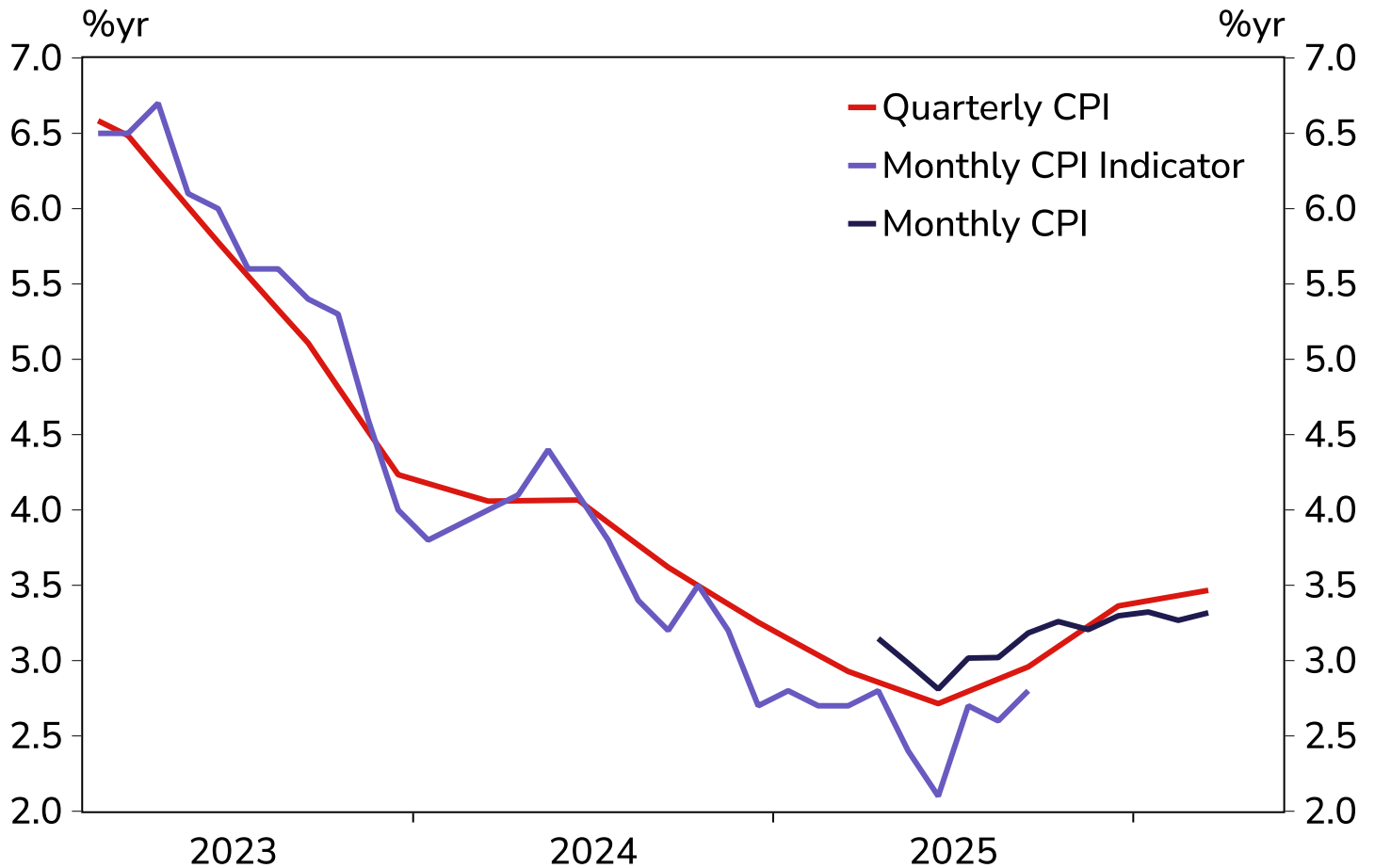
Prior to the Gulf Crisis, the momentum in core inflation had been moderating.

Headline Inflation



The headline Monthly CPI lifted 1.1% in March to be up 4.6% in the year. This was quite a bit softer than our estimate of 1.3%_{mt}/4.7%_{yr}. Worthy of note was that auto fuel was softer than expected, lifting 32.8% vs. 36.4% expected. More concerning to the outlook for core inflation was that dwelling prices lifted 0.5% in the month compared to our expectation for a more modest 0.2% increase. The ABS did note this increase in the annual pace was due to project home builders raising base prices to pass through higher labour and materials costs over the year but made no comment on the monthly increase.

Trimmed Mean Inflation

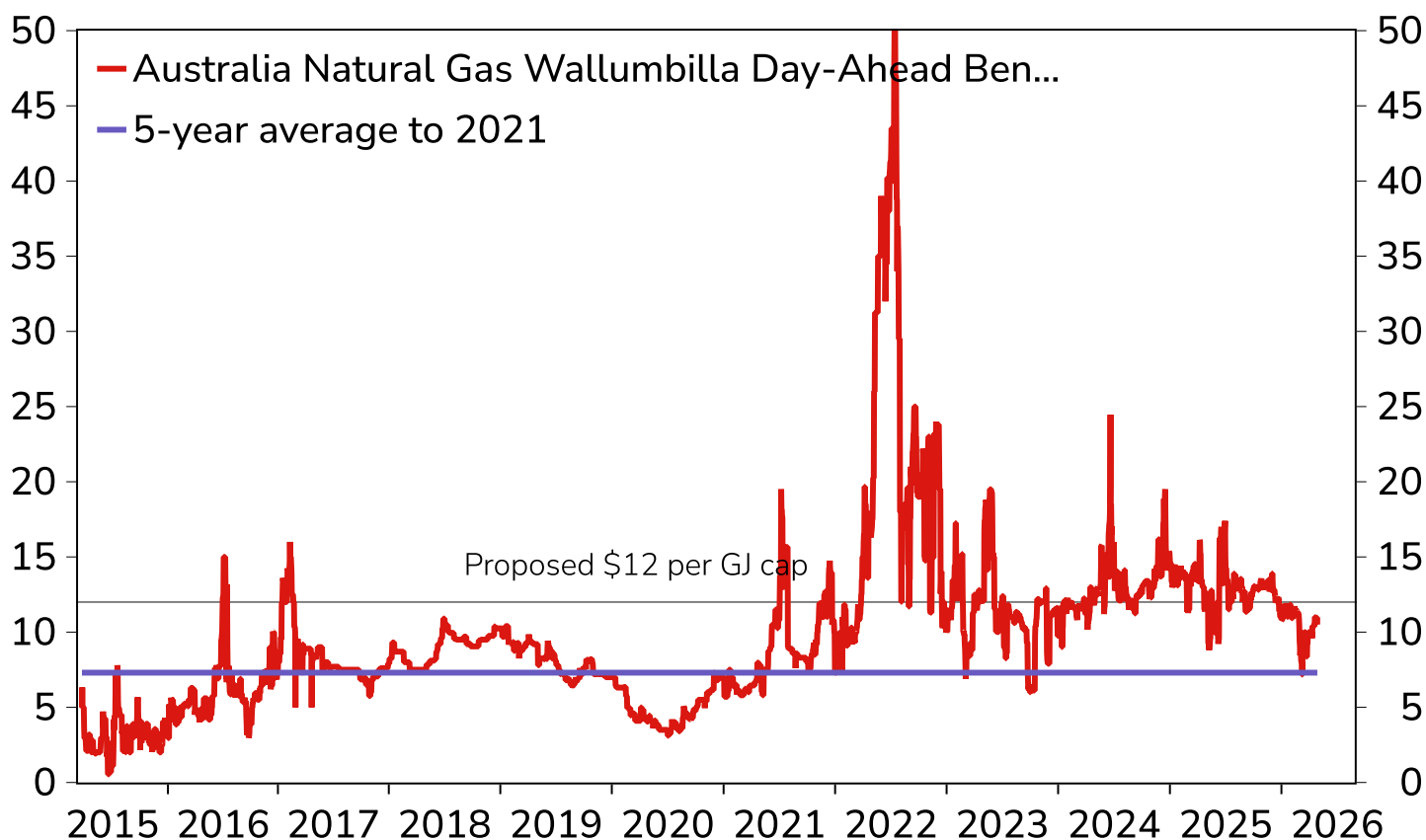


Source: ABS, Macrobond, Westpac Economics

For the RBA, as noted by Westpac's Chief Economist Luci Ellis in "**RBA May hike locked in**", there was some scattered signs of pass-through to other prices, even though March was very early days for this to be evident and most likely it is business taking the opportunity to raise prices in front of looming cost increases. However, it was not widespread and as we covered before, electricity prices have benefited from Australian local gas prices separating themselves from global LNG prices (the local price is currently around \$10/GJ so under the government's proposed \$12/GJ cap) and the rising share of renewables supported by storage which has seen lower than average summer electricity prices.

Wholesale Natural Gas

Wallumbilla Benchmark Price, \$/GJ



Source: , Macrobond, Westpac Economics

Nevertheless, we still expect the RBA to raise the cash rate at their May meeting. Given recent communication from the Bank has characterised the supply shock as ‘further exacerbating existing capacity pressures’ with future demand destruction just a possibility, we see two further interest rate hikes after May. It is true that the Trimmed Mean for the March quarter was on the RBA forecast of 3.5%yr but to achieve their estimate of 3.7%yr for the June quarter we will have to see a step down in the quarterly pace of 0.8%, a bridge too far we think given the current shock we are experiencing. Our current forecast for the June quarter Trimmed Mean is 1.0%qtr.

We are preparing a more detailed bulletin outlining any revisions to our inflation profile once we have processed all the quarterly and monthly data. But we can note that for the March quarter market services ex volatile inflation surprised with a flat print in the quarter with only a very modest lift in the annual pace to 3.4%yr from 3.3%yr. We are expecting it to pick up from here but due to modest wage outcomes, and better productivity in the market sector, we see this acceleration being capped around 4%yr in the second half of 2026, tracking the lift in Trimmed Mean inflation.

Below is the table comparing the quarterly details with our published estimates. We will cover the reasons for the small variations in our review of the monthly CPI as that is where the differences lie.

CPI forecasts		Mar-26		Mar-26	
Item		Actual	contrib	forecast	contrib
		% qtr		% qtr	
Food		1.0	0.18	1.0	0.17
of which, fruit & vegetables		1.7	0.03	1.9	0.04
Alcohol & tobacco		1.3	0.09	1.1	0.08
of which, Tobacco		1.1	0.02	1.2	0.02
Clothing & footwear		2.3	0.07	1.6	0.05
Housing		2.9	0.65	3.0	0.64
of which, Rents		0.9	0.06	1.0	0.07
of which, House purchases		0.9	0.07	0.8	0.06
of which, Utilities		12.1	0.55	12.2	0.55
H/hold contents & services		-0.3	-0.02	-0.3	-0.02
Health		2.2	0.15	2.3	0.15
of which, Pharmaceuticals		3.6	0.03	2.9	0.03
Transportation		2.0	0.23	2.2	0.25
of which , car prices		1.0	0.03	0.9	0.03
of which, auto fuel		5.2	0.18	5.9	0.20
Communication		0.0	0.00	-0.2	0.00
Recreation		-1.3	-0.16	-1.0	-0.13
of which, audio visual & computing		1.1	0.02	1.6	0.03
of which, holiday travel		-3.8	-0.23	-3.2	-0.19
Education		3.0	0.14	4.3	0.21
Financial & insurance services		1.0	0.06	0.9	0.05
CPI: All groups		1.4	–	1.5	–
CPI: All groups % year		4.1	–	4.2	–

Monthly March CPI in more detail.

The Israel/US assault on Iran began in the morning of the 28th of February with most of the price and the resulting jump in auto fuel prices above \$2/l occurred in the week ending the 8th of March. As such the March CPI would have been very early days for much pass-through to be evident. As noted in earlier bulletins we have recorded price increases for building products, but these did not take effect until 1st April.

Nevertheless, the March CPI did show some scattered signs of pass-through to other prices. Home building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month. Services related to audio-visual, computing and telecommunications also increased in the month,

which for telecommunications went against the run we have seen in recent months. There were some promising signs in softer monthly prices of appliances and some other household goods which we will be closely watching to see if they are reversed in the months ahead.

CPI Item	Qtr CPI	Monthly CPI Indicator			WBC fcs
	Mar-26 % qtr	Jan-26 % mth	Feb-26 % mth	Mar-26 % mth	Mar-26 % mth
Food	1.0	0.5	-0.1	0.7	0.6
of which, bread & cereals	0.4	0.2	-1.2	0.3	0.9
of which, meat & seafood	1.3	0.2	0.5	0.5	0.3
of which, dairy & related products	0.3	-0.4	-0.6	0.8	0.9
of which, fruit & vegetables	1.7	0.8	0.0	2.6	2.8
of which, food products nec	1.1	1.1	-1.1	0.1	0.0
of which, non-alcohol beverages	1.3	0.6	0.7	1.1	0.5
Alcohol & tobacco	1.3	0.9	0.2	0.8	0.3
of which, Alcohol	1.4	1.3	0.1	0.7	-0.2
of which, Tobacco	1.1	-0.1	0.4	1.1	1.4
Clothing & footwear	2.3	2.9	2.6	-1.9	-4.2
of which, garments	1.6	2.2	2.9	-2.5	-3.7
Housing	2.9	2.2	0.3	0.2	0.2
of which, Rents	0.9	0.3	0.4	0.2	0.4
of which, House purchases	0.9	0.4	0.1	0.5	0.2
of which, Electricity	21.9	18.5	1.0	0.0	0.0
of which, Gas & other fuels	1.0	0.0	-0.1	0.0	-0.1
H/hold contents & services	-0.3	-3.6	3.9	-0.2	-0.3
Health	2.2	2.7	0.1	-0.2	-0.1
Transportation	2.0	-0.7	-0.7	9.2	9.7
of which, auto fuel	5.2	-3.2	-3.4	32.8	36.4
Communication	0.0	-0.1	0.2	0.5	-0.1
Recreation	-1.3	-3.4	-3.0	-0.7	0.2
of which, holiday travel	-3.8	-7.6	-6.3	-1.4	0.7
Education	3.0	0.0	4.5	0.0	0.0
Financial & insurance services	1.0	0.3	0.1	0.8	0.4
CPI: All groups %qtr/%mth	1.4	0.4	0.0	1.1	1.3

In terms of downside surprises in March, the largest was for auto fuel at 32.8% vs 36.4% expected. We expect fuel to be flat in April with prices falling through May due to the delayed impact of the excise cut and lower crude oil prices in monthly averages. If the excise cut is reversed on July 1, as currently planned, then auto fuel is set to surge 17% through the month of July.

Also, holiday travel was softer, -1.4% vs. 0.7% expected, on the back of a -2.2% decline in domestic travel.

Most other item outcomes were either close to our estimates or stronger. Housing overall was on par with our 0.2% estimate with a more modest than expected 0.2% increase in rents being offset by a 0.5% increase in dwelling costs. With rising inputs cost for construction this may be an earlier sign we should be expecting a stronger lift in dwelling prices in the months ahead.

Clothing & footwear (−1.9%) did not fall as much as expected (−4.2%) with garments having a smaller than expected seasonal fall (−2.5%) while footwear fell −1.9% and accessories & clothing services fell −0.6%. It does appear that the gold boost to accessories through jewellery may have come to an end with a reported −0.6% in March.

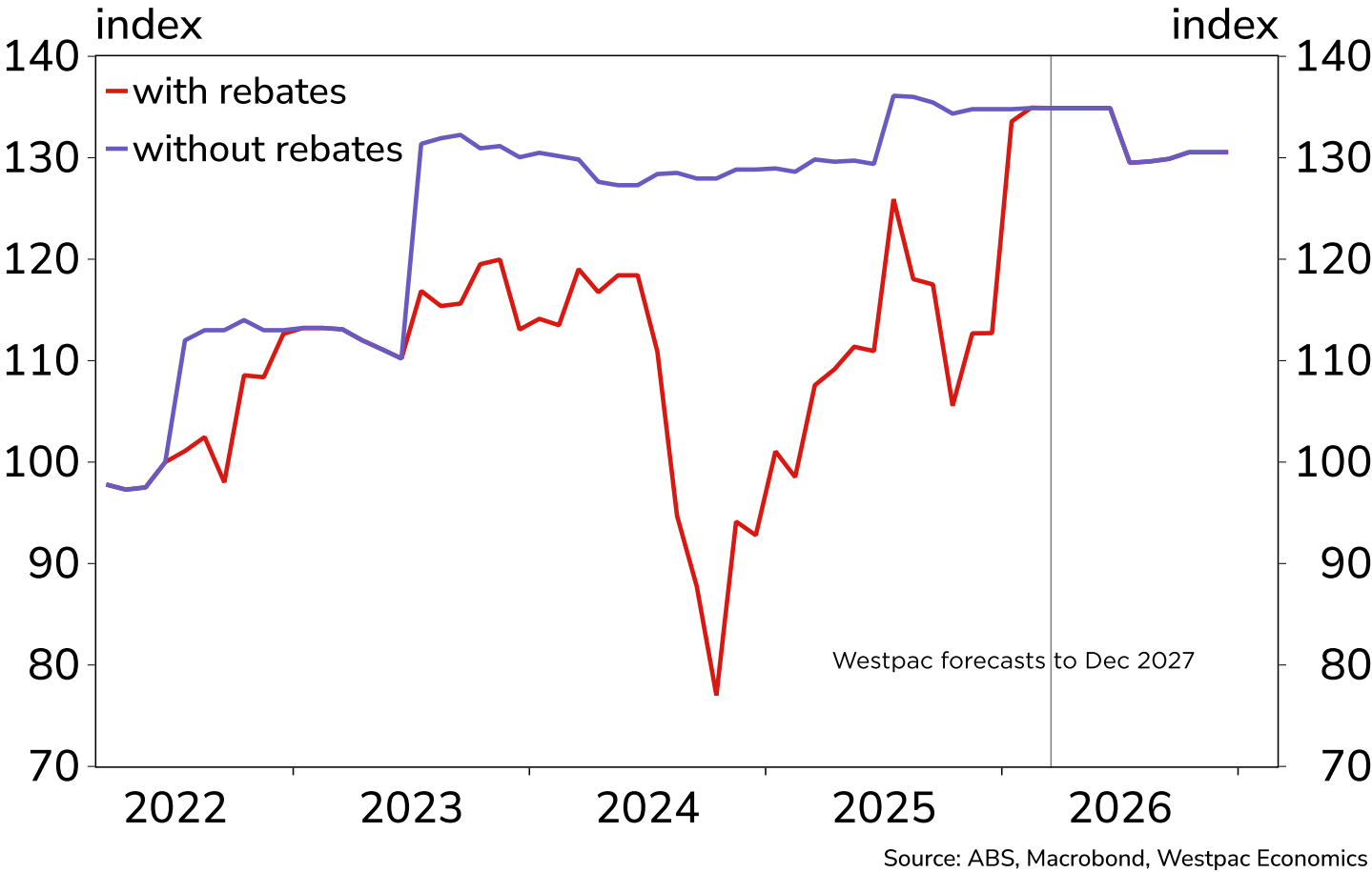
We also did not see the usual seasonal fall in alcohol (0.7% vs. −0.2% expected) which offset a softer than expected rise in tobacco (1.1% vs. 1.4%).

Communication prices lifted 0.5% in the month when we expected a small fall (−0.1%) due to an outsized 3.6% increase in postal services, the largest monthly increase since the 4.2% increase in July 2024.

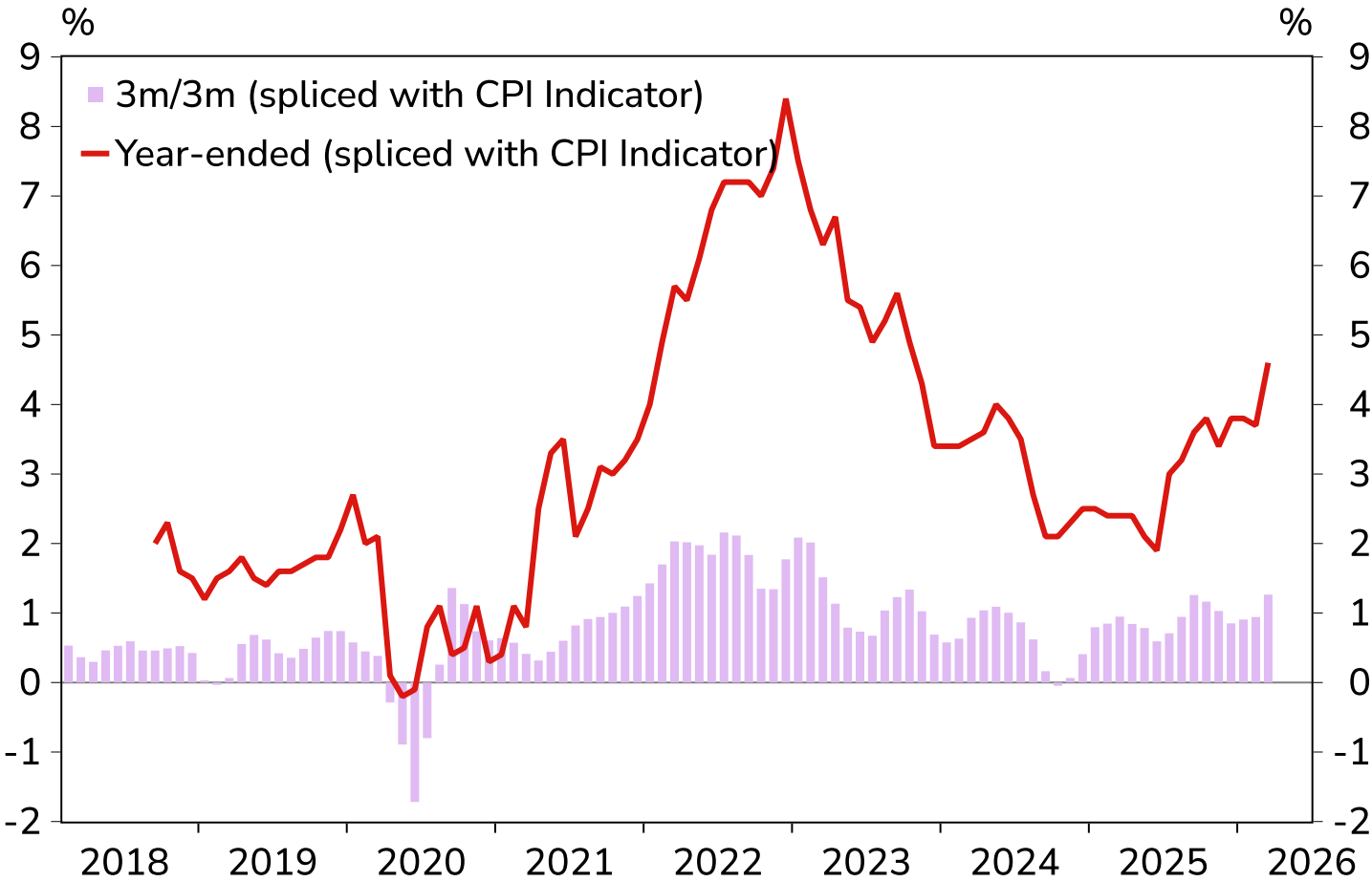
With the rise in construction costs we will be keeping a close eye on insurance premiums. Insurance surprised us with a 0.7% increase in March following hot on the heels of a 1.4% increase in January and a 0.4% increase in February. Combined with a 0.9% increase in deposit & loan facilities and a 0.8% increase in other financial services, insurance & other financial services lifted 0.8% vs. 0.4% expected.

These small but reasonably broad upside surprises is something we will be watching closely in the months ahead to see if they are early signs of pass-through from higher fuel costs as well as opportunistic price increases give the current backdrop.

Electricity forecast as currently published



Monthly CPI inflation (s.a.)



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8 May 2026

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The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
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- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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Today's key data and events

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The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
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Cliff Notes: dynamic risks

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By [Elliot Clarke](#), [Illiana Jain](#) & [Ryan Wells](#)

08:05 May 08 2026

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Key insights from the week that was.



In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its third consecutive rate hike, raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer

term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, Chief Economist Luci Ellis noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national dwelling price growth slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for dwelling approvals bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal household spending indicator bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer card activity data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in non-mining states where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal goods trade surplus buckled into deficit in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The

timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

A full update on our expectations for the global economy, Australia and New Zealand will be released later today on [Westpac IQ](#) in our May Westpac Market Outlook.

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Three challenging trends and the opportunities they present for Australian women

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By Luci Ellis

Chief Economist Westpac Group, Westpac

12:45 May 07 2026

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Three challenging trends – demographics, technology, and expectations of government – present opportunities for Australian women. How might the federal budget support them?



Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. Work with my Westpac colleague Ryan Wells back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later. Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask “why” five times to get to the root cause, we must ask, “and then what?” five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The “and then what” is that participation rates within age groups rise and can more than offset an ageing population

mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The “sandwich generation” task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false

assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed “greedy jobs”, those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, “always on” continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer “presence” and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, provided institutional norms also change. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called ‘caring’ occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year’s wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

How this is an opportunity for Australian women

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the “care economy” and the regulatory footprint more broadly has been positive for women’s employment. Especially in a relatively sex-segregated occupational job market like Australia’s, health, education and social care roles are disproportionately female-coded. Using the industry of a person’s main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

How the federal budget might address this

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne’s words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is “yes”.

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is “if it is safe enough for Europeans, it should be safe enough for Australians”. There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

Conclusion

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
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Today's key data and events

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0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
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The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

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8 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets told a two-part story, with early optimism around a potential US–Iran resolution later unwound on reports of a possible revival of 'Project Freedom' and US strikes, though officials emphasised the conflict had not restarted.

Equities were mixed, with US and European markets declining on renewed tensions, while Asian markets and the ASX 200 gained on earlier optimism.

US bond yields edged higher as oil prices rose, while Australian yields declined in line with the prior overnight move among global peers.

The USD strengthened, weighing on major currencies, while reports surfaced Japanese authorities may have intervened in currency markets by around US\$30 billion.

Commodity prices were volatile, with oil rising on renewed tensions and gold edging lower after giving back earlier gains.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.9	-0.3%
AUD/USD	0.7209	-0.4%
AUD/JPY	113.14	0.0%
AUD/GBP	0.5323	-0.1%
AUD/NZD	1.2138	-0.1%
AUD/EUR	0.6148	-0.2%
AUD/CNH	4.9080	-0.5%
AUD/SGD	0.9145	-0.4%
AUD/HKD	5.6467	-0.4%
AUD/CAD	0.9851	-0.2%
EUR/USD	1.1726	-0.2%
USD/JPY	156.92	0.3%
USD Index	98.24	0.2%

Equities	Close	Change
S&P/ASX 200	8,878	1.0%
S&P 500	7,337	-0.4%
Japan Nikkei	62,834	5.6%
Hang Seng	26,626	1.6%
Euro Stoxx 50	5,973	-0.9%
UK FTSE100	10,277	-1.5%
VIX Index	17.08	-1.8%

Commodities	Current	Change
CRB Index	387.72	-0.1%
Gold	4683.77	-0.1%
Copper	13393	0.0%
Oil (WTI futures)	97.10	2.1%
Coal (coking)	240.50	1.5%
Coal (thermal)	135.20	0.3%
Iron Ore	110.20	0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.00
90 day BBSY	4.49	0.00
180 day BBSY	4.81	-0.01
1 year swap	4.67	0.04
2 year swap	4.68	0.05
3 year swap	4.66	-0.04
4 year swap	4.64	0.07
5 year swap	4.66	0.07
6 year swap	4.69	0.07
7 year swap	4.73	0.06
8 year swap	4.78	0.07
9 year swap	4.82	0.06
10 year swap	5.07	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.03
10 year bond	4.92	-0.03
United States		
3-month T Bill	3.60	0.00
2 year bond	3.91	0.05
10 year bond	4.39	0.04
Other (10 year yields)		
Germany	3.00	0.00
Japan	2.48	-0.04
UK	4.95	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.00	0.05
3 yr bond	4.66	0.05
3 mth bill rate	4.54	0.02
SPI 200	8,747	-1.7%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
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4 May 2026

FORECAST UPDATE: THE STATES

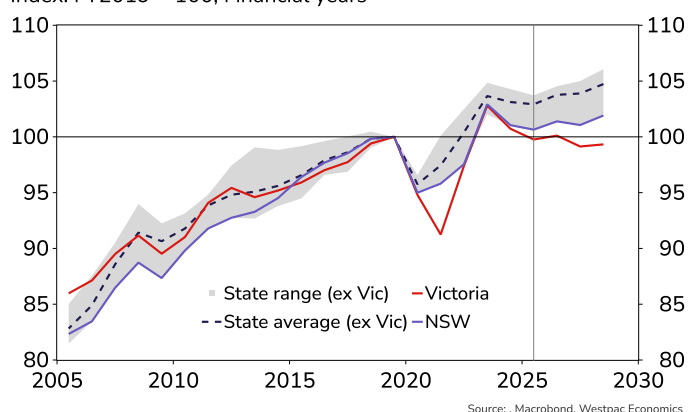
Mining resilient while consumer-led states under pressure

Key points

- After a relatively strong finish to 2025, our updated outlook points to an abrupt slowdown in the Australian economy through 2026 and into 2027 (see [here](#)). Here, we flow these aggregate changes through to the state level forecasts published in our March quarter Coast-to-Coast (see [here](#)), ahead of our June quarter Coast-to-Coast (due in late June).
- State performances are set to diverge again as national growth slows. Mining based states of Queensland and WA are expected to once again lead the pack, supported by elevated energy prices delivering sizeable income windfalls. SA is also relatively well positioned, underpinned by strength across both public and private activity.
- Consumption-led states set to slow sharply. NSW and Victoria are expected to underperform, with Victoria standing out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028.

Household consumption per capita

Index: FY2019 = 100, Financial years



- On our forecasts, consumption per capita in Victoria declines by around 3.5% cumulatively over the five years to FY2028, one of the largest and longest lasting contractions on record. However, Tasmania is expected to remain the laggard overall reflecting the state's much weaker population growth.

States to diverge as the household squeeze returns

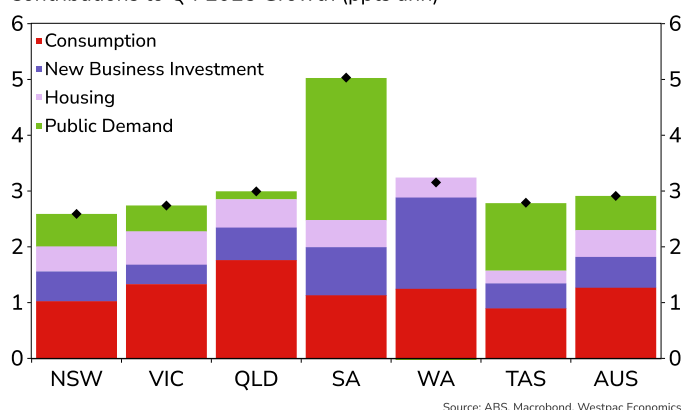
Pat Bustamante, Senior Economist
Ryan Wells, Economist

The strong finish to 2025 was reflected in a broad based lift in activity across the states, as private demand rebounded more quickly than expected. The Australian economy is now heading into a sharp slowdown, as a re-tightening in monetary conditions over recent months collides with a large global supply shock centred on energy.

This shock now appears both larger and more persistent than initially anticipated, intensifying domestic inflationary pressures. As a result, we expect the RBA to deliver two additional 25bp rate hikes beyond the widely anticipated 25bp move in May, aimed at preventing a sustained lift in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, pushing the unemployment rate towards 5%, with the trimmed mean inflation rate rising to around 4% by year end.

State Final Demand

Contributions to Q4 2025 Growth (ppts ann)



As national growth slows, state performances are set to diverge once again. Differences in industry structure, population dynamics and exposure to interest sensitive demand will reassert themselves through 2026 and into 2027.

The mining based states of **Queensland** and **WA** are expected to once again lead the pack, benefiting from elevated energy prices delivering sizeable income windfalls alongside still solid population growth. Dwelling price growth is also expected to remain firm, as strong demand continues to run up against limited supply, supporting consumption through wealth effects. **SA** is also relatively well positioned, supported by strength across both public and private activity, including public infrastructure investment and defence related spending.

By contrast, the consumer led states of **NSW** and **Victoria** are set to slow sharply, consistent with patterns seen in previous tightening cycles. This is already becoming evident, with housing market conditions deteriorating in both states, which

will weigh on household spending via negative wealth effects. Over the quarter to April 2026, house prices fell by 1.5% in Melbourne and 0.9% in NSW, compared with a national average increase of 1.6%. By contrast, strength continues in Brisbane, Adelaide and Perth, which should help support consumption through positive wealth effects (see [here](#)).

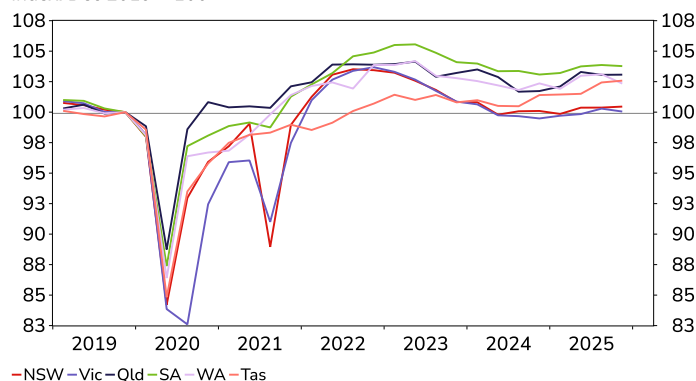
Per capita consumption in both states has largely moved sideways since 2019, underperforming the rises seen elsewhere. In stark contrast to the mining based states, population growth in NSW and Victoria is expected to outstrip gains in both GSP and consumption. On our forecasts, **consumption per capita in Victoria is set to record a cumulative decline of around 3.5% over the five years to FY2028**. The post COVID cost of living squeeze, now compounded by the recent spike in global energy prices, is delivering one of the largest and most prolonged contractions on record, extending back to the early 1990s.

Victoria stands out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028, underscoring the depth and persistence of the adjustment now underway.

However, **Tasmania** remains the laggard overall. Softer population growth is constraining momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown.

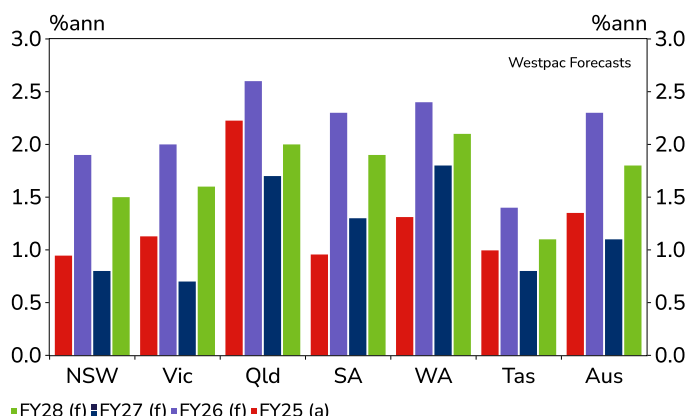
Household consumption per working age population

Index: Dec 2019 = 100



Further ahead, as inflation moderates back towards target and interest rates eventually begin to ease in 2028, household spending should recover and growth conditions gradually converge. However, this adjustment will take time, and downside risks increase the longer global supply disruptions and geopolitical tensions persist.

Gross State Product



Source: ABS, Macrobond, Westpac Economics

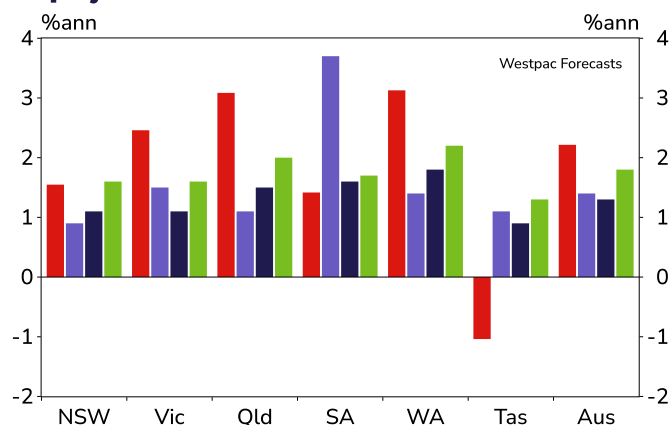
Commodity windfalls will see the mining states outperform

Mining exposure remains a clear positive, particularly as energy-related investment and exports benefit from higher global prices stemming from the conflict in the Middle East. These income windfalls should help cushion households against tighter financial conditions, keeping overall activity relatively resilient through the slowdown.

Queensland is expected to remain one of the stronger performers. GSP growth is forecast to slow from a year-average pace of 2.6%yr in FY2026 to 1.8%yr in FY2027, before picking up again to around 2.0%yr in FY2028. Consumption growth is expected to remain solid, easing only modestly from 2.5%yr in FY2026 to 2.1%yr in FY2027, before rebounding to 2.6%yr in FY2028. Momentum will be further reinforced by Olympics-related infrastructure investment and associated activity. Employment growth is forecast to average around 1.5% in FY2027 and 2.0% in FY2028.

WA is also expected to perform relatively strongly. GSP growth is forecast to moderate from around 2.4%yr in FY2026 to 1.8%yr in FY2027, before re-accelerating to 2.4%yr in FY2028. Consumption growth should remain resilient, easing from 2.8%yr in FY2026 to around 2.1%yr in FY2027, before lifting back to 2.6%yr in FY2028. As in Queensland, higher dwelling prices are expected to support demand near term through wealth effects. On this basis, employment growth is forecast at around 1.8% in FY2027 and 2.2% in FY2028.

Employment



Consumption led states to slow sharply

By contrast, the consumer-led states of NSW and Victoria are set to underperform as higher interest rates and cost of living pressures weigh directly on households.

In NSW GSP growth is forecast to slow from around 1.9% to just 0.8% in FY2027, as tighter financial conditions and elevated inflation dampen demand. The downturn is consumer led, with household consumption growth expected to fall to below 1% in FY2027 from around 2.0% in FY2026. Private investment should provide a partial offset, particularly in structural growth areas such as renewables and data centres. Higher costs will continue to place pressure on the state budget, though policy settings are likely to remain largely unchanged heading into the election early next year.

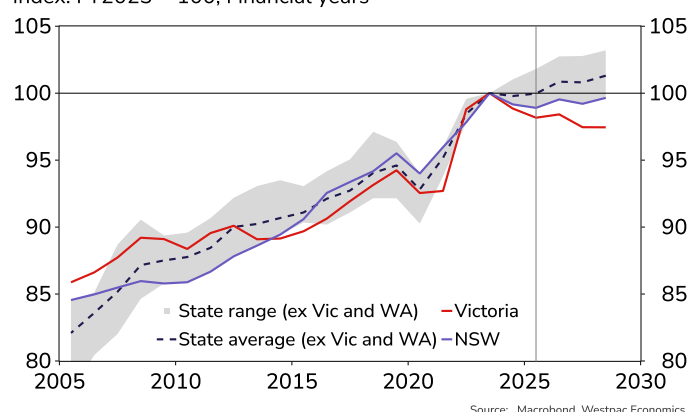
This slowdown is expected to weigh materially on labour demand. Coming off a weak base of 0.6% in FY2026, employment growth is forecast to recover only modestly, rising to 1.1% in FY2027 and 1.6% in FY2028—below the national average in each year.

In Victoria, GSP growth is expected to fall from around 2.0% in FY2026 to 0.7% in FY2027, broadly mirroring the slowdown in NSW. Consumption growth is also expected to ease sharply, from around 2.0% in FY2026 to just 0.7% in FY2027. Risks are more elevated in Victoria. Private investment has been noticeably weaker, particularly in dwelling construction, with forward indicators such as approvals lagging those in most other states (aside from Tasmania). While public demand should provide short term support ahead of the election, there is a risk that post election fiscal consolidation weighs on activity. We also expect some pause in private sector investment decisions as the November 2026 election approaches.

Employment outcomes are forecast to be like NSW in FY2027 and FY2028, though with greater downside risk, given employment growth had already begun to slow sharply even prior to the Middle East conflict.

Gross State Product per capita

Index: FY2023 = 100, Financial years



SA continues to punch above its weight

As highlighted in our March Coast to Coast report (see [here](#)), the SA economy is firing on all cylinders. Both private and public activity have firmed, supported by a substantial pipeline of

infrastructure and defence related spending. In per capita terms, defence investment and employment are among the strongest in the country, delivering a durable lift to incomes. Housing approvals are also relatively strong on a per capita basis, pointing to ongoing demand growth. Expansion in strategic industries, particularly defence and advanced manufacturing, provides a solid medium term foundation for growth.

That said, some slowing in employment growth is expected. After an exceptionally strong 3.7% in FY2026, employment growth is forecast to ease to 1.6% in FY2027 and 1.7% in FY2028.

Tasmania to continue to be the laggard

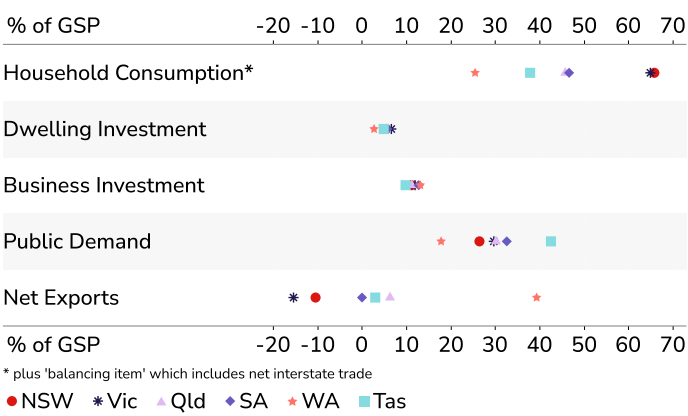
Tasmania continues to lag, with softer population growth limiting momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown. The state also has the softest labour market and weakest consumer sentiment nationally, which is likely to weigh further on private demand. Employment growth is expected to remain subdued, easing from 1.1% in FY2026 to 0.9% in FY2027. Household consumption per working age population.

Bottom line

The period of state growth convergence seen in 2025 is over. As households are squeezed by higher rates and inflation, state outcomes will diverge sharply, led by the mining states and SA, and dragged by consumption heavy NSW and Vic. While rate cuts in 2028 should eventually stabilise conditions, the longer the global shock persists, the deeper and more uneven the adjustment across states is likely to be.

One liner: A slowing national economy, persistent inflation and higher interest rates will lead to state level divergences, with mining states resilient and the consumer-led states under pressure.

GSP Expenditure Components by State



Source: ABS, Macrobond, Westpac Economics

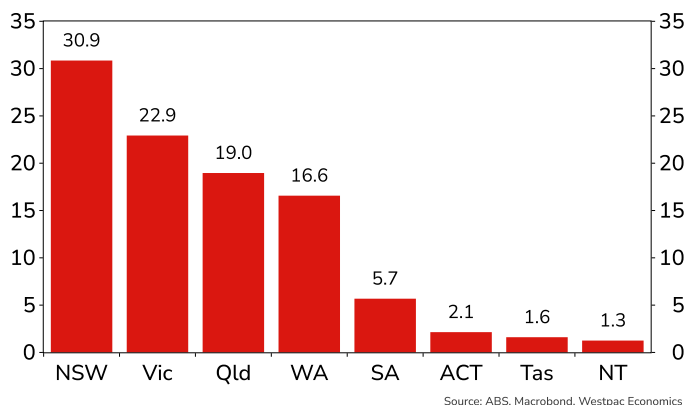
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Forecasts

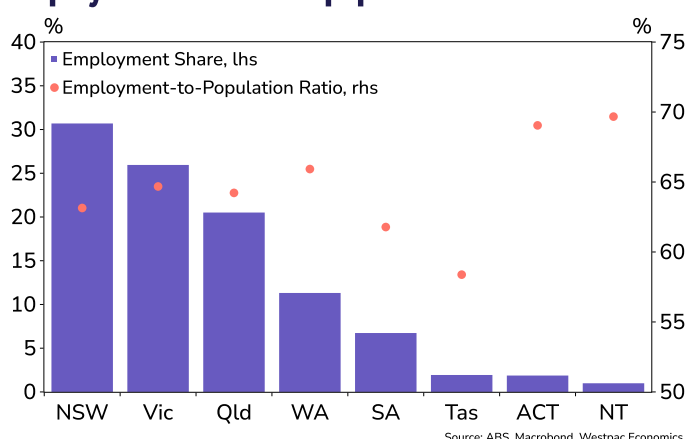
Variable	State	2024/25	2025/26	2026/27	2027/28
		Actual	Westpac f/c	Westpac f/c	Westpac f/c
GSP	Aust	1.4	2.3	1.1	1.8
year-average growth	NSW	0.9	1.9	0.8	1.5
	Vic	1.1	2.0	0.7	1.6
	Qld	2.2	2.6	1.7	2.0
	WA	1.3	2.4	1.8	2.1
	SA	1.0	2.3	1.3	1.9
	Tas	1.0	1.4	0.8	1.1
Household Consumption	Aust	1.1	2.2	1.3	2.3
year-average growth	NSW	0.8	2.0	0.8	1.9
	Vic	0.9	2.1	0.7	1.8
	Qld	1.3	2.5	2.1	2.6
	WA	2.4	2.8	2.2	2.5
	SA	0.7	1.9	1.5	2.2
	Tas	0.6	1.7	0.6	1.1
Employment	Aust	2.2	1.4	1.3	1.8
year-average growth	NSW	1.5	0.9	1.1	1.6
	Vic	2.5	1.5	1.1	1.6
	Qld	3.1	1.1	1.5	2.0
	WA	3.1	1.4	1.8	2.2
	SA	1.4	3.7	1.6	1.7
	Tas	-1.0	1.1	0.9	1.3
Population	Aust	1.6	1.5	1.4	1.4
year-average growth	NSW	1.2	1.3	1.1	1.0
	Vic	1.8	1.7	1.7	1.6
	Qld	1.9	1.7	1.6	1.6
	WA	2.4	2.1	1.8	1.7
	SA	1.1	1.2	1.3	1.2
	Tas	0.2	0.5	0.8	0.7
Dwelling Prices	Aust	8.6	3	3	–
through-the-year growth,	Sydney	6.2	1	2	–
calendar years	Melbourne	5.1	1	5	–
(2024/25 = Dec-25)	Brisbane	14.7	6	3	–
	Perth	16.7	8	5	–
	Adelaide	8.3	5	4	–
	Hobart	7.4	1	3	–

Shares of GSP

Real, Chain Volumes, 2024/25, Percentage



Employment shares and population ratios



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By Luci Ellis

Chief Economist Westpac Group, Westpac

09:15 April 24 2026

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Speculation about tax reform in the upcoming federal budget abounds. That presumes a lot about the problems the budget should solve and whether the tax system is the right solution.



- Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps

erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.

- Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.
- There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. “Boost revenue” is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim “never let a good crisis go to waste” and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while revenue windfalls from higher commodity prices are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that “people expect more from government nowadays” and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government’s effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is not true in Australia and most other advanced economies outside North America.

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts) must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia’s actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the simplified version we suggested in 2023, where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA’s inflation target – regardless of actual inflation over the holding period.

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%/yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has previously shown, the size of government in Australia has increased substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system

is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

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Data snapshot

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- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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Markets told a two part story overnight. Early optimism around a potential resolution to the US–Iran conflict supported risk sentiment, but this was later unwound following reports the US may revive ‘Project Freedom’, after Saudi Arabia and Kuwait eased restrictions on the use of their bases and airspace. Subsequent reports indicated US strikes on Iran’s Qeshm Port and Bandar Abbas, though officials stressed this did not represent a resumption of the war. Trump has suggested there is a “very good chance” of a deal, potentially ahead of his meeting with President Xi in Beijing next week.

- Equity markets were mixed. In the US, renewed tensions weighed on sentiment, with the S&P 500 falling -0.4%. The NASDAQ 100 fared slightly better, down -0.1%, while the Dow Jones lost -0.6%. European markets moved lower, with the Euro Stoxx 50 down -0.9% and the FTSE 100 underperforming, falling -1.5%.
- Asian markets reflected the earlier optimism. The Nikkei 225 led gains, rising 5.6%, its strongest increase of the year. The Hang Seng added 1.6% and the KOSPI 1.4%. Locally, the ASX 200 extended its rally, gaining 1.0%.
- US bond yields moved modestly higher as oil prices advanced during the session. The 2 year rose 5bps, with the 10 year up 4bps. Futures pricing for the terminal Fed funds rate implies a 14% probability of a rate hike by year end.
- Australian government bonds followed overnight global moves, with both the 3 year and 10 year yields falling 3bps. Swap markets continue to price at least one further rate hike this year, with the implied terminal cash rate for year-end at 4.68%.
- The USD strengthened, with the DXY up 0.2%. The Australian dollar fell -0.4% to 0.7209 against the USD, while losing -0.2% against the Euro, and -0.1% against the Sterling. Other majors too weakened against the Greenback, with the Euro down -0.2% and Sterling -0.3% lower. The USD/JPY cross rose 0.3%, with reports suggesting Japanese authorities may have intervened in currency markets by around US\$30 billion.
- Commodity markets were volatile amid Middle East developments. Oil prices finished higher as early optimism faded, with Brent up 1.6% to \$US103/bbl and WTI rising 2.1% to \$US97.1/bbl. Dated Brent traded at a discount - \$US100/bbl. Gold pared earlier gains to finish down -0.1%, while copper was little changed and aluminium declined -0.9%. Iron ore rose 0.3%.

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Jibun Bank Services PMI Apr Final	-	51.2pts
22:30	US Non-Farm Payrolls Apr	65k	178k
22:30	US Average Hourly Earnings Apr	0.3%	0.2%
22:30	US Unemployment Rate Apr	4.3%	4.3%
0:00	US Uni. Of Michigan Sentiment May PreL	49.5pts	49.8pts
0:00	US Wholesale Inventories Mar Final	1.4%	1.4%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

Euro Area retail sales decreased 0.1% in March to be 1.2% higher than a year ago.

US construction spending rose 0.6% in March after declining 0.2% in February to be 1.6% higher than a year ago.

US initial jobless claims rose 10k to 200k, remaining at historic lows.

The NY Fed's survey of 1yr ahead **inflation expectations** rose to 3.6% (prior 3.4%), while the 3yr and 5yr saw little change.

FOMC member Kashkari said: “Given the uncertainty around the Iran war, I actually don’t know what the future holds. If the Strait of Hormuz is closed for an extended period of time, it may well be that the next move might need to be up in interest rates”. **Daly** said it is too early to tell if the central bank is at the end of its rate-cutting cycle. **Collins** said she was “strongly supportive” of the recent decision to leave rates unchanged, but also preferred to adjust the statement to “not be as closely aligned with language that has been associated with the presumption that the next move will be a cut”. **Hammack** said: “The statement that we put is that interest rates were on hold, but we have the signal in there that it’s more likely that the next move will be a move down. I thought that was a little bit misleading, just given my view of where the economy is”.

Local Data

In Australia, the monthly **goods trade balance** shifted into deficit for the first time since 2017, at -\$1.8bn, driven by higher fuel import costs, volatility in gold trade, and a surge in data processing machine imports related to AI (see [here](#)).



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Economic Calendar

May 2026



MON	TUE	WED	THU	FRI
				1 AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar prev 2.7% (8:45am) JAPAN Tokyo CPI Apr y/y exp 1.7% prev 1.4% (9:30am) UNITED KINGDOM Nationwide House Prices Apr exp -0.3% prev 0.9% (4:00pm) UNITED STATES ISM Manufacturing Apr exp 53.1 prev 52.7 (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F)
4 AUSTRALIA MI Inflation Apr y/y prev 4.3% (11:00am) ANZ-Indeed Job Ads Apr prev -3.1% (11:30am) Dwelling Approvals Mar exp -5.0% prev 29.7% (11:30am) EURO ZONE S&P Global Manufacturing PMI Apr (F) prev 47.4 (6:00pm) Sentix Investor Confidence May prev -19.2 (6:30pm) UNITED STATES Factory Orders Mar exp -0.1% prev 0.0% (12:00am) Durable Goods Orders Mar (F) (12:00am) Fedspeak - Williams (2:50am)	5 AUSTRALIA Household Spending Indicator Mar exp 2.0% prev 0.3% (1:30pm) RBA Policy Decision exp 4.35% prev 4.10% (2:30pm) UNITED STATES Trade Balance Mar exp -\$59.7bn prev -\$57.3bn (10:30pm) S&P Global Services PMI Apr (F) prev 51.3 (11:45pm) ISM Services Apr exp 53.9 prev 54.0 (12:00am) New Home Sales Mar prev -17.6% (12:00am) JOLTS Job Openings Mar exp 6700k prev 6882k (12:00am)	6 CHINA RatingDog Services PMI Apr prev 52.1 (11:45am) EURO ZONE S&P Global Services PMI Apr (F) prev 47.4 (6:00pm) PPI Mar y/y prev -3.0% (7:00pm) NEW ZEALAND Household Labour Force Survey Q1 (8:45am) Employment exp -0.1% prev 0.4% Unemployment Rate exp 5.4% prev 5.4% Priv. Wages Ord. Time exp 0.4% prev 0.5% UNITED KINGDOM S&P Global Services PMI Apr (F) prev 52.0 (6:30pm) UNITED STATES ADP Employment Change Apr prev 62k (10:15pm) Fedspeak - Musalem (11:30pm) Fedspeak - Goolsbee (3:00am)	7 AUSTRALIA Goods Trade Balance Mar exp \$3.9bn prev \$5.7bn (11:30am) CHINA Foreign Reserves Apr prev US\$3342.1bn EURO ZONE Ger. Factory Orders Mar (4:00pm) Retail Sales Mar prev -0.2% (7:00pm) UNITED STATES Construction Spending Mar prev -0.3% (12:00am) NY Fed 1-Yr Inflation Expectations Apr y/y prev 3.42% (1:00am) Fedspeak - Hammack (4:05am) Consumer Credit Mar exp \$12.5bn prev \$9.5bn (5:00am) Fedspeak - Williams (5:30am) GLOBAL ECB & BoE Conference - Various Speakers	8 CHINA Trade Balance Apr prev US\$51.13bn (Sat 9 May) Credit & M2 Data Apr (9-15 May) New Loans ytd prev CNY8600bn M2 Money Supply y/y prev 8.5% EURO ZONE Ger. Industrial Production Mar prev -0.3% (4:00pm) UNITED STATES Employment Report Apr (10:30pm) Nonfarm Payrolls Chg exp 63k prev 178k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.2% UoM Consumer Sentiment May (P) exp 48.8 prev 49.8 (12:00am) Fedspeak - Goolsbee (9:30am Sat 9 May) GLOBAL ECB & BoE Conference - Various Speakers

Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
11 CHINA CPI Apr y/y prev 1.0% (11:30am) PPI Apr y/y prev 0.5% (11:30am) UNITED STATES Existing Home Sales Apr prev -3.6% (12:00am)	12 AUSTRALIA Westpac-MI Consumer Sentiment May prev 80.1 (10:30am) NAB Business Survey Apr (11:30am) Conditions prev 6 Confidence prev -29 EURO ZONE EU ZEW Expectations May prev -20.4 (7:00pm) JAPAN Household Spending Mar y/y prev -1.8% (9:30am) UNITED STATES NFIB Small Business Optimism Apr prev 95.8 (8:00pm) CPI Apr prev 0.9% (10:30pm) Fedspeak - Goolsbee (3:00am)	13 AUSTRALIA WPI Q1 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.3% prev 3.4% Housing Finance Approvals Q1 (11:30am) Total exp prev 9.5% Owner-Occupier prev 10.6% Investor prev 7.9% EURO ZONE GDP Q1 (S) (7:00pm) Industrial Production Mar prev 0.4% (7:00pm) JAPAN Current Account Mar prev ¥3932.7bn (9:50am) NEW ZEALAND RBNZ 2Yr Inflation Expectation Q2 y/y prev 2.37% (1:00pm) UNITED STATES PPI Apr prev 0.5% (10:30pm)	14 AUSTRALIA MI Consumer Inflation Expectations May y/y prev 5.9% (11:00am) NEW ZEALAND Net Migration Mar prev 3970 (8:45am) UNITED KINGDOM GDP Q1 prev 0.1% (4:00pm) UNITED STATES Import Price Index Apr prev 0.8% (10:30pm) Retail Sales Apr prev 1.7% (10:30pm) Business Inventories Mar prev 0.4% (12:00am) Fedspeak - Hammack (3:00am)	15 CHINA Current Account Balance Q1 (P) prev US\$243.8bn NEW ZEALAND BusinessNZ Mfg PMI Apr prev 53.2 (8:30am) Selected Price Indices Apr (8:45am) UNITED STATES NY Empire Manufacturing Index May prev 11 (10:30pm) Industrial Production Apr prev -0.5% (11:15pm)
18 CHINA Activity Data Apr ytd y/y (12:00pm) Retail Sales prev 2.4% Industrial Production prev 6.1% Fixed Asset Investment prev 1.7% NEW ZEALAND Performance Services Index Apr prev 46.0 (8:30am) UNITED KINGDOM Rightmove House Prices May prev 0.8% (9:01am) UNITED STATES NAHB Housing Market Index May prev 34 (12:00am)	19 AUSTRALIA RBA's Hunter - Speech (9:30am) RBA May Meeting Minutes (11:30am) EURO ZONE Trade Balance Mar prev €7.0bn (7:00pm) JAPAN GDP Q1 (P) prev 0.3% (9:50am) Industrial Production Mar (F) prev -0.5% (2:30pm) NEW ZEALAND PPI Q1 prev 0.1% (8:45am) Retail Card Spending Apr prev 0.7% (8:45am) UNITED KINGDOM ILO Unemployment Rate Mar prev 4.9% (4:00pm) UNITED STATES Pending Home Sales Apr prev 1.5% (12:00am) Fedspeak - Paulson (9:00am)	20 AUSTRALIA Westpac-MI Leading Index Apr ann'd prev -0.13% (10:30am) EURO ZONE CPI Apr (F) (7:00pm) UNITED KINGDOM CPI Apr y/y prev 3.3% (4:00pm) UNITED STATES FOMC April Meeting Minutes (4:00am)	21 AUSTRALIA Labour Force Survey Apr (11:30am) Employment Change exp 10k prev 17.9k Unemployment Rate exp 4.3% prev 4.3% Participation Rate exp 66.8% prev 66.8% EURO ZONE EC Consumer Confidence May (P) prev -20.6 (12:00am) JAPAN Core Machinery Orders Mar prev 13.6% (9:50am) NEW ZEALAND Trade Balance Apr prev NZ\$698mn (8:45am) UNITED STATES Philadelphia Fed Manufacturing Index May prev 26.7 (10:30pm) Housing Starts Apr prev 10.8% (10:30pm) Building Permits Apr prev -10.8% (10:30pm) Kansas City Fed Manufacturing Index May prev 10 (1:00am) GLOBAL S&P Global PMIs May (P) Manufacturing Services	22 EURO ZONE Ger. IFO Business Climate Survey May prev 84.4 (6:00pm) JAPAN CPI Apr y/y prev 1.5% (9:30am) NEW ZEALAND Retail Sales Volumes Q1 prev 0.9% (8:45am) UNITED KINGDOM GfK Consumer Sentiment May prev -25 (9:01am) Retail Sales Apr prev 0.7% (4:00pm) UNITED STATES UoM Consumer Sentiment May (F) (12:00am)

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
25	26	27	28	29
UNITED STATES Chicago Fed National Activity Index Apr prev -0.2 (10:30pm)	UNITED STATES FHFA House Prices Mar prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Mar prev -0.05% (11:00pm) Conf. Board Consumer Confidence Index May prev 92.8 (12:00am) Dallas Fed Manufacturing Index May prev -2.3 (12:30am)	AUSTRALIA RBA Board Member – Speech (11:00am) CPI Apr (11:30am) Headline m/m exp 1.1% prev 1.1% Headline y/y exp 5.0% prev 4.6% Construction Work Done Q1 exp 0.5% prev -0.1% (11:30am) CHINA Industrial Profits Apr y/y prev 15.8% (11:30am) NEW ZEALAND ANZ Business Confidence May prev -10.6 (10:00am) RBNZ Policy Decision exp 2.25% prev 2.25% (12:00pm) UNITED STATES Richmond Fed Manufacturing Index May prev 3 (12:00am)	AUSTRALIA Private Capital Expenditure Q1 exp 0.3% prev 0.4% (11:30am) EURO ZONE EC Economic Confidence May prev 93.0 (7:00pm) EC Consumer Confidence May (F) (7:00pm) NEW ZEALAND Employment Indicator Apr prev 0.3% (8:45am) UNITED STATES Personal Income Apr (10:30pm) Personal Spending Apr (10:30pm) PCE Deflator Apr (10:30pm) Durable Goods Orders Apr (P) (10:30pm) GDP Q1 (S) (10:30pm) New Home Sales Apr (12:00am)	AUSTRALIA Private Sector Credit Apr prev 0.7% (11:30am) CHINA Manufacturing PMI May (11:30amSun 31 May) Non-manufacturing PMI May (11:30amSun 31 May) EURO ZONE CPI May (10:00pm) JAPAN Tokyo CPI May (9:30am) Jobless Rate Apr (9:30am) Industrial Production Apr (P) (9:50am) NEW ZEALAND ANZ Consumer Confidence May (8:00am) UNITED STATES Wholesale Inventories Apr (P) (10:30pm) Chicago PMI May (11:45pm)

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May 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

WESTPAC MARKET OUTLOOK

May 2026

Australia

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Global markets navigate ongoing conflict

Australian economy:

Energy shock slows growth, lifts inflation

The World

Middle East:

A slower normalisation in shipping flows

Commodities:

Oil prices remain bounded by headlines

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No man's land



Developments coming out of the Middle East have largely been touch-and-go over recent weeks, with brief stints of optimism over progress towards a resolution punctuated by breakdowns and occasional skirmishes. That continues to produce sharp swings and contrasts across core asset markets: US and Asian equities pushing above pre-conflict levels despite Brent oil hitting a new cycle high and while yields remaining elevated but range bound. We have again refreshed our baseline scenario to incorporate recent developments but this time with minimal changes to our key economic forecasts.

With less scope to 'look through' the shock, policymaker assessments have started to shift. Both monetary and fiscal arms are moving to incorporate higher inflation, lower growth, and weaker labour markets into their 'baseline' forecasts, while flagging that more adverse scenarios could make it even tougher for policies to balance inflation and growth risks.

But with so much uncertainty hanging over the course of the conflict, policy is effectively in 'no man's land'. Central banks are left having to navigate with extreme caution – the Fed, ECB, BoE, BoJ and BoC all opting to keep policy on hold for now and the RBA raising rates but looking for some breathing room to pause as well. Different starting points and exposures to the shock will likely necessitate distinct paths over time. For the record, we still expect another two rate hikes from the RBA this year, but with a slightly later timing – August and September. In contrast, the US is in a better position to weather inflation risks and unlikely to see the Fed alter its policy stance for some time.

The upcoming 2026/27 Federal Budget faces a similar balancing act. As our preview sets out, the government will have some windfall gains to work with but support measures will need to be carefully calibrated given the backdrop of inflation risks. Wilfred Owen – the quintessential wartime poet – once described no man's land as "like the face of the moon, chaotic, crater-ridden, uninhabitable, awful, the abode of madness." Ideally policymakers will navigate this threatening terrain in a coordinated rather than haphazard way.

Australia: The RBA hiked the cash rate this month, and while it seeks some breathing space, we expect further hikes later, in August and September. The more hawkish policy environment here is evident in both bond and FX market developments. The real economy is heading for an abrupt slowdown, with higher unemployment but also higher inflation in the near term.

Middle East: The normalisation of shipping traffic through the Strait of Hormuz will be more drawn out than we previously assumed. Our revised baseline assumptions point to a more persistent energy price shock, with tighter demand and supply balances extending into 2027 and beyond, and Brent crude oil prices remaining elevated for longer.

Commodities: April was a mixed month with our broadest commodities index down 1% since our last update. We have revised up our forecasts for crude (US\$110/bbl for Q2 2026, US\$87/bbl for Q4 2026) and lifted the profile by around 20% to 30% through 2027, finishing at a quarter-average of US\$67/bbl.

Global FX Markets: When we released the April edition of Market Outlook, the DXY index sat at 98.2. Today it is also at 98.2 and, in the intervening period, the index traded a 1 point range – the definition of marking time.

New Zealand: Surveys point to a large fall in optimism as firms and households grapple with the impact of higher fuel prices on profitability and disposable income. Over coming months, higher fuel prices will lead to a sharp lift in CPI inflation and the RBNZ will need to be vigilant for signs of second-round price increases that cause inflation to persist over the medium term. We continue to expect the OCR to rise in September.

United States: Earnings beats have seen equities rebound to record levels. At the same time, though, consumption growth has fallen below trend and housing investment is contracting. In many respects, the economic outlook is highly uncertain.

China: Presidents Xi and Trump are due to meet to discuss China/US relations in May. Data point to a stark difference in perspectives which will shape risks and opportunities.

Japan: Japan's domestic fundamentals make a compelling case for the BoJ to continue normalising policy, even as the Middle East conflict and a weakening yen threaten to turn demand-pull inflation into cost-push.

Europe & UK: Major central banks in Europe maintained a balanced stance this month. But with a definitive end to the Middle East conflict out of sight, the ECB and Bank of England looking increasingly likely to hike sooner than later.

Global markets navigate ongoing conflict ...

Luci Ellis

Chief Economist, Westpac Group

Until this week, the US–Iran ceasefire had held remarkably well. In particular, there had been no further destruction of oil and gas infrastructure in other Gulf nations. The effects of the latest attacks are unclear, but it remains the case that the main issue for the global economy is how long the Strait of Hormuz remains effectively shut. While some ships are able to exit the Gulf, few are entering. Our previous assumption of eight weeks of full closure and a recovery in May to around 20% of normal traffic has had to be revised, and the ultimate recovery is slower. There is nonetheless a potential upside scenario to our baseline as well as a downside.

Markets have continued to look through the downside risk to global growth and have instead tended to price in rate hikes for a number of central banks, and price out the earlier expected cuts by the Federal Reserve. We had already factored in this less dovish path for the Fed funds rate, given the underlying capacity pressures in the US economy.

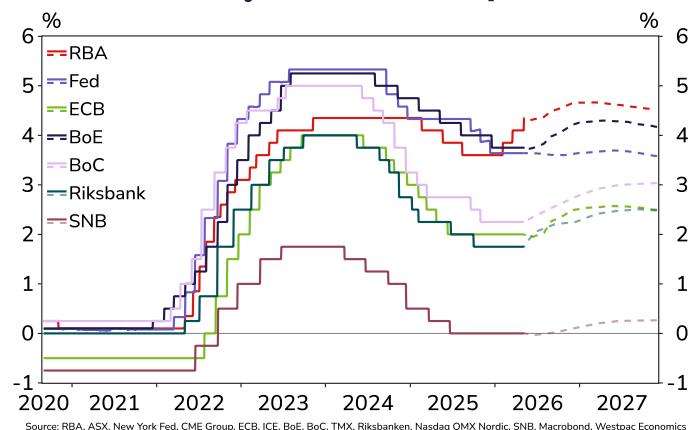
Senior central bank officials from the Bank of England, ECB and Bank of Canada have tended to push back on the more hawkish pricing, preferring a more wait-and-see approach. Accordingly, these central banks all kept policy rates on hold in recent weeks, though they have contemplated possible responses to a more protracted conflict.

Meanwhile, bond markets have mostly been in a holding pattern in recent weeks. At both ends of the curve, sovereign yields are little changed since late March. There has been a bit more amplitude in yield movements for US Treasuries and UK gilts than other comparable markets. Since the last Market Outlook was published, 3-year yields in these two markets have lifted around 15bps from what turned out to be a brief trough, and 10-year yields have lifted a little less than this.

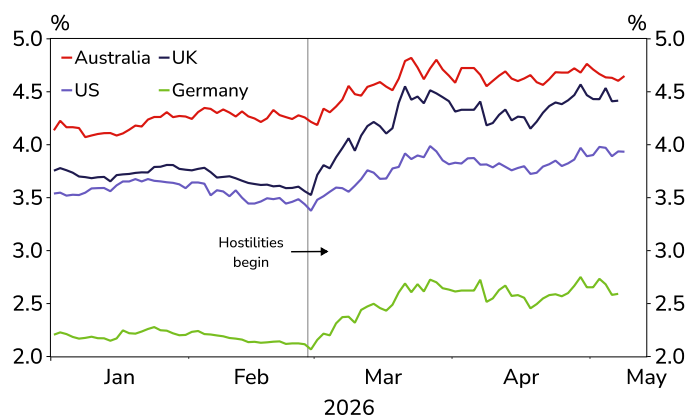
Exchange rates have also been in something of a holding pattern since the last Market Outlook, in contrast to the large moves in the first few weeks of the conflict. DXY has been little changed, with the USD also largely unchanged against the euro and RMB over this period, though it has depreciated against several currencies in the Asia–Pacific region, including AUD, NZD and yen. The AUD now looks richly priced on a real effective basis, reflecting the higher rates outlook. Less certain is whether there has been any additional role for the earlier sell-off in the USD. On a real effective basis, though, the USD is only about 1½% lower since the end of last year.

As expected, the RBA Monetary Policy Board (MPB) raised the cash rate 25bps to 4.35% following its May 2026 meeting. The vote was again split, this time 8–1, after the 5–4 vote in March. In explaining the decision, the MPB cited the higher inflation stemming from the Middle East conflict, including second-round effects, with risks tilted to the upside. These

Central Bank Policy Rates (Market Expectations)

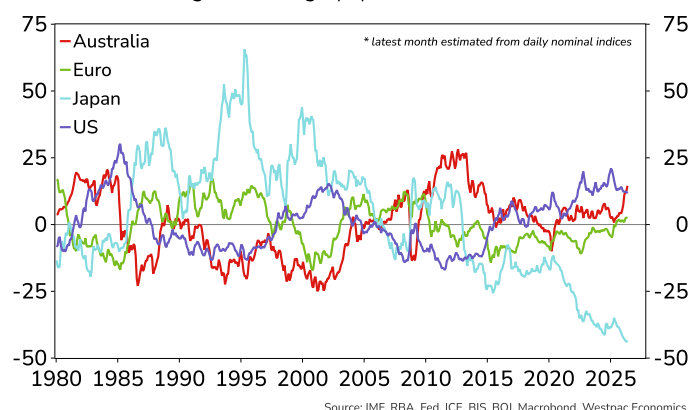


Global 3-Year Bond Yields



Real Effective Exchange Rates

Deviation from long-run average (%)



... while RBA tries to make space in inflation fight

added to the inflationary pressures already arising from what it sees as capacity pressures. It also noted indications that “higher fuel prices are likely to have second-round effects on prices for goods and services more broadly”.

We still expect two more RBA rate hikes after the one this week. However, we now think that the MPB will want to pause in June. In the post-meeting media conference, Governor Bullock characterised the three rate hikes so far as dealing with the high inflation issue that already existed before the conflict in the Middle East started, and that this “gives space” for the MPB to see how the conflict plays out. Together with the dissenting vote, we read this as saying that another back-to-back hike in June is no longer a better-than-50% chance. It is not a zero chance, either, but it should not be the base case.

The MPB will not have much time to catch breath, though. Our assessment is that second-round pass-through will be stronger, and oil prices higher, than the RBA’s forecasts imply. Our forecasts for trimmed mean inflation are therefore higher than the RBA’s in the near term. Once it peaks, though, we expect a faster unwind. Extending our forecast to end-2028 shows a material risk that trimmed mean inflation will undershoot the 2½% midpoint of the RBA’s 2–3% target range.

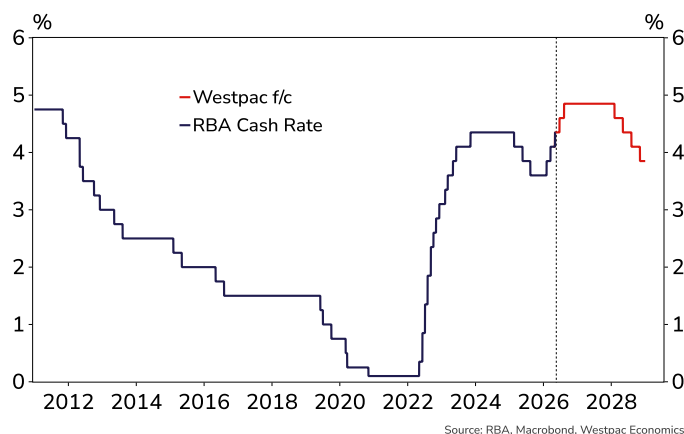
Our rates view is, as always, based on our assessment of what the RBA will do if things turn out as we expect, in line with our own forecasts. We therefore retain our view that two further hikes are more likely than one. It will take some time before the need for the additional hikes becomes apparent in the data and spurs a MPB decision, though.

We therefore push the timing of these two hikes out to August and September. We think the Q2 and Q3 inflation data will be something of a ‘wake-up call’ on the willingness of firms to pass on increases in non-labour costs into their own prices.

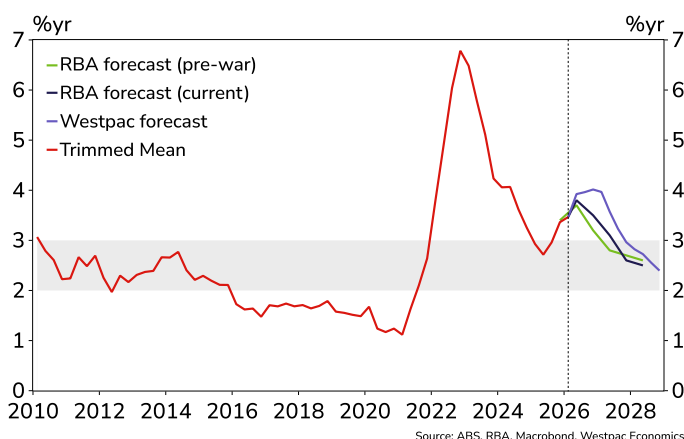
Five rate hikes in less than nine months will bring monetary policy to an explicitly restrictive stance. One perspective on the RBA’s approach can be inferred from real bond yields, which widened significantly relative to US equivalents late last year, and briefly again when the Middle East conflict began. While a spread of this size was also seen in the depths of the pandemic and was normal in the early 2010s in the wake of financial crisis, the divergence in direction has been striking recently.

Once it becomes clear that inflation is on a better trajectory, the MPB will be in a position to withdraw some of that restrictiveness. We expect it will do so cautiously, however, given the experience of 2025, where inflation rebounded almost immediately after it started cutting the cash rate. While the lag was too short and the upside surprise to activity was too focused on business investment to be attributable to monetary policy, the experience is likely to make the MPB a little gun-shy.

RBA Cash Rate

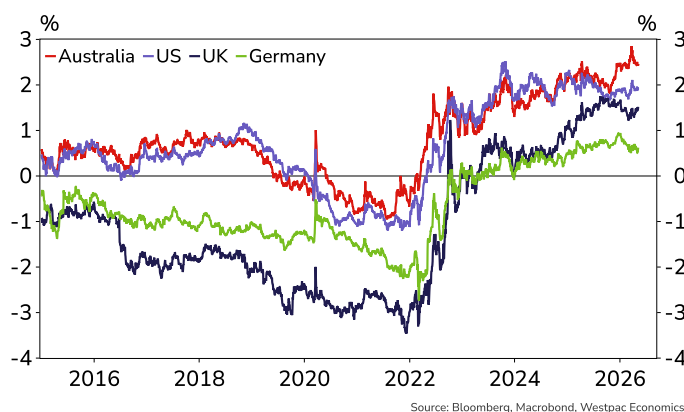


Trimmed Mean Inflation



Global Real Interest Rates

10-Year Inflation-Linked Bonds



Energy shock slows growth, lifts inflation ...

Pat Bustamante
Senior Economist

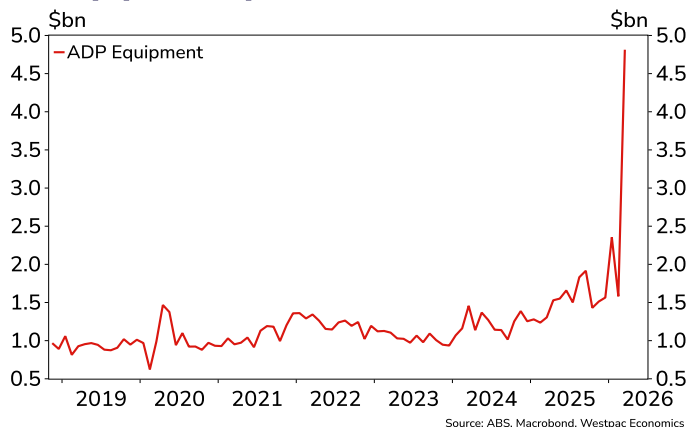
After a relatively strong finish to 2025, the Australian economy is heading for an abrupt slowdown in 2026 and into 2027. Much of this is already in train – the re-tightening in monetary conditions in the first few months is now combining with a large global supply shock centred on energy that is set to see some combination of higher inflation and weaker growth. Key assumptions on the conflict remain broadly unchanged: we continue to assume a very gradual normalisation process for global energy supply. That points to a more persistent and problematic rise in inflation locally with the RBA expected to respond with two more 25bp rate hikes, aimed at preventing a sustained rise in inflation expectations. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

Since our update last month, the flow of data and events has largely evolved largely as expected. Domestically, partial economic indicators have been mixed. The Q1 figures suggest there was some ongoing residual strength in the economy from the cyclical upturn that formed in the second half of 2025. The ABS household spending indicator recorded a clear boost from fuel in the March month, the 0.7%qtr gain in total real spend in Q1 coming in stronger than expected, down only slightly from the 1%qtr gain in Q4. However, there may be some technical issues around how fuel price rises have been incorporated.

Additionally, year-ended growth in private credit rose a solid 8.1%yr in March 2026, exceeding 8.0%yr for the first time since late 2022. Imports of capital also surprised on the upside with imports of automated data processing machines (i.e. computers and associated products, including NVIDIA's high-end AI chips) recording a remarkable four-fold increase in the month of March, suggesting the data centre investment boom has accelerated materially. And finally, monthly financial accounts shows that the Federal government budget is running around \$17bn ahead of profile because growth in income-based tax revenues (coming from wages and profits) has been stronger than expected back in the December 2025 MYEFO.

However, the tail-end of Q1 and early Q2 figures are looking materially softer. The income squeeze from higher fuel prices and interest rates looks to be impacting the consumer more heavily. Our Westpac-DataX Card Tracker suggests growth in non-fuel spending is stalling with outright weakness starting to emerge in discretionary services categories. Meanwhile our Westpac Consumer Panel shows a similar story for the month of March, with a clear moderation in the pace of savings accumulation and a more pronounced shift across customers with high energy spend relatively to total consumption.

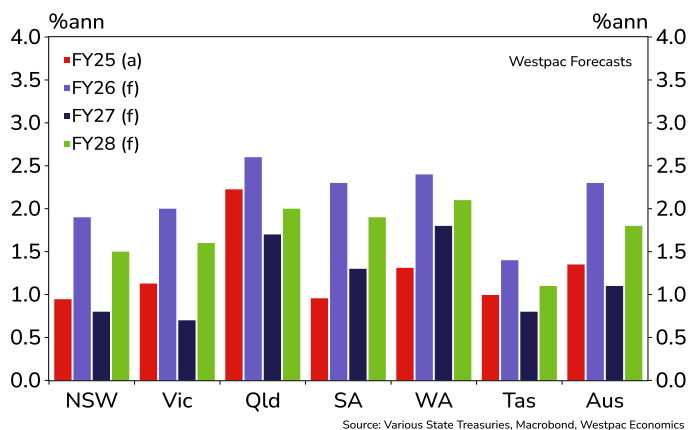
ADP equipment imports



There have also been some notable shifts in the housing market. Price growth nationally remained positive in April but the pace is slowing with preliminary estimates pointing to a decline in turnover as well. The turn is more pronounced in the Sydney and Melbourne markets which are now in a correction phase, prices down 0.9%qtr and 1.5%qtr in April, respectively.

Note that we have published updated state-based economic and employment forecasts that are consistent with our national forecasts. These point to a renewed divergence in state performances as national growth slows. The consumer-led states of NSW and Victoria are set to experience the sharpest weakening, while the mining-based economies of Queensland and WA are set to outperform, supported by elevated energy prices and associated income windfalls. South Australia also appears relatively well positioned, underpinned by strength across both public and private sector activity (see [here](#)).

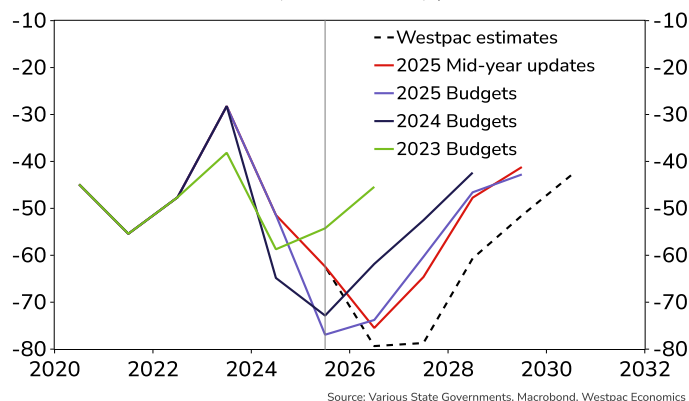
Gross State Product



... and narrows fiscal path

Budget outlook across the states

Non-Financial Public Sector, Cash Balance, \$bn



With another budget season underway, government finances are back in the spotlight.

For state governments, the Middle East conflict has come at a particularly bad time. Rather than a recovery in private sector activity, we now expect a sharp slowdown as monetary conditions re-tighten. This shift has material implications for the states' key tax bases, including payroll tax, stamp duty and gambling taxes. Based on Westpac Economics' outlook, and our mapping from macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030 (see [here](#)).

The backdrop differs materially at the Federal level. As a net energy exporter, Australia is benefiting from a surge in commodity prices, particularly LNG and coal, lifting national income. As we outlined back in March (see [here](#)), stronger commodity prices and elevated inflation are expected to generate a sizeable revenue windfall for the Commonwealth, with around \$20bn attributable to the Middle East conflict in the near term. This should see the underlying cash balance

improve by around \$13bn in 2025-26 relative to MYEFO, as outlined in our final Budget preview ([here](#)).

These upfront windfalls complicate the policy environment heading into the May/June budget cycle. As we showed in our April preview (see [here](#)), discretionary fiscal policy in Australia has tended to be somewhat pro-cyclical, becoming more activist as labour market risks rise but with peak support landing well after it is most needed. From a cyclical perspective, there is limited case for a large net fiscal expansion. The fiscal impulse is already expansionary, with a cumulative lift of around 3.5ppts of GDP over the three years to FY2026, comparable to that seen during the GFC. Notably, states have driven a disproportionate share of this expansion, particularly early on in the cycle.

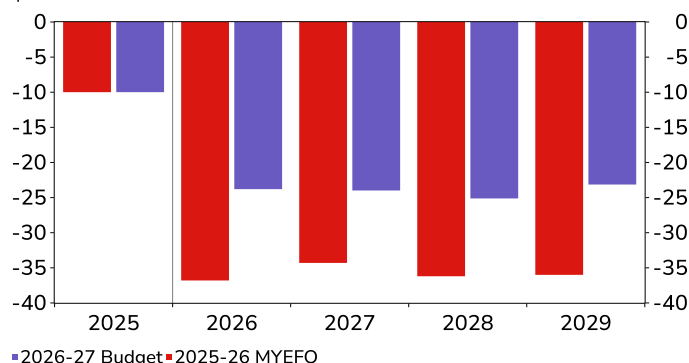
While the impulse is moderating, it remains slightly expansionary into FY2027 even before incorporating additional measures expected in upcoming budgets. Against this backdrop, there is limited scope, or need, for a further material increase. A more appropriate approach is targeted redistribution within the existing fiscal envelope, supporting households and businesses without amplifying the cycle.

In the near term, however, the risk is policy becomes too expansionary. Recent budget announcements, particularly from WA and Victoria, point to sizeable discretionary measures at the state level, on top of some already announced Federal cost-of-living support. While supportive for activity, they risk leaving aggregate demand stronger than is consistent with the RBA's inflation target.

The broader lesson from past cycles is that fiscal policy tends to be pro-cyclical and slow to unwind, with peak effects often arriving after the economy has already turned. That risk is heightened in the current environment, where a negative real shock is coinciding with a positive nominal shock.

Underlying cash balance estimates*

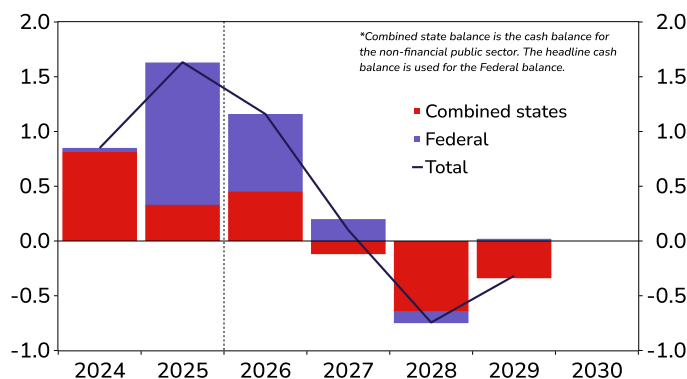
\$ billions



Source: ABS, 2025-26 MYEFO, Macrobond, Westpac Economics
*2026-27 Budget are Westpac estimates based on Westpac's commodity price assumptions.

Fiscal impulse

% of Nominal GDP



Source: Macrobond, Westpac Economics

A slower normalisation in shipping flows ...

Sian Fenner

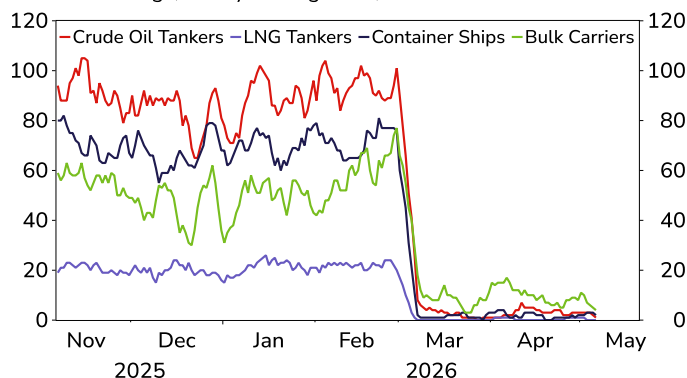
Head of Business & Industry Economics

It has become increasingly clear that the normalisation of shipping traffic through the Strait of Hormuz will be more drawn out than we previously assumed. We now expect flows to take until mid-2027 to fully normalise. Given the sustained disruption to both energy production in the Middle East and shipping through the Strait of Hormuz, we have raised our Q4 2026 Brent crude oil forecast to US\$95/bbl from US\$75 previously. Prices are also expected to remain higher in 2027, averaging US\$68/bbl in Q4.

The ceasefire between the US and Iran announced on 8 April has held, with no significant additional damage to energy or port infrastructure since then. However, as expected it has not led to a meaningful reopening of the Strait of Hormuz. The US is maintaining pressure on Iran through a blockade on shipping to and from Iranian ports, while Iran continues to use control of the Strait as leverage. As such, flows through the Strait remain minimal.

Strait of Hormuz, Outbound Vessels

Vessel Crossings, 7-Day Rolling Total, West to East



Source: Bloomberg, Macrobond, Westpac Economics

In recent days the US has tabled a one page memorandum of understanding aimed at breaking the shipping impasse. Reportedly it includes Iran easing its grip on the Strait and the US gradually lifting the naval blockade over a defined period. However, even if agreed to this is not a permanent resolution and the risk of ongoing episodes of tactical escalations leading to short disruptions over the coming months remains high.

Moreover, as we have previously highlighted, even if the Strait was to fully reopen tomorrow, a return to normal traffic flow will take time, reflecting vessel repositioning, contract realignment and elevated insurance costs. Against this backdrop, we have revised our assumptions for the timing of normalisation of flows through the Strait.

We now assume a more modest lift in traffic from current lows, reaching around 10–15% of pre-conflict levels through June, with a return to normal flows not expected until mid-2027. This compares with our previous assumption (published 30 March) of flows of around 20% in May and June with a gradual recovery to normal by end-2026. We continue to assume no additional damage to regional energy infrastructure. We also assume that Saudi Arabia and the UAE continue to divert around 7mb/d of crude and refined products through pipelines to Yanbu on Saudi Arabia's Red Sea coast and to Fujairah in the UAE.

Global energy buffers falling sharply

Our assumption of a more sustained period of disruption to shipping through the Strait means it will take longer for smaller Gulf producers, including Kuwait, that have faced some production 'shut ins' due to storage capacity constraints, to return to normal. Given the depletion in global energy buffers, we also expect a more modest offset from other sources over the rest of 2026 than in recent months.

Indeed, while global oil stocks were ample at around 8.2bn barrels heading into the conflict, the release of IEA strategic reserves, estimated at around 400 million barrels, alongside stronger Russian and US exports, has already led to a sharp deterioration in global inventories, with these flows drawing on floating storage as well as commercial and strategic reserves. The IEA estimates that observed oil stocks fell by 85mb in March with private estimates pointing to a much larger decline in April. Indeed, the US Strategic Petroleum Reserves is on track to fall to the lowest level since 1992.

The drawdown in global oil inventories has helped cushion the global supply shock in Q2, leaving a net supply shortfall of around 6mb/d. But this is still around 8mbd lower than our pre-conflict estimates.

There is, however, a critical level which provides a floor to how much inventories can continue to be drawn down. As a result, global supply is expected to fall by around 2.5% this year, with the scope to offset the underlying shortfall through inventories now limited despite a partial resumption in flows. In 2027, we expect a more significant recovery in supply as Middle East oil production and flows return to normal with the UAE expected to boost production above pre-conflict projections given it is no longer constrained by OPEC quotas.

On the demand side, meanwhile, we continue to estimate some demand destruction due to the surge in prices. However, the conflict has also highlighted the vulnerability of a number of countries, particularly across Asia, given their greater dependency on Middle East oil imports and more limited

... will keep energy prices higher for longer

strategic reserves. This reinforces the case for building resilience against future oil supply shocks.

While the timing of any response remains uncertain and is unlikely to be even, we include a more decisive, policy driven push to rebuild reserves from mid-2027, lifting demand across most advanced and Asian economies by around 0.5%. This is materially above the historical average pace of reserve builds and provides some price support in the medium term.

Overall, the revised assumptions point to a more persistent energy price shock than previously assumed with tighter demand and supply balances extending into 2027 and beyond.

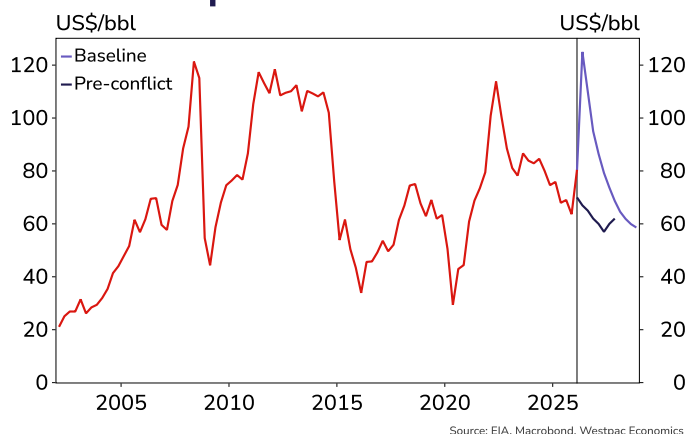
Energy prices elevated for longer ...

Consequently, we now expect Brent crude oil prices to remain elevated for longer. Under our revised baseline scenario, we calibrate our baseline to dated Brent. Dated Brent has been trading at a premium to spot Brent prices for much of the conflict. This premium reflects the cost of securing physical barrels and is expected to unwind only gradually as flows normalise and inventories stabilise.

Consistent with this, we now expect dated Brent to average around US\$125/bbl in Q2, compared with spot Brent at around US\$110/bbl, implying a an average premium of around \$15/bbl, before narrowing over the coming quarters.

Under our revised base case, prices are expected to decline more slowly than previously. By end-2026, Brent is forecast at \$95/bbl, \$20 above our previous baseline. A wedge persists into 2027, with Brent averaging around US\$68/bbl in Q4 2027.

Brent Crude Oil price



We have also made allowance for refinery margins to remain higher for longer. Australian diesel and petrol prices continue to ease over 2027 but not only remain above pre conflict levels but are slightly higher at \$2.10/L and \$1.82/L by the end of the year than previously expected.

We have made only modest revisions to our Japanese LNG price projections despite global gas supply being highly exposed to an extended disruption. This largely reflects a recalibration to recent gas price outcomes, which have not risen as much as we had expected to date. However, with no viable route that bypasses the Strait, and damage to Qatar's Ras Laffan LNG plant potentially taking up to five years to fully repair, prices are still expected to remain above pre-conflict levels through to the end of 2027, with prices averaging US\$13/mmbtu, around US\$2 above pre-conflict levels in Q4 2027.

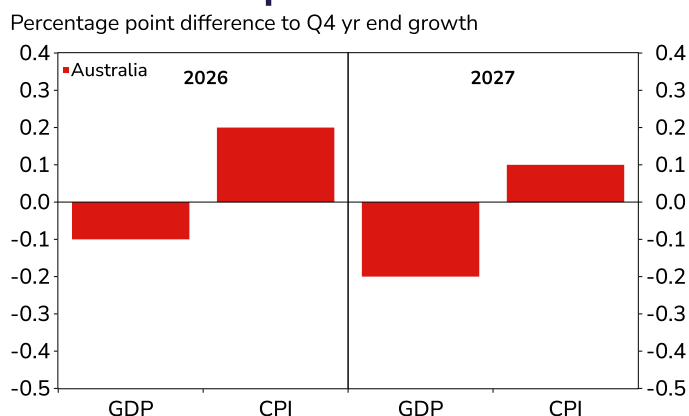
... with upstream impacts on other prices

Given the prolonged closure, we also expect some further supply chain pressures, particularly for fertilisers, chemicals, polymers and metals. However, higher fuel costs are expected to push freight rates up modestly in the near term. The impact is still expected to be limited relative to previous shipping disruptions and is unlikely to constrain supply, leaving freight as a secondary contributor to supply-side cost pressures, with energy costs remaining the dominant channel.

Modest impact on economic outlook

Based on our modelling the impact of a more persistent constraint on energy supplies points to some modest downward pressure on economic growth in Australia and New Zealand, alongside higher inflation. However, these estimates reflect the modelled impact of higher energy and commodity prices in isolation. Final forecasts incorporate a broader set of interacting forces, which may offset these effects.

Middle East Cease updated baseline



Oil prices remain bounded by headlines ...

Justin Smirk

Senior Economist

Luka Belobrajdic

Economist

April was a mixed month with our broadest commodities index down 1% since our last update. Of course, with the Strait of Hormuz still effectively closed, crude oil grabbed the headlines rallying close to 14%. Iron ore also firmed lifting a bit more than 3%, while lithium gained on renewed electrification momentum. Copper and aluminium softened and gold is down more than 3%. With the conflict in the Middle East continuing, we have revised up our forecasts for crude (US\$110/bbl for the June quarter, US\$87/bbl for Dec 2026) and lifted the profile by around 20% to 30% through 2027 to post a December quarter average of US\$67/bbl. With iron ore continuing to be supported, our December 2026 forecast is now US\$97/t, 15% higher than our April estimate.

Note all prices in the following text are quarter averages.

Oil prices steady but risks skewed to upside

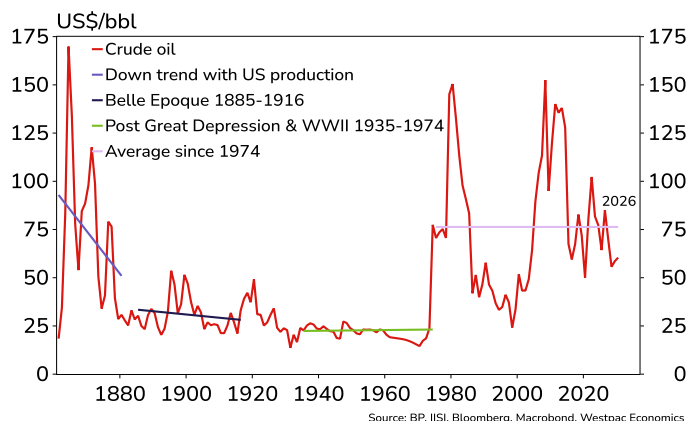
A fragile ceasefire in the Middle East continues, with a combination of restricted shipping flows and limited kinetic escalation capping both oil supply and further price gains. As a result, Brent futures have held steady in the US\$100-120/bbl range, with dated Brent continuing to trade at a meaningful premium. Note our analysis places greater weight on these physical crude prices, reflecting the ongoing tightness in underlying market conditions. Supply remains constrained by production shut ins, infrastructure damage and persistent shipping dislocation, with many vessels continuing to avoid the Strait of Hormuz. This has resulted in sustained logistical bottlenecks, with an estimated ~20mb/d of crude flows through the Strait disrupted. While global inventories provide some buffer, they represent a finite source of supply, implying that competition for available barrels is likely to remain elevated, placing upward pressure on prices.

Our baseline assumes traffic through the Strait of Hormuz returns to around 10-15% of pre-conflict levels through June, with a full normalisation of flows not expected until mid-2027, reflecting ongoing security and insurance constraints. Accordingly, we now expect Brent prices to average US\$110/bbl in Q2 2026, around 5% above our April forecast, before easing as geopolitical risks unwind and higher prices induce demand destruction. Brent is forecast to moderate to an average around US\$87/bbl by Q4 2026, with further easing through 2028 as supply and shipping conditions normalise.

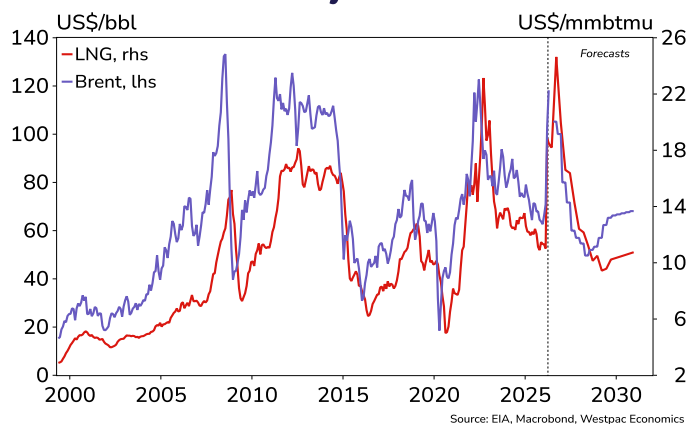
New US and African supply temper Asian prices

LNG markets remain acutely exposed to the conflict, with an estimated 300mcm/day – around one fifth of global supply – disrupted from Qatar and the UAE. Ras Laffan in Qatar, the

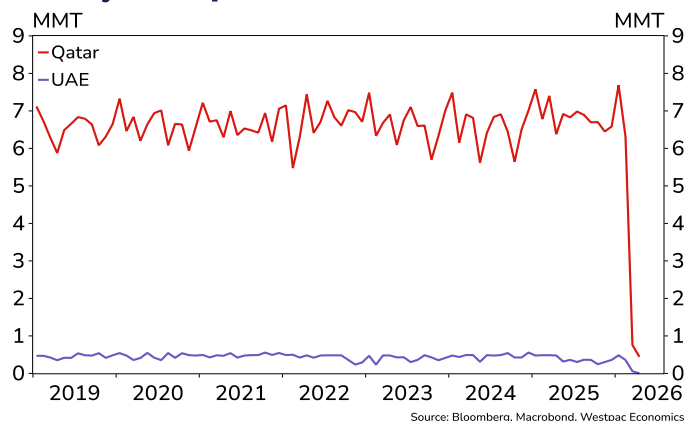
Crude oil in 2026 US dollars



Both crude and LNG hit by Strait closure



Monthly LNG Exports



... with electrification driving lithium demand

world's largest LNG export complex, has remained offline since early March, while global storage levels were already depleted exiting the Northern Hemisphere heating season. Asia remains particularly exposed, with an estimated 80–90% of LNG volumes transiting the Strait of Hormuz destined for Asian markets, driving a sharp rise in Japanese LNG prices. However, gains have been tempered by a combination of ceasefire optimism, demand side adjustments including fuel switching across asia, and crucially, new supply from North America and Africa.

Reflecting these offsetting forces, we have revised lower our expected peak in Japanese LNG prices to an average of US\$22.5/mmbtu in the September quarter, with prices expected to average above US\$20/mmbtu through year end. Given the scale of infrastructure disruption and the absence of viable alternative export routes, LNG markets are expected to remain tight, with prices unlikely to return to pre conflict levels until 2028

This does not mean we have seen the same impact on local Australian gas prices. This year the market has remained reasonably well supplied with prices remaining under the Government's proposed \$12 gigajoule cap. Additionally, the government is also proposing the 20% of the uncontracted export gas should be reserved for the local market. With the ongoing political pressure to tax gas exports we would expect to see the Australian gas market not repeat the pattern of the Russian gas crisis with local prices held down due to ample supply.

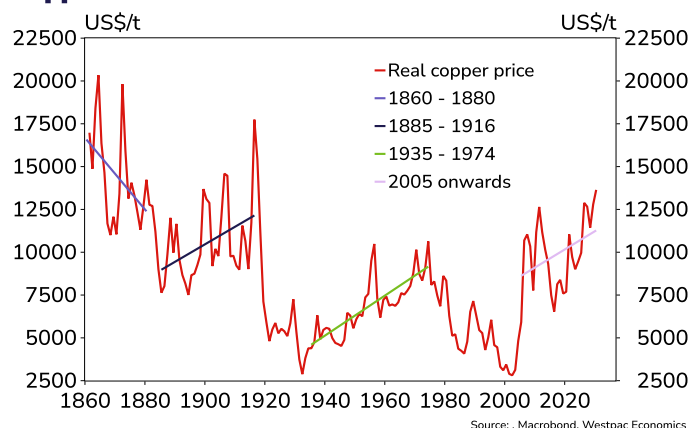
A softer global outlook caps copper gains

Copper prices have eased modestly into May but remain elevated, finding a footing above US\$13,000/t with concerns around demand destruction, driven by higher energy costs and a softer global growth outlook, capping further gains. Despite this, underlying fundamentals remain supportive. Inventory drawdowns through late March and into April, reflected in Shanghai Futures Exchange data, point to a recent stabilisation in demand, supported by renewed focus on electrification amid rising energy costs. At the same time, shortages of sulphuric acid, critical to copper production, is emerging as a constraint, with around one third of global sulphur supply sourced from the Gulf. Against this backdrop, we expect copper prices to test higher levels, with a local peak expected in the March quarter of 2027 at an average of \$13,350/t, before consolidating. Further growth is expected later in the forecast period as net zero targets approach, accelerating EV and renewable deployment, and data centre build outs intensifies.

EV uptake to support lithium

The lithium market has transitioned toward a more balanced position. Spodumene (6% FOB Australia) prices have stabilised around the US\$2,00–2,500/t range, with recent gains reflecting a drawdown in inventories. In the near term,

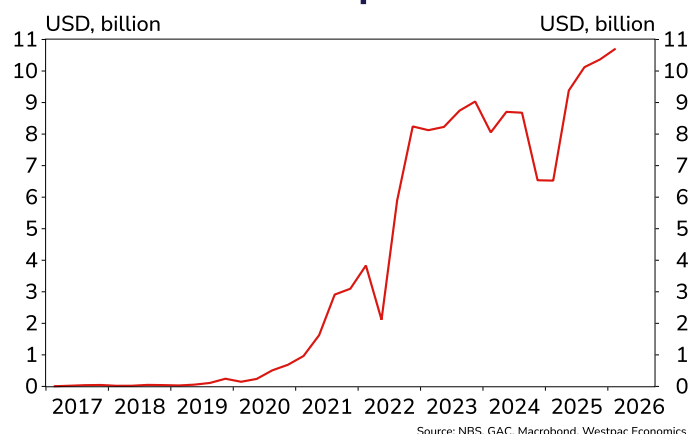
Copper in 2026 dollars



this trend is expected to persist as downstream users maintain lean inventory positions amid price volatility. Additional support will come from accelerating EV adoption, particularly as higher fuel prices and supply insecurity, improve relative economics. Unlike previously, the EV market is now sufficiently mature for fuel dynamics to meaningfully influence purchasing decisions as lower cost Chinese EVs gain market share.

Over the medium to long term, lithium demand will continue to be underpinned by structural electrification trends. EVs remain the primary demand driver, while growth in battery energy storage systems is expected to accelerate alongside expanding renewable generation. The growing role of data centres is also likely to support demand for storage solutions, as systems are deployed to relieve transmission constraints and enable peak shaving. On the supply side, expanding production, particularly from Australia, is expected to place a cap on price upside.

Chinese Electric Vehicle Exports



FX markets waiting for clear ...

Elliot Clarke

Head of International Economics

When we released the last edition of Market Outlook in mid-April, the US dollar DXY index sat at 98.2. Today it is also at 98.2 and, in the intervening period, the index traded a 1 point range – the definition of marking time. Participants have not been short of headlines, rumours and data to assess. Instead, the sum of available information has been heightened uncertainty over the immediate and medium-term outlook, leading participants to refrain from trading.

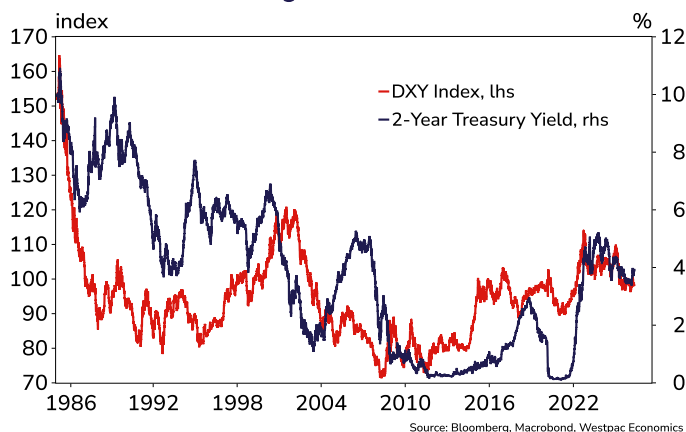
Assessing the market moves that have occurred and the information which inspired them, there is evidence to suggest most participants are waiting for the current crisis to end so they can pursue opportunities outside the US dollar. Supporting this view, risk-off moments have resulted in very limited upside for the US dollar – Project Freedom's announcement and the ensuing skirmishes between Iran and the US in the Strait of Hormuz are a good example of this. Meanwhile, signs of stability and reports of dialogue have buoyed equities globally and seen pro-risk currencies test the upper end of recent ranges against the US dollar – the Australian dollar is a prime example, having traded up through USD0.72 in recent days.

Of the DXY constituents, Japan's yen has led the way. Authorities' concern over the cross breaking above JPY160 was followed by multiple rounds of intervention from late-April, a decision not taken since 2024; along with global developments, these actions have resulted in a sustained recovery from an intra-day high of JPY160.7 to near JPY157 (a near 2.5% appreciation for the yen).

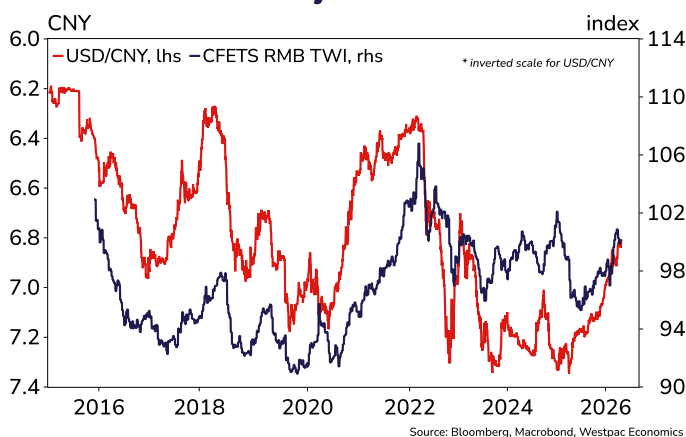
An immense degree of pressure remains on the yen – it is currently more than 40% below the average of 2018 and 2019, prior to the pandemic. That said, with the Bank of Japan expected to raise rates in June while the FOMC holds still, and if concerns over conflict in the Middle East and related energy supply begin to subside, a sustained appreciation for the yen against the US dollar and, to a lesser degree, other major trading partners is probable.

Based on our expectation for a protracted recovery in energy markets, we look for the yen to slowly appreciate through 2026-2028, USD/JPY declining from JPY157 today to JPY150 at mid-2027 and JPY142 come mid-2028. A stronger appreciation is possible if Japanese growth outperforms and/or the Bank of Japan takes a more hawkish stance. However, the reality is that Japan is more exposed to imported energy inflation, affecting real incomes and spending, and arguably lags major neighbours with respect to technological progress and efficiency – China, Taiwan and South Korea are all in a stronger position.

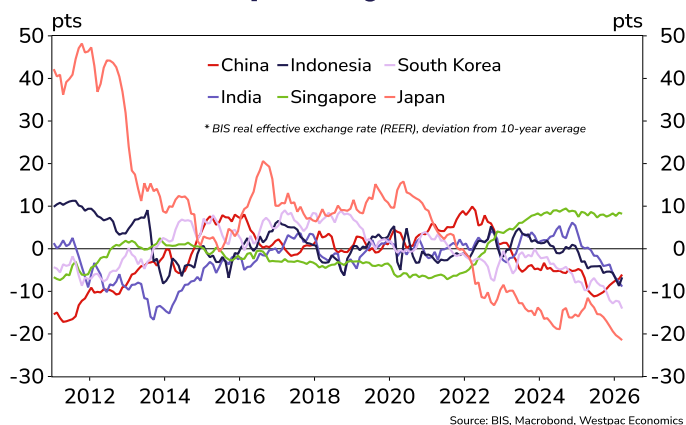
USD demand wavering



Renminbi to sustain rally



Asia's outlook still promising



... air to position for growth

Moreover, investors are increasingly recognising the growth potential of south-east Asia, in part due to foreign investment by the aforementioned north-Asian nations. Investment flows should follow the activity undertaken more than the country of residence of the main investor, and so support for Asia FX against the US dollar is likely to spread out across the region.

Of the countries mentioned, we look for China's Renminbi and Taiwan's dollar to show the most persistent strength. USD/CNY is expected to continue trading down from CNY6.80 to CNY6.50 in mid-2027, then CNY6.35 by mid-2028. USD/TWD meanwhile is forecast to fall from TWD31.4 to TWD29.2 in a year's time, then TWD28.2 come mid-2028. Opportunity is also apparent for South Korea's won and Singapore's dollar, although at SGD1.27 the latter cross is already at the lower end of the historic range versus the US dollar.

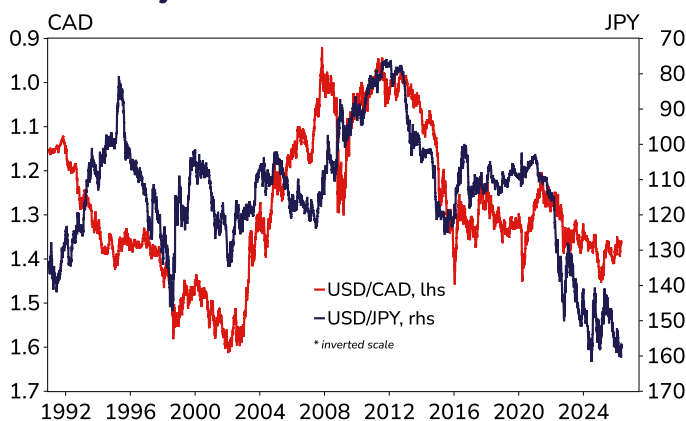
For the rest of Asia, economic and industrial development is expected to win out in time; however, the shadow cast over energy security by recent developments in the Middle East and the impact of higher prices on household and businesses' finances will likely see investors remain focused on risks to the outlook for the foreseeable future. Countries such as the Philippines and Indonesia are most exposed, while Vietnam is arguably best positioned to receive aid from China given its importance to China's manufacturing and logistics networks, and as Chinese firms are already working at scale on infrastructure projects across Vietnam, with more to come.

Coming back to Europe and the UK, the state of play against the US dollar is little changed over the past month. Our views on the region's outlook are also largely unrevised. As discussed on page 22, recent communications from the ECB and Bank of England point to a modest policy tightening in coming months to guard against inflation risks. However, both central banks are also keeping a close eye on downside risks for activity – a greater risk for the UK given labour market slack was already building ahead of the current conflict.

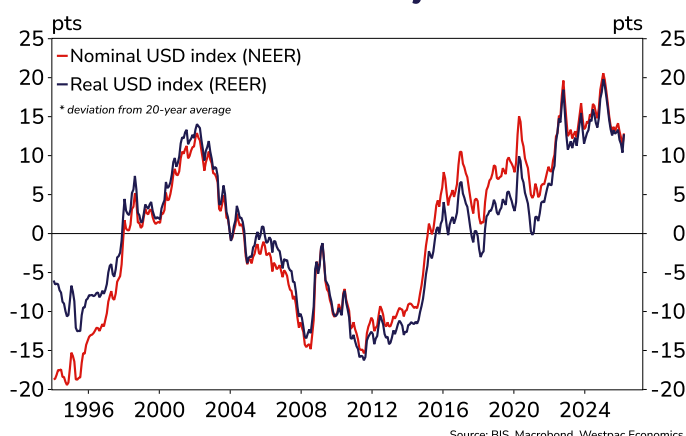
Participants are likely to take confidence from policy makers direction and will also expect that, as the drag on discretionary incomes lifts, activity growth in each jurisdiction should strengthen. Hence, we look for EUR/USD to appreciate from USD1.17 today to USD1.21 in mid-2027 and USD1.22 come mid-2028. Sterling is seen appreciating from USD1.36 to USD1.39 then USD1.41 over the two-year forecast horizon.

In closing, it is worth noting that, at least initially, euro, sterling and yen are most likely to benefit if downside risks for the US crystallise. In time though, investors are likely to see greater opportunity in Asia, and capital will be repositioned to take advantage.

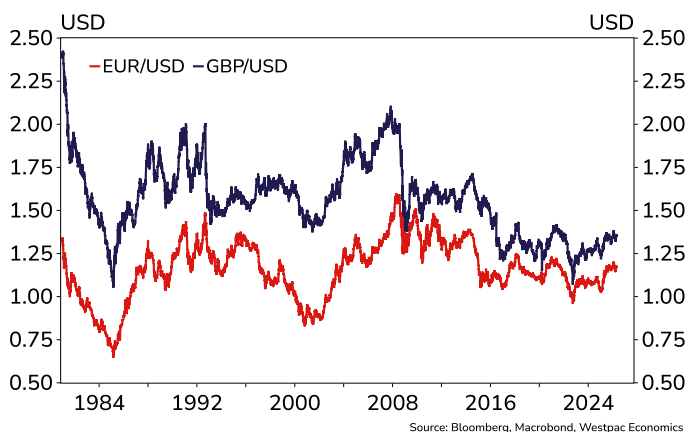
JPY aided by authorities



USD still elevated versus history



Euro and UK risks to recede



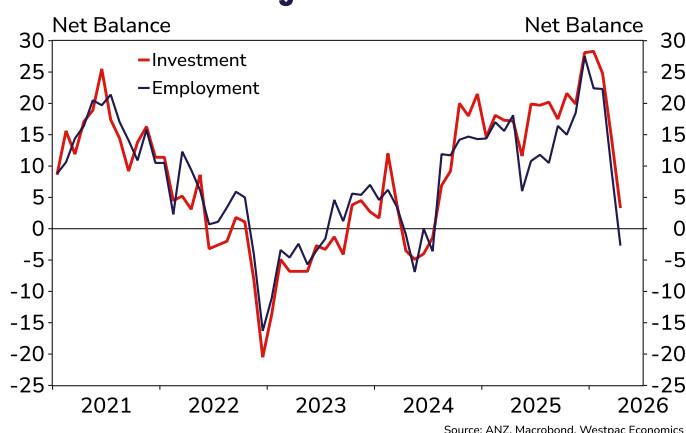
Early impacts of Iran war as expected ...

Darren Gibbs
Senior Economist

The domestic focus since our last Market Outlook has remained on gathering up-to-date information on how the New Zealand economy is being impacted by the Middle East conflict and assessing the RBNZ's likely response. To date the main impact continues to be felt through higher prices for refined oil products. The supply of fuel has continued uninterrupted, and the Government has taken steps to modestly boost resilience by funding a roughly one-third increase in in-country diesel storage. This resilience will be tested if the Middle East conflict continues.

Unsurprisingly, both business and consumer confidence have taken a significant hit with surveys for April confirming the decline in optimism that had been evident in late responses back in March. For example, the ANZ's headline business confidence index slumped to -10.6 in April from 32.5 in March – the first negative reading since 2023. Encouragingly, firms remain more optimistic about their own situation. Even so, the net proportion of firms expecting their own trading activity to rise over the next year halved to 19.6% in April. Uncertainty is curbing firms' willingness to expand, with net hiring intentions turning modestly negative in April and net investment intentions sliding to barely positive levels. This is consistent with the picture we expected to see when we downgraded our near-term outlook for growth in late March. However, we are reviewing our forecasts considering prospects for a slower resolution of the Middle East conflict than previously assumed.

Investment and hiring intentions



Meanwhile, the first-round impact of high energy prices is beginning to pass through the economy. A small portion of the direct impact of the Middle East conflict came through in the March quarter CPI, with a 3.5% lift in petrol prices helping to leave annual headline inflation stable at a higher-than-

expected 3.1%yr. Measures of core inflation generally nudged lower, with the RBNZ's sectoral factor model estimate edging down to 2.7%yr, the 30% trimmed mean falling to 2.3%yr and the weighted median edging down to 1.6%yr. But the full brunt of the energy shock will begin to be felt in the current quarter. Sharply higher fuel prices are leaving many firms operating in the transport industry with little choice but to raise prices, mainly through surcharges, to help defray their increased costs. We currently expect annual headline inflation will rise to around 4.5%. How long it remains at such elevated levels – or indeed whether this is even the peak – will depend mostly on the path that the Middle East conflict takes.

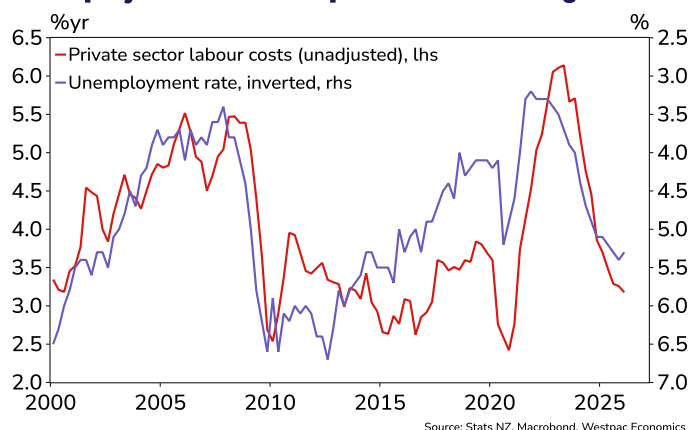
Appropriately, the RBNZ remains vigilant for any signs that a higher near-term trajectory for inflation will raise the outlook for inflation over the medium term. Recently, Governor Breman participated in a regional engagement event in which she largely reiterated the key messages conveyed at the RBNZ's 8 April OCR Review. But she also commented on the recent release of the Q1 CPI report. While noting that headline inflation was slightly higher than expected, she added that "...measures of core inflation, which look through this volatility, have remained stable within the target band."

Looking ahead, Breman said "...the Reserve Bank remains focused on balancing inflation control with supporting economic recovery." But she also reiterated that "...monetary policy can and should ensure that a temporary increase in inflation does not turn into enduring inflationary pressures." In particular, she emphasised that the Bank was focused on the prospect of second-round inflation effects, specifically transmitted through the labour market, rather than the first-round impact of higher fuel prices. She also emphasised that the Bank will pay close attention to measures of medium-term inflation expectations. Next week the RBNZ will release the first of three different measures of inflation expectations, which mostly covers the views of professional economists and a small number of people from the business sector.

At present, the market is pricing just under a 30% chance of a 25bp rate hike at the RBNZ's 27 May meeting. Westpac continues to forecast a first lift in the OCR at the 2 September Monetary Policy Statement meeting, but we do not rule out the possibility that the RBNZ acts sooner. In this environment, we expect the NZ dollar to remain stable in the near-term. Thereafter, as the RBNZ tightening cycle begins and the US dollar continues its weakening trend, the NZ dollar is expected to gradually appreciate (including regaining some of the ground lost this year against the Australian dollar).

... with confidence down and prices up

Unemployment rate and private sector wages



While it is too early for the Middle East conflict to have impacted the labour market, data released this week provided an important update on conditions as New Zealand faced into this shock. According to the household survey, employment rose 0.2% during the quarter to be 0.4% higher than a year earlier. Measures of hours worked from both the household and employer surveys grew slightly more quickly, consistent with our view that the economy grew solidly in during the quarter (we currently estimate GDP growth of 0.8%qtr). Somewhat unusually, the labour force participation rate nudged lower despite the rise in employment. As a result, the unemployment rate edged down to 5.3% despite slightly firmer growth in the working age population. Labour cost growth was subdued as expected, with annual growth in private sector wages slowing to 3.2% (2.0% once

productivity-related increases are excluded, as published in the headline index). These results were much as the RBNZ had forecast in the February Monetary Policy Statement (employment growth was just slightly weaker) and so are unlikely to have much impact on the RBNZ's deliberations.

Finally, the Middle East conflict is also set to impact the Government's financial accounts. Prior to the war, the Government was on course to announce an upgrade to the fiscal outlook at Budget 2026 (released on 28 May). But higher than previously forecast inflation and interest rates are set to raise the cost of welfare spending and debt financing, and weaker economic growth will undermine previous forecasts of tax revenue. Therefore, it now seems likely that Budget 2026 will reveal a modest lift in the Government's borrowing requirement, even though higher inflation will help lift some types of tax revenue given the lack of indexation of the tax system. We will publish our Budget preview following next week's release of government spending and tax data for March.

Reflecting the weaker fiscal outlook, last month Moody's joined Fitch in attaching a negative outlook to New Zealand's sovereign credit rating. Moody's model assigns a rating one notch lower than the current final Aaa rating, with the final rating reflecting a discretionary uplift based on an assessment that the recent weakening of fiscal metrics would improve over time (an uplift based on New Zealand's past success in correcting fiscal imbalances). The move to a negative outlook clearly indicates that Moody's are considering removing that uplift due to the ongoing delay in returning to books back to surplus. Avoiding a downgrade sometime next year will require the Government to demonstrate its commitment to fiscal consolidation.

	2025							2026				
Monthly data	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
REINZ house sales %mth	-2.1	-3.9	2.6	-2.7	-1.5	6.3	0.4	1.0	-5.2	5.2	-4.4	-
Residential building consents %mth	10.8	-5.2	6.3	5.2	7.5	-0.7	2.7	-4.4	1.8	2.7	-1.2	-
Electronic card transactions %mth	-0.1	0.5	0.2	0.6	-0.4	0.3	1.3	-0.1	-1.0	1.4	0.7	-
Private sector credit %yr	3.0	3.2	3.5	3.8	4.2	4.6	4.4	4.6	4.6	4.7	4.9	-
Commodity prices %mth	1.9	-2.4	-1.8	0.7	-1.1	-0.3	-1.6	-2.1	2.0	4.2	4.2	-0.8
Trade balance \$mn	-256	-527	-371	-110	269	-248	-352	-183	-299	-863	-200	-
Quarterly data	Q4:23	Q1:24	Q2:24	Q3:24	Q4:24	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26		
Westpac McDermott Miller Consumer Confidence	88.9	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7		
Quarterly Survey of Business Opinion	9	-27	-25	-29	-27	-22	-21	-15	-3	0		
Unemployment rate %	4.0	4.4	4.7	4.9	5.1	5.1	5.2	5.3	5.4	5.3		
CPI %yr	4.7	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1		
Real GDP %yr	2.2	1.8	1.1	0.5	-0.3	-0.9	-1.1	-0.6	0.2	-		
Current account balance % of GDP	-6.3	-5.7	-5.5	-5.2	-4.7	-4.2	-3.7	-3.5	-3.7	-		

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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Playing comparative ...

Elliot Clarke

Head of International Economics

This month, President Xi and President Trump are due to meet to discuss China/US relations, developments in the global economy and, barring a resolution before, likely the conflict in the Middle East. This meeting will not materially change the status quo, being one of a number of in-person meetings planned for this year, but it will guide on the opportunities and risks ahead. Available data points to a stark difference in perspective and outlooks.

As the US continues to focus on controlling trade across its borders in pursuit of greater domestic investment and production, China has instead enticed investment at home by encouraging foreign trade. To date in 2026, China's trade surplus has averaged US\$88bn per month after holding around US\$99bn in 2025, both outcomes roughly three times the 2018-19 average of US\$32bn.

The US trade position has, in contrast, deteriorated from an average deficit of US\$47bn per month in 2018-19 to US\$73bn in 2025-26. Admittedly, this US data pre-dates the surge in energy exports seen through April and May, but China has also temporarily pulled back on their supply of energy goods to other nations, reducing export revenue.

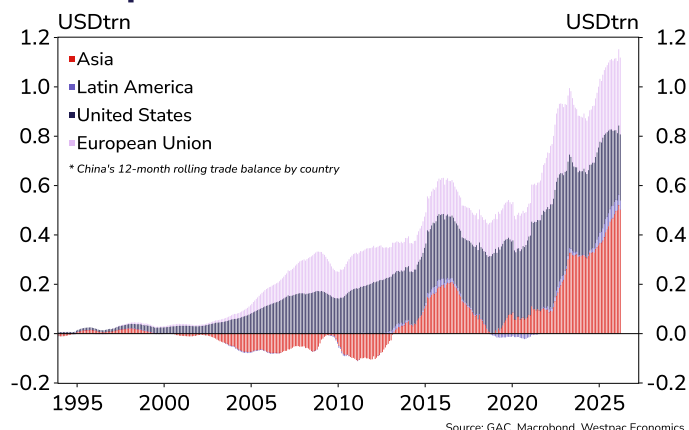
With future export opportunities remaining the focus, Chinese fixed asset investment continues to grow after rapidly scaling through 2020-2025. Of particular note, transport and storage-related infrastructure spending surged in early-2026, and utilities investment has continued to compound around 9%ytd.

Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit a sustained upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1 and global demand receiving strong support from elevated energy prices and open-ended uncertainty over Middle East supply.

In contrast, in the US, investment remains highly concentrated in AI-related infrastructure and conversely is weak in areas related to trade and the domestic real economy. Linger uncertainty related to tariffs and elevated long-term yields are also at play, in addition to businesses' focus on technology – US for-profit entities need greater surety over expected returns than China's state-owned and state-linked entities.

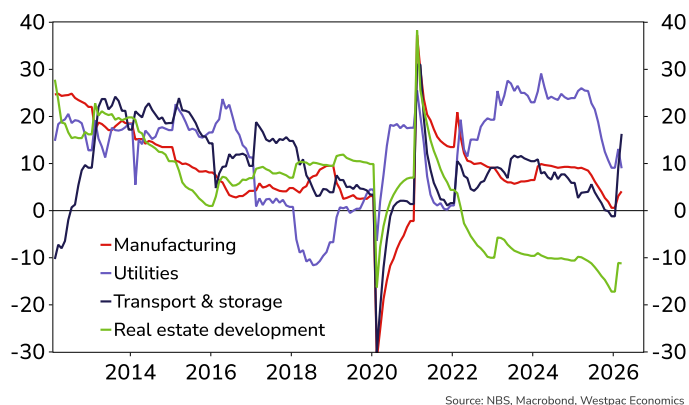
An additional element to consider is the benefit China may receive from the US' souring relationship with the world, particularly Europe. This month, President Trump has continued to spar with European leaders, threatening to pull US troops from Germany and other major nations in the region.

Trade surplus a boon for ...



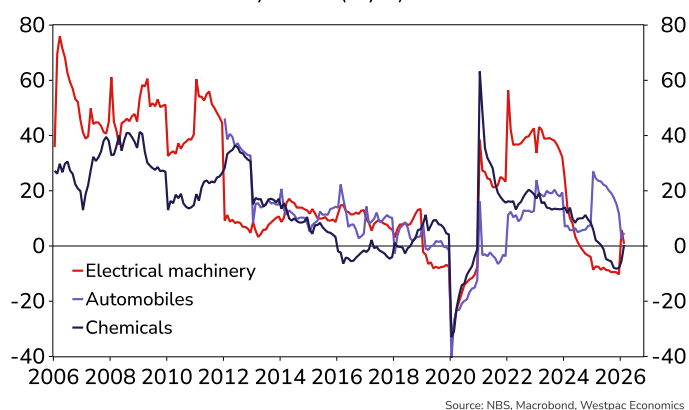
... for investment ...

Fixed Asset Investment by Industry (%ytd)



... particularly in high-tech sectors

Fixed Asset Investment by Sector (%ytd)



... advantage

He then announced a 10 percentage point increase in the US tariff rate for European cars and trucks, purportedly because the EU had failed to live up to their side of the agreed trade deal – without providing specific evidence.

The EU labelled the US as an “unreliable” trading partner and vowed to respond. Ahead of this development, Chinese authorities were acting to strengthen ties with European leaders, publically via a number of high-profile visits from European leaders, and behind the scenes by encouraging Chinese firms to invest in Europe and vice versa. There is strong evidence of a high-integrated, mutually-beneficial trade relationship taking shape between China and Europe.

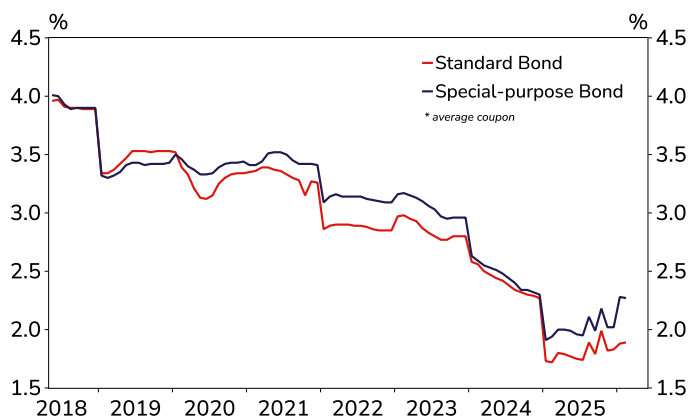
As we have highlighted frequently, Chinese investment is not concentrated in one jurisdiction, however. Instead, it has spread widely across Asia, Latin America and Africa (in addition to Europe), targeting not only the production of finished goods, but also the production of supply inputs – from raw materials to high-tech components.

While not their initial intent, over time this project will justify a material increase in the use of the Renminbi in trade, and will also strengthen demand for real and financial investment within China.

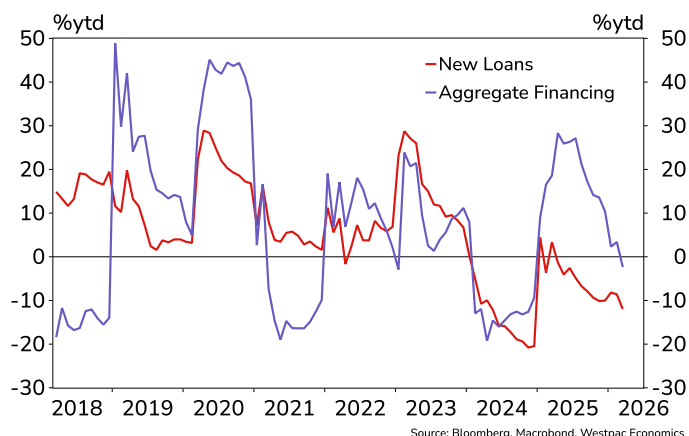
This will see greater depth and liquidity for China’s onshore financial markets, as well as scope to offer global investments to Chinese investors through the issuance of Renminbi denominated debt and equity instruments. The larger these flows become, the greater the opportunity for Chinese banks and financial entities to facilitate flows, provide capital and manage risk, both on and, more importantly, offshore.

Overall then, in trade, investment and, with time, financial flows, China has a considerable long-term competitive advantage that is set to benefit their real economy and national wealth.

Cost of funds attractive ...



... for a turn in credit



	2025							2026				
Monthly data %yr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
Headline CPI %yr	-0.1	0.1	0.0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	-
M2 money supply %yr	7.9	8.3	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5	-
Manufacturing PMI (official)	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3
Fixed asset investment ytd %yr	3.7	2.8	1.6	0.5	-0.5	-1.7	-2.6	-3.8	-3.8	1.8	1.7	-
Industrial production %yr	5.8	6.8	5.7	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7	-
Exports %yr	4.6	5.7	7.0	4.2	8.2	-1.3	5.8	6.5	10.0	39.6	2.5	-
Imports %yr	-3.3	1.3	4.2	1.6	7.8	1.4	2.0	5.7	25.7	13.9	27.8	-
Trade balance USDbn	102.7	113.9	97.4	101.2	89.2	88.9	111.1	113.7	122.4	90.8	51.1	-
Quarterly data	Dec-24		Mar-25		Jun-25		Sep-25		Dec-25		Mar-26	
Real GDP %yr	5.4		5.4		5.2		4.8		4.5		5.0	
Nominal GDP %yr	4.6		4.6		3.9		3.7		3.9		4.9	

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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Economic opportunity ...

Elliot Clarke

Head of International Economics

The US has exhibited both strength and frailty over the past month. Backed by earnings beats and despite a new cycle high for Brent oil, its equity markets have rebounded strongly to record levels. At the same time though, growth in consumer demand has fallen below trend and housing investment is contracting. In many respects, the outlook is highly uncertain.

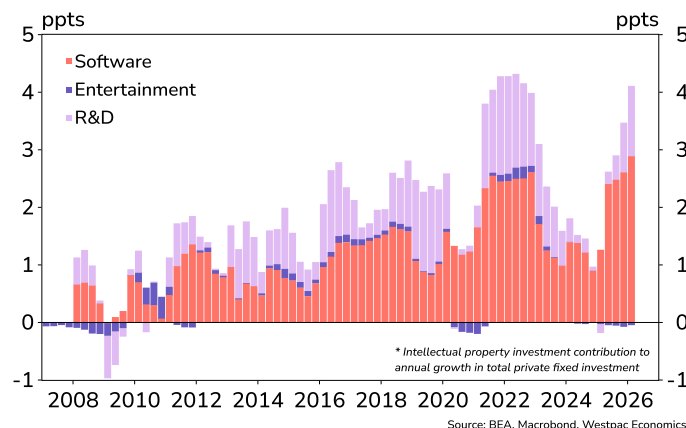
Beginning with the positives. The confidence financial markets have shown amid open-ended uncertainty for energy supply, the pass-through to consumer inflation and elevated yields is jarring. Participants' responses to recent earnings results and news of the build out of AI infrastructure helps to make sense of these outcomes, however.

Simply, there is a dominant belief that the US' real economy can be protected from the worst of the supply disruptions by its domestic energy production and refining capacity. And, both now and in the long run, is at the forefront of productivity and profitability enhancement through technology. The surge in energy exports as well as intangibles and equipment investment supports both notions. The strength of these investment sub-types arguably also warrants expectations of sustainable income gains and an ability to, in time, contain inflationary pressures, providing scope for persistent, robust returns.

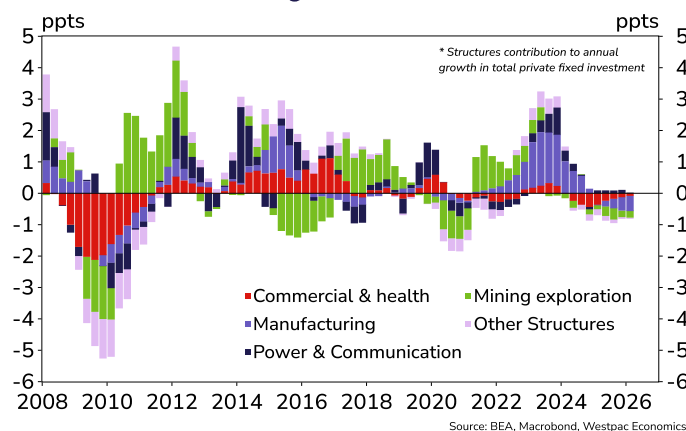
We do not doubt the strength of tech-related investment or the capacity it is creating. But we see a need to caution on the sustainability of its contribution to GDP growth because momentum tends to moderate as an industry matures, and owing to the concern being shown by investors over the financing terms and lifecycle of assets within the sector. We also believe it is important to recognise that, outside of AI infrastructure and related equipment investment, business investment is soft. Indeed, at circa 6%yr, annual growth in total business investment is broadly in line with the historic depreciation rate for the capital stock, implying no net increase in functional capacity. In the public sector, while activity rebounded in Q1 2026 following Q4's shutdown, the level of spending is unchanged over the year.

At the same time, the pulse of consumer demand has continued to soften, from an above-trend annualised pace of 3.2% through 2023 and 2024 to a sub-par 2.1% annualised in 2025, and now 1.6% in Q1 2026. This is despite the unemployment rate remaining consistent with full employment, the drag on real discretionary income fading and as real wealth accrues. Also affected by elevated term interest rates, housing construction continues to contract to now be down more than 18% since early 2021, even with solid population growth.

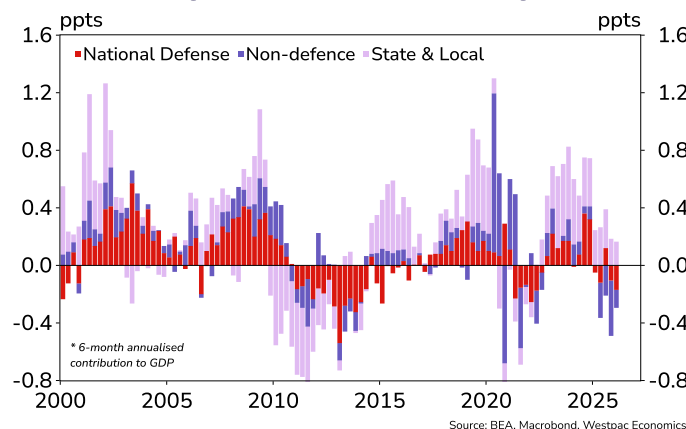
Tech driving US growth



Other US firms holding back



State & local government spend turning



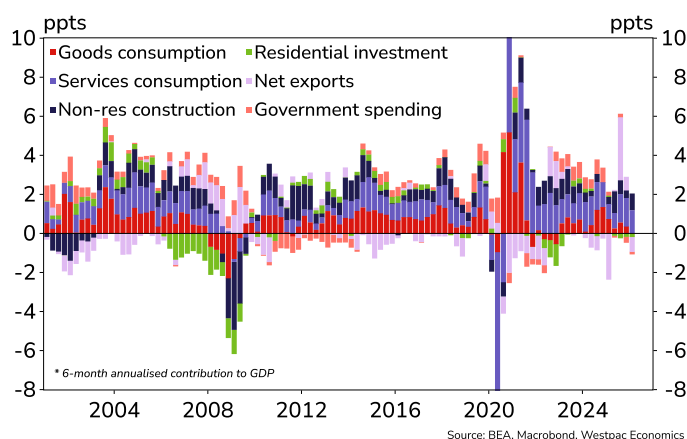
... narrow and brittle

It is extremely difficult, if not impossible, for an economy to grow at or above trend when sectors representing 72% of total activity are experiencing a sub-par performance, or contracting outright. The import component of the above activity is an additional headwind for GDP growth which is unlikely to subside, even if President Trump finds a way to permanently impose tariffs and entice new investment.

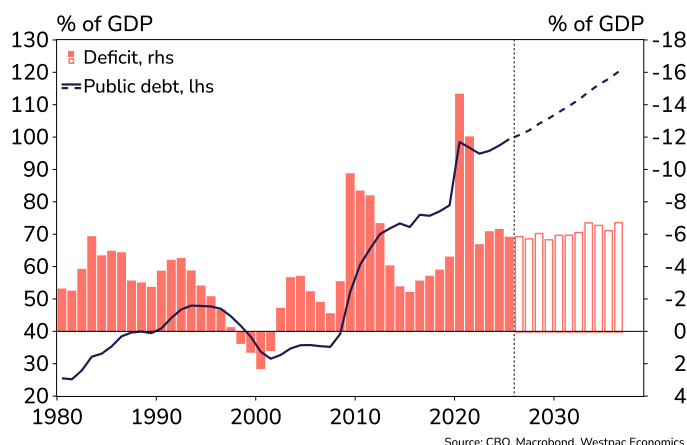
Our take on the above positives and negatives is that the US economy finds itself with the capacity to grow at or near trend through 2026-2028, but momentum is likely to be concentrated amongst businesses and higher-income households, with volatile outcomes around a broadly flat trend anticipated in other sectors. Meanwhile, limits on capacity outside of technology is, all else equal, likely to hold inflation consistently above target. As we have emphasised repeatedly, the adoption of AI and related technology offers the opportunity for greater productivity from labour. But limits on migration are likely to create offsetting wage pressures and frictions in production.

For US monetary policy, known risks are therefore set to remain skewed towards misses on inflation versus a material increase in labour market slack. The market is likely to price in at least a chance of a rate hike over the forecast period, and term interest rates a lasting hawkish tilt. For the long end of the yield curve, the effect of higher inflation expectations will be magnified by the implications for Government servicing costs – a higher share of expenditure going to interest payments, increasing the stock of debt and reducing the Government's capacity to invest for growth. In our view, this uptrend for interest rates is unlikely to boost the US dollar, being paired with modest US economic growth and comparably favourable opportunities in other parts of the world, for businesses and investors alike.

Consumer demand brittle



Debt and deficit a constraint



	2025							2026					
Monthly data	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	
PCE deflator %yr	2.5	2.6	2.6	2.7	2.8	2.7	2.8	2.9	2.9	2.8	3.5	–	
Unemployment rate %	4.3	4.1	4.3	4.3	4.4	4.4	4.5	4.4	4.3	4.4	4.3	–	
Nonfarm payrolls chg '000	13	–20	64	–70	76	–140	41	–17	160	–133	178	–	
House prices* %yr	2.8	2.1	1.8	1.6	1.4	1.3	1.5	1.5	1.2	0.9	–	–	
Durables orders core 3mth %saar	2.6	–0.9	8.4	4.0	10.9	9.8	9.8	8.9	5.5	8.5	20.0	–	
ISM manufacturing composite	48.6	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	
ISM non-manufacturing composite	50.2	50.8	50.5	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	53.6	
Personal spending 3mth %saar	4.7	3.6	5.1	7.3	6.6	5.5	4.5	4.7	4.5	5.9	8.0	–	
UoM Consumer Sentiment	52.2	60.7	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	
Trade balance USDbn	–70.6	–57.6	–74.2	–56.0	–49.2	–31.1	–56.0	–72.9	–54.7	–57.8	–60.3	–	
Quarterly data	Mar–25		Jun–25		Sep–25		Dec–25		Mar–26		Jun–26(f)		
Real GDP % saar	–0.6		3.8		4.4		0.5		2.0		1.6		
Current account USDbn	–438.3		–247.8		–239.1		–190.7		–		–		

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20-city measure.

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A coordinated policy response needed to ...

Illiana Jain
Economist

At the heart of it, the Bank of Japan's (BoJ) policy board has one objective: to restore the effectiveness of the policy rate lever while continuing to support demand-pull inflation. If these two are in opposition to one another, the BoJ will choose to halt the hiking cycle to support domestic demand. The cost of not doing so was laid bare in 2014, when a consumption tax hike from 5% to 8% saw private consumption contract by nearly 19% annualised in Q2, breaking the reflationary momentum Abenomics had built.

Today, domestic data warrants another hike. Three consecutive years of 5%+ Shunto wage results, corporate profit margins at 60-year highs, and a broadening of wage increases to SMEs all point to a virtuous cycle taking hold. The Middle East conflict is a complication, however, threatening to turn demand-pull inflation into cost-push, squeezing the demand growth the BoJ is trying to nurture.

Domestically driven inflation starts with healthy wage growth. FY2026's (ending March 2027) Rengo wage outcome came in at 5.08%, just below last year's 5.25%. Major companies like Toyota and Suzuki reportedly met union demands in full. The unions were also successful in encouraging SMEs to increase wages by 4.84%. The SMEs wage commitment in particular reflects the difficulty of finding labour and Japan's limited spare capacity. In their press conference, Rengo affirmed that recent results suggest robust wage rises are becoming entrenched across the economy. Structural factors like an ageing population and the expansion of the services sector have also helped maintain upward pressure on wage growth. Strong corporate profitability has also been important, offering scope for business to deliver.

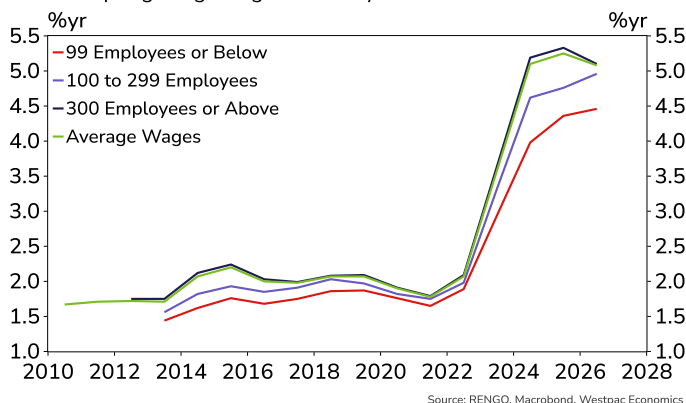
While the BoJ's most recent Outlook highlighted risks to corporate profitability, it is worth noting that this measure remains near historic highs. The operating profits-to-sales ratio is currently 6.01%, a high back to the 1960s. In contrast to the 1960's, the strength has also been broad-based across manufacturers and service providers.

Primary risks to Japan's economy are instead found offshore. In particular, cost-push inflation from energy and a weak yen risks a squeeze in real incomes and consequently demand.

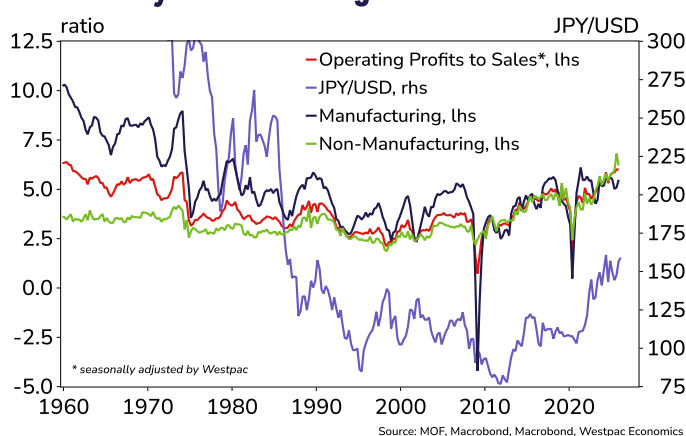
Authorities showed their concern this month, USD/JPY's rise above JPY160 in late April triggering the first intervention since mid-2024. Several instances of intervention through early-May has helped USD/JPY remain below JPY160. Although, it is worth noting that, per IMF rules, the MoF can only intervene in the FX markets twice more over the next six months for the yen to be considered a free-floating currency. This highlights the predicament facing Japanese officials. The yen is

Gap between SMEs and large firms is closing

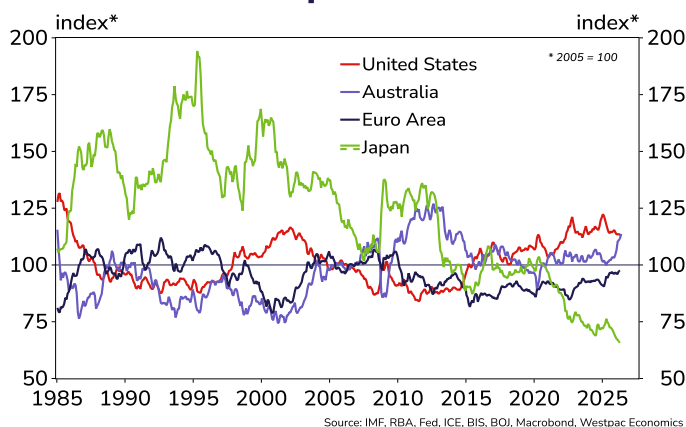
RENGO Spring Wage Negotiations by Business Size



Profitability remains strong



Yen continues to underperform



... ensure the policy lever is returned to the BoJ

weak due to structural factors like offshore investment by Japanese manufacturers and adverse rate differentials with other developed markets. Intervention can only be effective temporarily and at the margin. Policy makers must therefore continue to deliver on rates and economic growth.

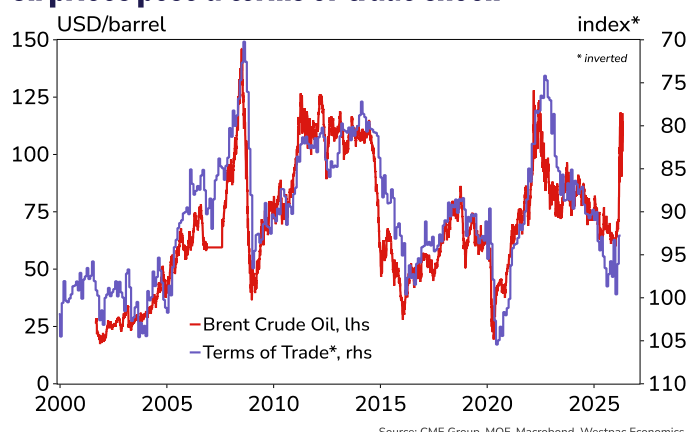
At its April meeting, the policy board decided to keep rates steady in a 6-3 vote, with the three dissenters (Tamura, Nakagawa and Takata) voting to hike. The accompanying statement put the Middle East conflict front and centre. In their central scenario, they downgraded the GDP forecast to below 1.0% for the projection period and lifted the inflation profile. Higher oil prices are now more than offsetting the deceleration in food prices – core inflation for FY26 was revised up from 1.9% to 2.8%. While domestic conditions still indicate the economy can sustain another step up in rates, the BoJ remains cautious about the impact of external risks on domestic demand. Highlighting this, Governor Ueda placed a condition on the Board's hawkish forward guidance, noting rates could only rise if downside risks remain limited.

On the fiscal side, Prime Minister Takaichi's budget for FY26 should deliver near-term support for growth. The budget passed in early April with a 6.2% increase in spending versus FY25. Key items included spending on defence and investment into high value sectors such as semiconductors to aid economic growth over the medium term. Higher social spending and cost-of-living relief measures should also help cushion the impact of higher energy prices and second-round pass-through. More importantly, the shift from targeting the primary balance surplus – which constrains annual spending regardless of the cycle – to a medium-term debt-to-GDP ratio target allows greater flexibility to front-load spending when necessary while maintaining fiscal discipline.

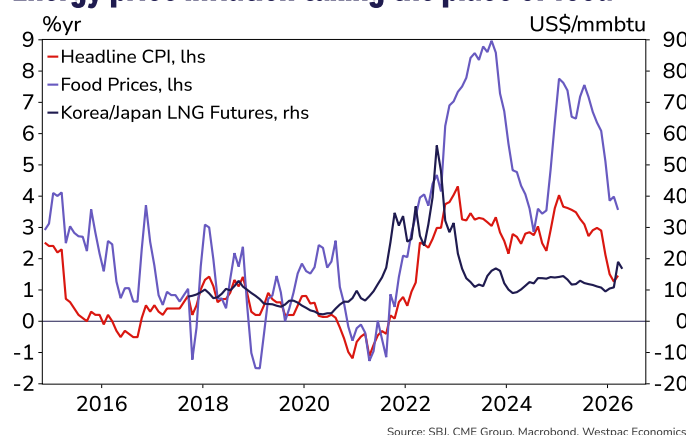
All told, enduring strength in the domestic economy thanks to wage increases, a vibrant corporate sector, and a supportive fiscal backdrop should give the BoJ sufficient confidence to move again in June. The 6-3 vote split and Governor Ueda's conditional guidance suggests the Board is already leaning in that direction.

To confirm the appropriateness of the decision between now and then, greater clarity is necessary on two fronts: the trajectory of the Middle East conflict and, more concretely, the Financial Statements data due in early June, with the latter to show how firms are absorbing higher input costs and whether margins are holding up. If profitability shows resilience and downside risks to growth remain contained, the case for a 25bp hike to 1.0% is straightforward. Beyond June, however, an extended pause is likely while the lagged impact of global developments and the significant change in the stance of policy over the past year is assessed.

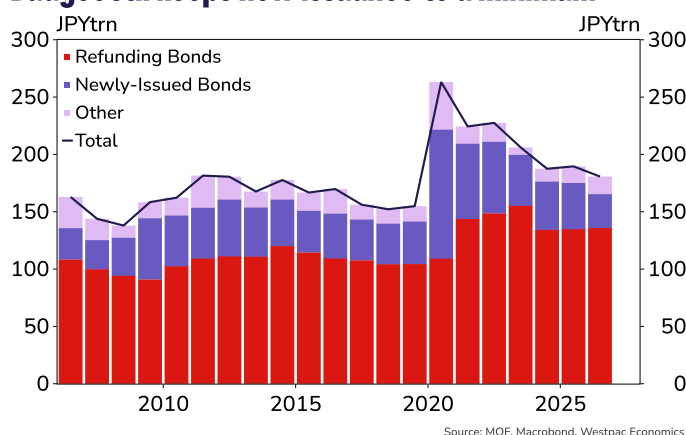
Oil prices pose a terms of trade shock



Energy price inflation taking the place of food



Budget still keeps new issuance to a minimum



Keep calm ...

Mantas Vanagas
Senior Economist

While the RBA continued tightening monetary policy this month, major central banks in Europe maintained a more balanced stance. But with a definitive end to the Middle East conflict still out of sight, both the European Central Bank and the Bank of England are looking increasingly likely to hike sooner than later.

At the end-of-April meeting, the ECB Governing Council opted to maintain its current policy stance and largely met expectations with their tone. The uncertainty stemming from the Middle East conflict remains the primary concern, the monetary policy statement reiterating that the implications for the euro area economy and, consequently, monetary policy will depend on both the intensity and duration of the war.

Indeed, the ECB believe “upside risks to inflation and downside risks to growth have [both] intensified”. Arguably, the lack of a clear tilt in the distribution of risks warranted policymakers wait-and-see approach, with the decision to hold unanimous.

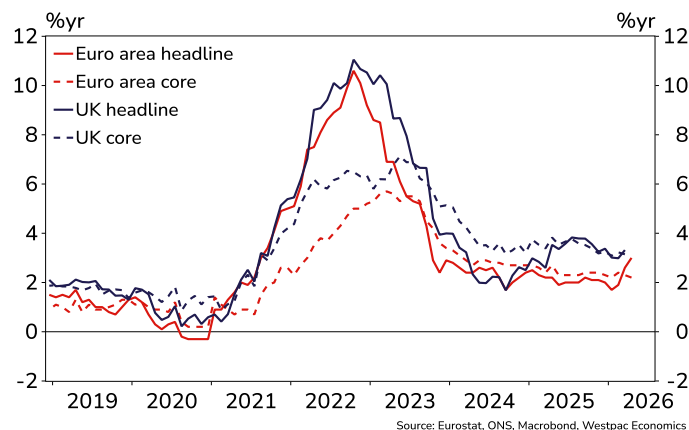
The coming months will provide evidence of second-round effects, allowing for a clearer assessment. The next meeting in June will also incorporate a refreshed set of forecasts and scenarios to provide perspective.

In its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In her speech in Berlin two weeks before the April meeting, President Lagarde implied the conflict’s dynamics and energy prices had deteriorated relative to their baseline view, but were not yet aligned with the adverse scenario.

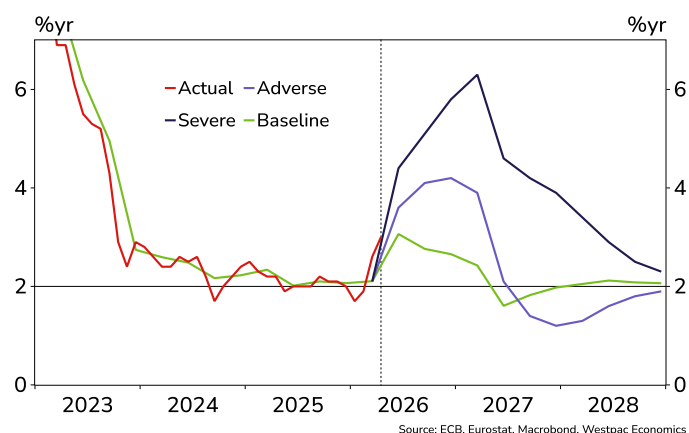
Following the ECB’s April meeting, President Lagarde seemed reluctant to discuss the details of the adverse scenarios, but again stressed that conditions have diverged from March’s baseline. She noted that the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision” in June. Her comments appeared carefully chosen to signal an openness to a rate increase at the next meeting, if data and assessed risks warrant it. Notably, a rate hike was discussed by the Governing Council as a policy option for the April decision. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the June meeting.

In the UK meanwhile, with BoE Governor Bailey having recently pushed back against market expectations for aggressive policy tightening, participants anticipated the April meeting would conclude without drama.

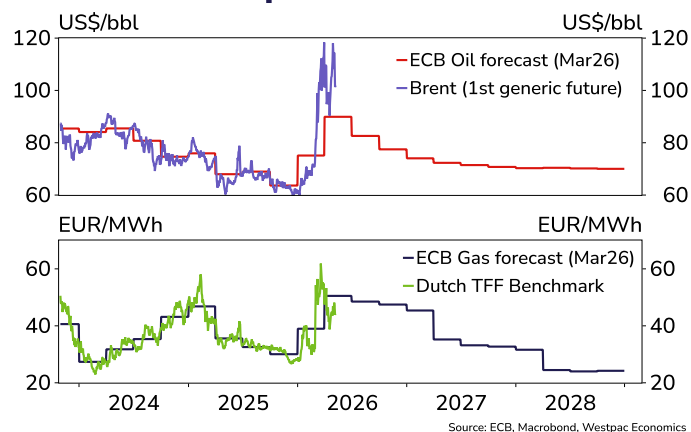
Euro area and UK inflation



ECB HICP inflation scenarios



ECB forecast assumptions



... and trust in guidance's effect

That proved to be the case, with the majority of the eight committee members voting to keep the policy rate at 3.75%. Chief Economist Huw Pill was the sole dissenter, voting for a hike to 4.00%, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects.

The policy statement maintained a hawkish bias, emphasising the impact of the energy price shock – both its scale and duration – on UK inflation as well as the Committee’s readiness to act to ensure inflation returns sustainably to the 2% target in the medium term. Committee members also showed considerable concern over activity growth, however. If it remains sub-par, underlying inflationary pressures may ease over time. Loose conditions in the labour market were also called out given slack was building before the conflict began.

Risks to inflation were illustrated using three scenarios, differentiated primarily by oil and gas price assumptions and the persistence of second-round effects.

In the first two scenarios, the Brent oil price averages US\$108 in Q2 2026 and then decreases at different speeds. The aggregate result is headline inflation above 3.5%yr this year, but it abates through 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required as financial conditions have already been affected by the removal of circa 50bps of easing priced before tensions flared.

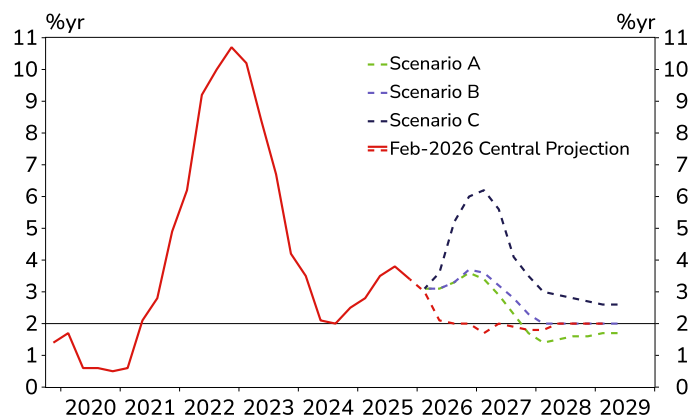
The committee judged that the most severe scenario – where Brent averages US\$127 this quarter and remains above US\$100 well into 2028 leaving inflation as high as 6.2%yr in 2027 – would instead require “a forceful tightening in monetary policy”. The BoE published policy rules suggest that Bank Rate might need to go as high as 5.0% in these circumstances.

Overall, the MPC communication suggest Bank Rate hikes this year are far from guaranteed, with the current “active hold” approach potentially sufficient to bring inflation to target.

Though, with Brent oil peaking at US\$126 on the day the MPC met, and holding above US\$100 since, conditions are clearly volatile and inflation risks acute. The persistence of inflation and slowly eroding stockpiles of energy products globally may be too great a risk for the MPC to ignore.

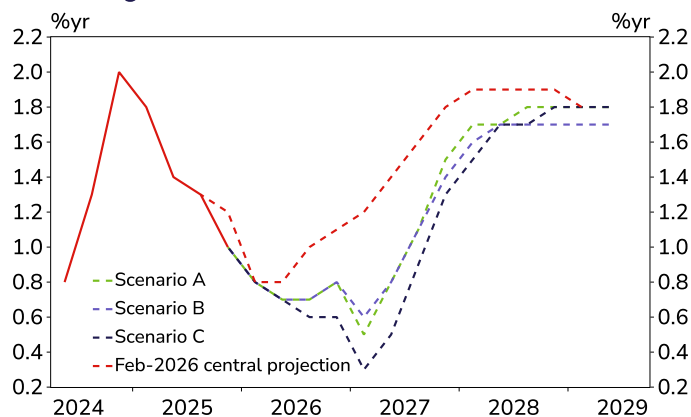
As such, we maintain our base case for a Bank Rate hike at the next policy meeting in June, with further tightening possible in Q3 if price uncertainty intensifies. Note though, downside risks to the labour market and economic activity are unlikely to improve, and so the Bank of England may instead attempt to look through current price dynamics, holding fire on rates. Any rate hikes in 2026 are also likely to be reversed in 2027.

BoE Inflation scenarios



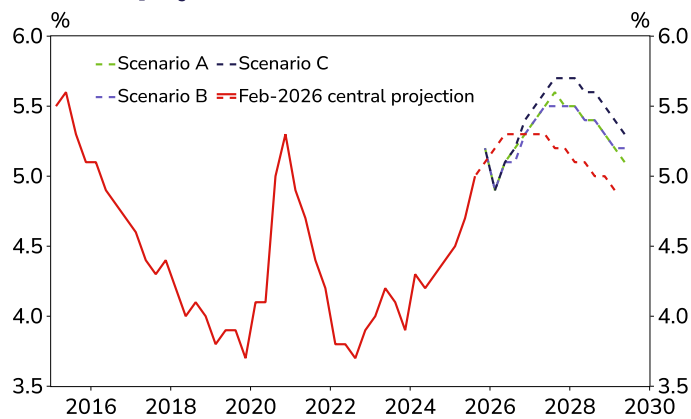
Source: BoE, Macrobond, Westpac Economics

BoE GDP growth scenarios



Source: BoE, Macrobond, Westpac Economics

BoE Unemployment rate scenarios



Source: BoE, Macrobond, Westpac Economics

Australia

Interest rate forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.35	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.44	4.55	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.64	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.63	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.96	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	57	65	65	60	55	50	40	30	20	15

Currency forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD vs										
USD	0.7203	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
JPY	113.02	113	112	112	111	111	110	108	105	104
EUR	0.6141	0.61	0.61	0.61	0.61	0.61	0.61	0.61	0.60	0.60
NZD	1.2139	1.22	1.22	1.18	1.14	1.12	1.11	1.10	1.10	1.10
CAD	0.9840	0.99	0.98	0.98	0.98	0.99	0.98	0.98	0.96	0.95
GBP	0.5315	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52
CHF	0.5623	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55
DKK	4.5890	4.56	4.56	4.58	4.55	4.57	4.53	4.53	4.49	4.49
SEK	6.6854	6.64	6.64	6.68	6.62	6.66	6.60	6.60	6.54	6.54
NOK	6.7018	6.66	6.66	6.69	6.64	6.67	6.62	6.62	6.56	6.56
ZAR	11.86	11.9	11.9	11.9	11.9	12.0	12.0	12.0	12.1	12.1
SGD	0.9144	0.91	0.91	0.92	0.92	0.93	0.93	0.93	0.92	0.92
HKD	5.6424	5.62	5.61	5.68	5.66	5.74	5.74	5.74	5.66	5.66
PHP	43.87	42.5	42.1	42.3	42.0	42.2	41.4	40.7	39.4	39.4
THB	23.27	22.8	22.6	22.8	22.6	22.8	22.6	22.3	22.0	22.0
MYR	2.8213	2.84	2.84	2.85	2.85	2.85	2.85	2.85	2.77	2.77
CNY	4.9193	4.90	4.86	4.89	4.82	4.81	4.77	4.74	4.64	4.64
IDR	12485	12240	12096	12118	12045	12136	12062	11988	11680	11680
TWD	22.62	22.5	22.1	22.0	21.7	21.6	21.2	21.0	20.6	20.6
KRW	1053	1058	1051	1051	1037	1036	1021	1006	978	978
INR	68.41	67.0	65.5	65.7	65.0	65.9	65.1	65.1	63.5	63.5

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Australia

Activity forecasts

	2025		2026		2027				Calendar years			
%qtr / %yr end	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Household consumption	0.5	0.3	0.6	0.0	0.2	0.4	0.5	0.5	2.4	1.2	2.1	3.3
Dwelling investment	2.0	0.6	1.4	1.3	1.0	0.9	0.8	0.8	5.5	4.7	3.2	5.5
Business investment *	3.8	0.5	0.9	0.3	0.4	0.3	0.3	0.4	4.4	1.8	2.0	3.5
Private demand *	1.3	0.4	0.7	0.2	0.3	0.4	0.5	0.5	3.2	1.7	2.2	3.5
Public demand *	1.3	0.8	0.8	0.7	0.5	0.5	0.6	0.6	2.1	2.5	2.4	2.6
Domestic demand	1.3	0.5	0.8	0.3	0.4	0.4	0.5	0.5	2.9	1.9	2.3	3.3
Stock contribution	-0.5	0.4	-0.2	0.0	0.0	0.0	0.0	-0.1	0.1	-0.2	-0.1	0.1
GNE	0.8	0.9	0.6	0.4	0.3	0.4	0.5	0.5	3.0	1.8	2.2	3.3
Exports	1.4	1.4	0.4	0.4	0.4	0.4	0.6	0.7	5.2	1.6	2.5	2.4
Imports	2.0	1.8	1.0	1.2	1.3	1.4	1.2	1.2	6.7	4.9	5.1	4.5
Net exports contribution	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-0.3	-0.8	-0.6	-0.5
Real GDP %qtr / %yr avg	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	2.0	1.8	1.2	2.4
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Nominal GDP %qtr / %yr avg	1.9	1.8	3.0	1.5	1.6	0.5	0.6	0.7	4.7	7.8	3.4	0.0
%yr end	5.4	6.0	7.7	8.5	8.2	6.8	4.3	3.5	6.0	6.8	3.1	0.0
Real household disp. income	0.8	1.0	-0.6	-0.8	0.0	0.2	0.4	1.0	3.7	-1.2	2.3	3.4

Other macroeconomic variables

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.2	0.4	0.5	-	-	-	-
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.2	1.1	1.3	1.7	2.2
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	-	-	-	-
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	1.5	1.4	0.5	0.6	0.6	-	-	-	-
%yr end	3.2	3.6	4.1	4.9	5.0	4.9	4.1	3.2	3.6	4.9	2.5	2.2
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.1	1.0	0.8	0.7	-	-	-	-
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	4.0	3.6	3.4	4.0	3.0	2.4
Current account \$bn, qtr	-18.3	-21.1	-18.9	-20.5	-23.3	-27.1	-29.7	-31.1	-	-	-	-
% of GDP	-2.6	-2.9	-2.5	-2.7	-3.0	-3.5	-3.9	-4.0	-2.6	-3.5	-4.2	-4.0
Terms of trade %yr avg	-3.3	-2.3	0.0	2.0	3.1	4.0	1.8	-0.4	-2.3	4.0	-4.0	-2.5
Population %yr end	1.6	1.6	1.5	1.5	1.5	1.5	1.4	1.4	1.6	1.5	1.4	1.4

Calendar year changes are annual through-the-year percentage changes unless otherwise specified.

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

Macroeconomic variables – recent history

	2025								2026			
Monthly data	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
CPI %yr	2.1	1.9	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	4.6	-
Employment '000 chg	-5.9	-5.0	35.2	-13.7	11.2	34.2	-34.6	64.3	25.6	49.7	17.9	-
Unemployment rate %	4.1	4.3	4.3	4.3	4.5	4.3	4.3	4.1	4.1	4.3	4.3	-
Westpac-MI Consumer Sentiment	92.1	92.6	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2
Household spending %mth	1.1	0.3	0.4	0.0	0.3	1.4	1.0	-0.5	0.2	0.3	1.6	-
Dwelling approvals %mth	3.4	13.1	-8.1	-4.3	11.7	-6.8	15.2	-14.1	-6.9	31.0	-10.5	-
Private sector credit %mth	0.6	0.6	0.7	0.6	0.6	0.7	0.7	0.8	0.5	0.6	0.7	-
Trade in goods balance AUDbn	1.7	4.7	6.3	0.9	3.4	4.5	2.2	3.2	2.1	5.0	-1.8	-

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New Zealand

Interest rate forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.63	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.55	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.67	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US	28	50	55	55	55	55	50	45	40	35
10 Year Spread to Aust	-29	-15	-10	-5	0	5	10	15	20	20

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
NZD vs										
USD	0.5934	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
JPY	93.11	93	92	95	97	99	99	98	96	95
EUR	0.5059	0.50	0.50	0.52	0.53	0.55	0.55	0.55	0.55	0.55
AUD	0.8238	0.82	0.82	0.85	0.87	0.89	0.90	0.91	0.91	0.91
CAD	0.8107	0.81	0.80	0.83	0.85	0.88	0.89	0.88	0.87	0.87
GBP	0.4379	0.44	0.43	0.45	0.46	0.47	0.48	0.48	0.47	0.47
CNY	4.0413	4.01	3.98	4.15	4.21	4.29	4.31	4.29	4.23	4.23

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Private consumption	0.1	-0.1	0.5	-0.6	0.3	1.5	1.4	1.4	1.4	0.6	4.7	4.3
Government consumption	1.4	2.2	-1.1	0.2	0.3	0.3	0.3	0.3	2.4	1.7	1.4	2.2
Residential investment	1.1	-0.1	1.5	1.0	1.0	1.0	2.0	3.0	-6.0	2.7	8.3	10.5
Business investment	2.9	-3.1	3.7	-0.3	1.6	2.2	2.5	2.0	0.4	3.6	7.3	4.0
Stocks (ppt contribution)	-0.5	0.8	0.3	-0.3	0.0	-0.1	0.2	0.0	-0.1	0.6	0.0	-0.1
GNE	0.6	0.5	1.1	-0.6	0.6	1.2	1.6	1.3	0.8	2.1	4.7	4.0
Exports	3.0	0.1	0.5	-0.3	-0.4	0.2	1.0	1.1	2.7	2.4	2.1	2.7
Imports	2.3	1.0	2.1	-1.1	0.1	1.2	1.8	2.7	3.4	2.8	6.3	5.2
GDP (production)	0.9	0.2	0.8	-0.4	0.5	1.9	2.5	3.7	0.2	1.5	3.5	3.3
Employment annual %	-0.7	0.2	0.4	0.6	1.0	1.2	1.9	2.8	0.2	1.2	3.1	2.0
Unemployment rate % s.a.	5.3	5.4	5.3	5.6	5.6	5.4	5.1	4.9	5.4	5.4	4.6	4.2
LCI, all sect incl o/t, ann %	2.1	2.0	2.0	1.9	2.2	2.3	2.3	2.2	2.0	2.3	2.2	2.3
CPI annual %	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	3.1	4.1	1.7	2.6
Current account % of GDP	-3.5	-3.7	-3.9	-4.1	-4.3	-4.3	-4.1	-4.0	-3.7	-4.3	-4.0	-4.2
Terms of trade annual %	5.2	3.5	0.8	-3.3	0.0	1.2	5.3	6.3	3.5	1.2	5.0	0.4

Sources: Statistics NZ, Westpac Economics.

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Commodity prices

End of period	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Australian commodities index#	411	415	426	417	399	388	380	370	362	351
Bulk commodities index#	402	410	380	360	350	340	340	340	350	350
iron ore finesTSI @ 62% US\$/t	112	104	101	95	87	83	83	84	84	85
Premium low vol met coal (US\$/t)	231	230	220	200	201	203	204	205	207	208
Newcastle spot thermal coal (US\$/t)	141	150	135	120	121	121	122	123	124	124
crude oil (US\$/bbl) Brent	104	112	95	83	84	74	73	64	63	60
LNG in Japan US\$mmbtu	17.01	18.2	24.6	20.0	16.6	16.4	14.2	12.4	12.2	11.2
gold (US\$/oz)	4,682	4,800	4,930	5,000	5,000	4,950	4,900	4,850	4,700	4,400
Base metals index#	267	265	270	274	274	269	264	247	241	235
copper (US\$/t)	13,236	13,100	13,250	13,350	13,350	13,250	13,150	12,340	12,240	11,950
aluminium (US\$/t)	3,560	3,600	3,800	4,000	4,000	3,850	3,650	3,500	3,350	3,300
nickel (US\$/t)	19,179	18,750	18,500	18,250	17,950	17,850	17,550	17,000	16,000	15,750
zinc (US\$/t)	3,408	3,370	3,380	3,390	3,390	3,380	3,360	2,960	2,920	2,790
lead (US\$/t)	1,974	1,950	1,950	1,940	1,940	1,900	1,800	1,530	1,500	1,420
Rural commodities index#	148	149	148	149	147	142	137	130	128	123
NZ commodities index ##	407	409	415	415	413	414	415	416	417	418
dairy price index ##	338	340	342	342	345	349	353	357	359	361
whole milk powder USD/t	3,687	3,500	3,450	3,400	3,500	3,600	3,670	3,750	3,790	3,830
skim milk powder USD/t	3,381	3,150	3,050	2,950	3,000	3,050	3,100	3,150	3,180	3,210
lamb price index ##	640	655	677	650	632	622	621	620	617	612
beef price index ##	400	407	427	413	404	398	398	397	396	395
forestry price index ##	165	160	158	159	159	159	160	160	160	161

	levels				%change			
Annual averages	2025	2026(f)	2027(f)	2028(f)	2025	2026(f)	2027(f)	2028(f)
Australian commodities index#	324	414	384	350	4.2	27.7	-7.1	-8.9
Bulk commodities index#	378	397	350	353	-12.7	5.0	-11.8	0.9
iron ore fines @ 62% USD/t	102	103	85	85	-6.9	0.8	-17.2	-0.2
LNG in Japan \$mmbtu	11.9	19.0	15.5	11	-8.8	60.2	-18.3	-28.2
ave coking coal price (US\$/t)	166	180	174	179	-19.6	8.7	-3.6	2.9
ave thermal price (US\$/t)	119	130	119	121	-12.1	9.1	-9.0	2.4
iron ore fines contracts (US¢ dltu)	143	142	125	121	-12.2	-0.5	-12.1	-2.7
Premium low vol met coal (US\$/t)	188	224	203	184	-21.7	19.0	-9.5	-9.5
crude oil (US\$/bbl) Brent ICE	67	93	75	60	-13.1	38.7	-19.1	-19.8
gold (US\$/oz)	3,470	4,870	4,940	4,492	44.0	40.3	1.4	-9.1
Base metals index#	208	264	264	235	3.1	26.5	0.1	-11.1
copper (US\$/t)	10,000	13,100	13,100	12,000	8.7	31.0	0.0	-8.4
aluminium (US\$/t)	2,600	3,600	3,800	3,300	8.3	38.5	5.6	-13.2
nickel (US\$/t)	15,300	18,200	17,700	15,900	-9.5	19.0	-2.7	-10.2
zinc (US\$/t)	2,900	3,400	3,300	2,800	3.6	17.2	-2.9	-15.2
lead (US\$/t)	2,000	1,900	1,800	1,400	-4.8	-5.0	-5.3	-22.2
Rural commodities index#	120	143	139	121	-5.0	19.4	-3.3	-12.5
NZ commodities index ##	390	409	414	418	9.2	4.7	1.4	0.9
dairy price index ##	348	409	351	361	9.7	17.3	-14.0	2.9
whole milk powder USD/t	3,902	3,529	3,594	3,829	13.5	-9.6	1.8	6.5
skim milk powder USD/t	2,702	3,085	3,054	3,216	0.6	14.1	-1.0	5.3
lamb price index ##	587	656	626	609	27.0	11.7	-4.5	-2.7
beef price index ##	337	408	400	394	19.1	21.0	-2.0	-1.4
forestry price index ##	152	157	159	161	-4.9	3.4	1.7	1.2

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.39	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
USD vs										
DXI index	98.20	97.8	97.6	96.7	95.9	95.0	94.2	93.9	94.0	93.8
JPY	156.89	157	156	154	152	150	148	146	144	142
EUR	1.1730	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
AUD	0.7203	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD	0.5934	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
CAD	1.3661	1.37	1.36	1.35	1.34	1.34	1.33	1.32	1.31	1.30
GBP	1.3552	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
CHF	0.7806	0.77	0.76	0.75	0.75	0.74	0.74	0.74	0.75	0.75
ZAR	16.46	16.5	16.5	16.4	16.4	16.2	16.2	16.2	16.6	16.6
SGD	1.2695	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8327	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.41	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.0	54.0
THB	32.31	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9170	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8023	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17333	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.40	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1462	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	94.25	93.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Activity forecasts

	2025				2026				Calendar years			
% annualised, s/adj	Q1	Q2	Q3	Q4	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
Private consumption	0.6	2.5	3.5	1.9	1.6	1.6	1.7	1.7	2.6	1.9	1.9	2.1
Dwelling investment	-1.0	-5.1	-7.1	-1.7	-8.0	0.0	0.0	0.8	-2.2	-3.5	0.9	2.0
Business investment	9.5	7.3	3.2	2.4	10.4	4.4	5.6	5.6	4.1	5.7	5.1	4.7
Public demand	-1.0	-0.1	2.2	-5.6	4.4	2.0	0.4	0.4	1.1	0.7	0.5	0.4
Domestic final demand	1.5	2.5	2.9	0.6	3.0	2.0	2.0	2.1	2.4	2.1	2.1	2.2
Inventories contribution ppt	0.7	-0.4	-0.4	-0.1	-0.8	0.1	0.1	0.1	-0.1	0.1	0.0	0.1
Net exports contribution ppt	-1.8	-0.1	0.5	0.4	1.3	-0.2	-0.8	-0.8	0.4	-0.8	-0.5	-0.5
GDP	-0.6	3.8	4.4	0.5	2.0	1.6	1.6	1.7	2.1	2.0	1.8	1.9
%yr annual chg	2.0	2.1	2.3	2.0	2.7	2.1	1.4	1.7	-	-	-	-

Other macroeconomic variables

Non-farm payrolls mth avg	68	56	11	-30	44	80	80	90	26	74	103	120
Unemployment rate %	4.1	4.2	4.3	4.4	4.3	4.5	4.5	4.6	4.4	4.7	4.8	4.7
CPI headline %yr	2.7	2.4	2.9	2.7	2.7	3.2	3.1	2.9	2.7	2.9	2.4	2.3
PCE deflator, core %yr	2.8	2.7	2.9	2.9	2.9	2.9	2.7	2.5	2.8	2.5	2.3	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Euro Area										
ECB Deposit Rate	2.00	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00
10 Year Bund	3.00	3.00	3.05	3.05	3.05	3.00	2.95	2.90	2.90	2.90
10 Year Spread to US	-138	-135	-135	-140	-145	-155	-165	-175	-180	-185
United Kingdom										
BoE Bank Rate	3.75	4.00	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
10 Year Gilt	4.95	4.90	4.95	4.95	4.95	4.90	4.85	4.80	4.75	4.75
10 Year Spread to US	56	55	55	50	45	35	25	15	5	0

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
euro vs										
USD	1.1730	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
JPY	184.04	185	184	183	182	182	181	178	175	173
GBP	0.8655	0.87	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86
CHF	0.9156	0.91	0.90	0.90	0.90	0.90	0.91	0.91	0.91	0.91
DKK	7.4726	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47
SEK	10.89	10.9	10.9	10.9	10.9	10.9	10.9	10.9	10.9	10.9
NOK	10.91	10.9	10.9	10.9	10.9	10.9	10.9	10.9	10.9	10.9
sterling vs										
USD	1.3552	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
JPY	212.64	213	212	211	210	209	207	206	202	200
CHF	1.0579	1.04	1.03	1.03	1.03	1.03	1.04	1.05	1.05	1.06
AUD	0.5315	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026f	2027f	2028f
Euro area GDP	3.7	0.5	0.9	1.5	0.7	1.1	1.5
<i>private consumption</i>	5.3	0.6	1.3	1.5	0.9	1.2	1.4
<i>fixed investment</i>	2.2	2.7	-2.6	3.1	1.1	1.3	2.1
<i>government consumption</i>	1.3	1.5	2.3	1.6	2.3	2.1	1.9
<i>net exports contribution ppt</i>	-0.1	0.3	0.3	-0.5	-0.3	-0.2	-0.3
Germany GDP	1.9	-0.7	-0.5	0.3	0.6	1.1	1.7
France GDP	2.8	1.6	1.1	0.9	0.7	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.6	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.2	1.9	2.1
Netherlands GDP	5.0	-0.6	1.1	1.8	0.8	1.1	1.6
United Kingdom GDP	5.1	0.3	1.1	1.4	0.8	1.1	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026f	2027f	2028f
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	-0.3	0.1	0.1	0.9	1.3	1.7
Producer prices %yr	10.3	-0.7	-2.7	-2.3	-2.6	0.3	0.8	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.0	4.8	4.6
Retail sales	12.5	-0.2	7.2	3.5	4.1	4.4	4.6	4.8
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.5
Fixed asset investment	4.9	5.1	3.0	3.2	-1.0	3.6	4.0	4.5
Exports %yr	20.9	-9.9	-2.3	10.7	5.1	3.0	2.8	2.5
Imports %yr	19.5	-7.5	0.2	0.9	0.0	1.5	1.5	1.2

Source: Macrobond, Bloomberg. Year-to-date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1-year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Policy Rate	0.75	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
10 Year Bond Yield	2.49	2.20	2.15	2.10	2.05	2.00	1.95	1.90	1.85	1.80

Currency forecasts

	Latest (May 8)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
JPY	156.89	157	156	154	152	150	148	146	144	142
SGD	1.2695	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8327	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.41	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.00	54.00
THB	32.31	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9170	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8023	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17333	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.40	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1462	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	94.25	93.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Source: Bloomberg, Westpac Economics.

Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.7	3.8	3.3	3.4	3.4	3.2	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.0	1.8	1.9
Japan	3.6	1.3	0.7	-0.2	1.2	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.5	0.7	1.1	1.5
Group of 3	5.9	2.8	1.8	1.7	1.8	1.4	1.4	1.6
United Kingdom	8.5	5.1	0.3	1.1	1.4	0.8	1.1	1.5
Canada	6.0	4.7	2.0	2.0	1.7	1.2	1.8	2.0
Australia	5.4	4.2	2.1	1.0	2.0	1.8	1.2	2.4
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	3.5	3.3
OECD total	6.2	3.2	1.9	1.8	1.7	1.5	1.5	1.7
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	2.0	2.0	1.9
Taiwan	6.7	2.7	1.1	5.3	8.7	6.5	4.0	3.0
Hong Kong	6.5	-3.7	3.2	2.6	3.5	2.9	2.5	2.3
Singapore	10.1	4.0	1.5	5.3	5.0	3.3	2.6	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.6	2.3	2.6
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.4	4.3
Philippines	5.7	7.6	5.5	5.7	4.4	4.7	5.5	5.9
Vietnam	2.6	8.5	5.1	7.0	8.0	7.0	7.0	6.9
East Asia	7.1	3.6	4.7	4.8	4.9	4.6	4.5	4.3
East Asia ex China	4.4	4.6	3.4	4.5	4.7	4.3	4.2	4.1
NIEs*	6.1	2.3	1.6	3.4	4.0	3.6	2.7	2.3
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Russia	5.9	-1.4	4.1	4.9	1.0	1.1	1.3	1.5
Brazil	4.8	3.0	3.2	3.4	2.3	1.7	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	-1.9	-1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex-East Asia	6.8	3.7	3.7	4.7	4.4	4.1	4.3	4.3
Other countries	6.7	5.2	4.9	2.0	2.3	2.8	3.0	3.1
World	6.7	3.8	3.3	3.4	3.4	3.2	3.3	3.3

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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